



Management Consulting Association

2025 Casebook

Dear Future Consultant,

We are proud to present the Columbia Business School Management Consulting Association (MCA) 2025 Casebook! After a long absence, the MCA Board decided to re-launch this initiative for three reasons.

First and foremost, this casebook is meant to equip future classes of consultants with the fundamental tools that will help them start a successful journey in consulting.

Second, we want to use the casebook to institutionalize and calcify the lessons that have made previous classes successful so that we can pass those lessons along more easily.

Finally, this is meant to be a living document. “It depends” captures the ever-evolving nature of this industry; as the needs of our consulting community at CBS evolves, the aspiration of this casebook is to continually change as well to better prepare the future class of CBS consultants for success.

This casebook would not be possible without the tremendous efforts of the MCA Board and our amazing case writers. Thank you to all of you for your part in strengthening and helping our community.

Good luck!

**2025 MCA Presidents – Akshat Goel (CBS ‘25), Alyson Williams (CBS ‘25)
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How to Use the Casebook

General Preparation

The casing fundamentals in this casebook are meant to give a baseline understanding of how to conduct a consulting case interview. However, there is no substitute for live learning and practice. We encourage aspiring consultants to actively engage with the MCA educational curriculum and mentorship communities to maximize the value of this casebook.

Choosing Cases

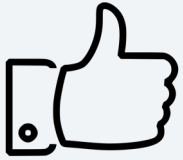
- Cases are divided by industry, type, difficulty. Choose cases that deal with issues or concepts you need the most practice with.
- Difficulty ratings are subjective. One case considered hard by one caser can be considered easy by another based on individual experiences.
- Cases are generally arranged with easier cases first and harder cases at the end. We recommend having built good fundamentals before tackling cases at the end. (Case #10-15)
- For “casers”: make sure you come prepared by going over the case and reading through the case notes. All exhibits are placed at the end of the case material.

Casing Fundamentals



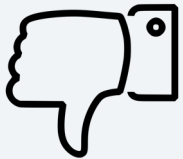
Intro to Casing: What do they test?

- **Cases intend to test a few things:**



- How do you think about **real-life business problems**
- How do you **structure your thoughts** and **break down a big problem** into digestible and solvable sub-components
- How you **behave in a high-pressure situation** where you may know little or nothing about the industry or function
- How do you problem-solve with someone from the firm - are you coachable?

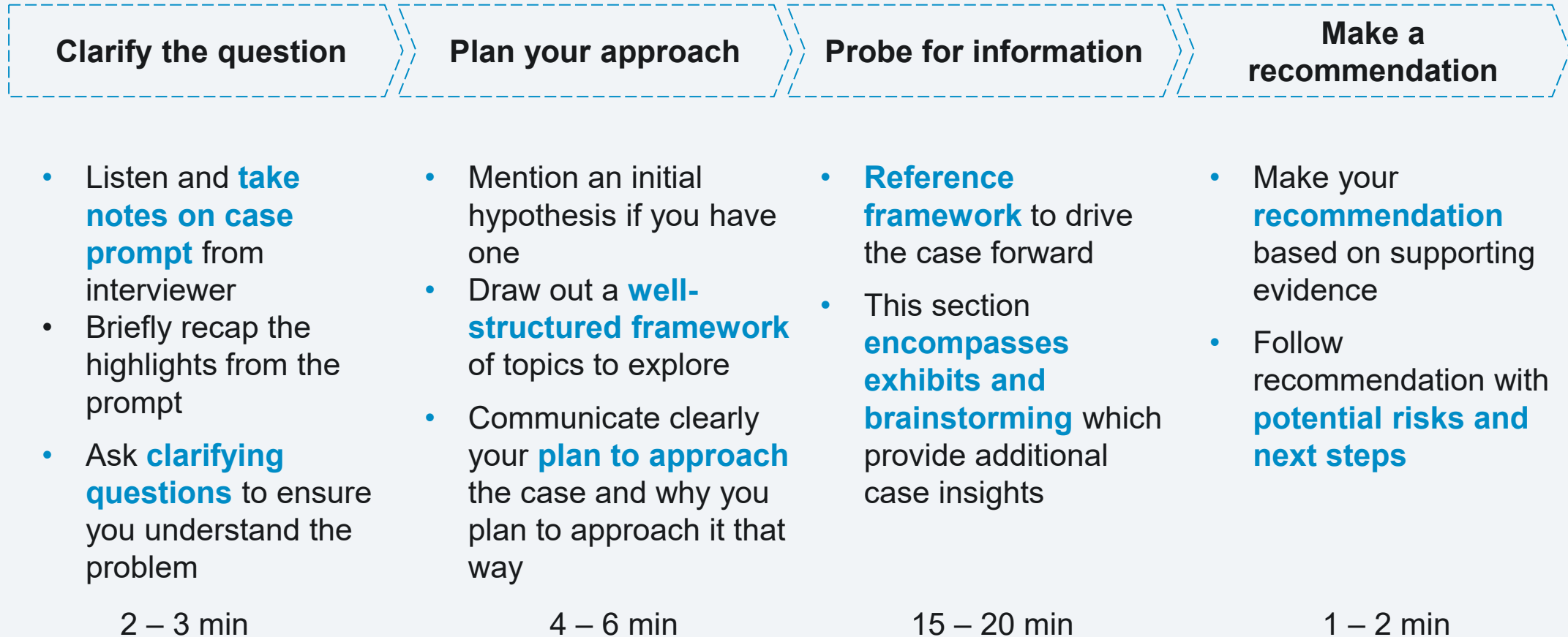
- **Cases are not meant to:**



- Give you anxiety or scare you – if you genuinely are genuinely curious and enjoy solving problems - casing can be fun! If you're nervous - it's because you care!
 - Think of it like a mental challenge!!
- Trip you up – these are actual business problems; it is okay not to be an expert

Intro to Casing: Typical cases are 20-30 min and consist of 4 steps

Typical case flow



Intro to Casing: Within these steps, there are 6 main sections

1. Prompt

Description of the problem contains most of the important information

Utilize clarifying questions to get a better understanding of the issues

2. Framework

This structure serves as your roadmap to solving the issue, which you reference throughout the case

Walk through it in detail, make it specific, and make it MECE!

3. Brainstorm

Your opportunity to be creative!
Demonstrate your impromptu thinking

Be structured, think outside-of-the-box, and write down your ideas

4. Exhibit

Using data (chart/table, you will draw insights and test your hypothesis

Read the whole exhibit, including footnotes! Be communicative in your findings. It's all about the "so what"!

5. Math

Question solved mathematically, both fast and long math

Use scrap paper to record and talk through your steps. Highlight the "so what" here too!

6. Conclusion

60 seconds for your conclusion

Provide recommendation and reasons why, then identify risks and next steps, if applicable

Intro to Casing: The caser will be looking for key skills during the interview and in each section

Section	Skills being tested
Overall	• Confidence and ability to drive a case forward • Clarity of thought • Engagement with caser - show your personality!
Opening / Clarification	• Synthesizing large chunks of information and summarizing the key facts
Frameworks	• Problem structuring – breaking out the problem into digestible and solvable sub-components • How you think about business problems, particularly in industries you may have little to no experience with
Brainstorms	• Thinking on your feet while staying organized • Creativity – brainstorms can be a great opportunity to think outside the box
Exhibits / Supporting Information	• Drawing key trends and insights relatively quickly from graphs and charts • Mental math / analytical skills
Closing / Recommendation	• Clear, concise communication and presentation of information • Being able to connect a recommendation with the original problem

Clarify the Question: Clarify the question with excellence

Typical case flow

Recap of the problem

- First, restate the **context and then the objective**
 - Focus on key facts
 - Take notes efficiently (acronyms)
 - Ideally should be no longer than 3 to 5 sentences
 - Do not simply repeat the prompt you were told
- **Ask the interviewer for information if you did** not understand something

Verify the objectives

- Clearly define **what constitutes success**, which may involve thinking about:
 - Target KPIs
 - Time
 - Additional constraints
 - Case-specific success (i.e., public benefit for an NGO)

State clarifying question

- Ask two to three clarifying **questions that would be useful to shape the framework**
- **Clarifying questions are optional**, do not ask question if you do not have doubts
- Some common questions:
 - Geographies
 - Business model
 - Products

Approach: Plan your approach with excellence (Frameworks)

Typical case flow



- **Take 2 min or less to design**
- Depending on the case and your mindset **start the framework from scratch or tailor one you know**
- Framework should be **MECE** and have **three to four big buckets, tailored to the case**
- Framework has all **the facts you need to give an educated answer** to the question
- Build your initial hypothesis
- Communicate with a **top-down executive approach**
 - Restate the objective
 - Share the big buckets you want to see
 - Deep dive into the buckets
- Make sure to **balance the level of detail needed**
- **Suggest the starting point** for your investigation

Probe for Information: Graphs and Charts

- **Read graphs / charts in a systematic way**
 - Remember that you are being tested in your ability to provide structure
- You can ask for time but ideally, be able **digest a graph immediately**
- Fall back on a standard system:
 1. **Labels / Axes**
 2. **Trends**
 3. **Outliers**
 4. **Initial Insight**



Probe for Information: Case quant - What is being tested?

What you may think case math involves:

- Impressing interviewer with how quickly you can perform mental math
- The more steps you can skip, the better - shows advanced quant prowess
- **This is a myth** - while being quick at math can certainly help you, it isn't the primary skill being tested and plenty of people from non-quant backgrounds ace case interviews every year!!



What you should be doing:

- Understand what is being asked
- Determine what data is relevant to the problem
- Identify if additional data is required and if so, ask for that data
- Communicate how to calculate the answer - this is your 'framework' or equation
- *Perform the calculation*
- Sense check your answer to make sure it makes sense logically
- Identify key takeaway and next steps based on the result derived



As you can see, the actual calculation is just one part of the overall quant analysis - your thought process, structure, and communication of approach is equally important

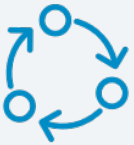
Probe for Information: Case quant - What you need to know



1. Financial calculations

This is the most common type of analysis - calculating firm profitability, market share, breakeven price, etc.

Example: *What is the profit margin of a company with \$100 in revenue and \$80 in operating costs?*



2. Operational analysis

Analysis of a company's capacity utilization, productivity rate, revenue per square foot, etc.

Example: *Calculate the utilization of a factory producing 100 units a day, with max capacity of 1000 units/week*



3. Market sizing

Estimation and hypothetical market sizing based on demographic data and well-reasoned assumptions

Example: *How many bagels are consumed yearly in New York City?*



4. Investment analysis

Common in M&A cases - comparing NPV of different options, calculating payback period of an investment, etc.

Example: *Calculate payback period for an investment with \$10M upfront costs and \$2M additional profit/ year*

Probe for Information: Case quant – Useful Formulas

$$\text{Profit} = \text{Revenue} - \text{Costs}$$

$$\text{Revenue} = \text{Price} \times \text{Quantity}$$

$$\text{Costs} = \text{Fixed Costs} + \text{Variable Costs}$$

$$\text{Profit Margin} = \frac{\text{Revenue} - \text{Costs}}{\text{Revenue}}$$

$$\text{Profitability Index} = \frac{\text{NPV}}{\text{Capital Investment}}$$

$$\text{Operating Profit Margin} = \frac{\text{EBIT/Operating Profit}}{\text{Sales}}$$

$$\text{Gross Profit Margin} = \frac{\text{Gross Profit}}{\text{Sales}}$$

$$\text{Break-even quantity} = \frac{\text{Fixed Costs}}{\text{Sale Price} - \text{Variable Cost}}$$

$$\rightarrow (\text{Revenue} - \text{FC} - \text{VC} = 0) \rightarrow (\text{PxQ} - \text{FC} - \text{VC} = 0)$$

Discounting:

$$\text{NPV} = -C_0 + \frac{\text{CF}}{(1+r)^1} + \frac{\text{CF}}{(1+r)^2} + \dots + \frac{C_T}{(1+r)^T}$$

$-C_0 = \text{Initial investment};$

$\text{CF} = \text{Cash Flow};$

$r = \text{Discount rate};$

$T = \text{time}$

$$\text{Perpetuity PV} = \frac{\text{CF}}{r - g} \quad (r = \text{discount rate}, g = \text{growth rate})$$

$$\text{Payback period} = \frac{\text{Investment Cost}}{\text{Cash Flow}}$$

$$\text{Growth rate} = \frac{\text{New} - \text{Old}}{\text{Old}}$$

$$\text{Growth formula} = x(1 + \%); \text{ eg: } 100(1 + 0.2) = 120$$

Probe for Information: Case quant – Tips and tricks

+ Addition: Group together numbers that add to multiples of 10

E.g.: $4 + 6 + 11 + 9 + 13 + 7 + 18$
 $= (10) + (20) + (20) + 18$

- Subtraction: When subtracting from round numbers like 100, 1000 or 10,000, subtract 1 at the beginning and add it back at the end

E.g.: $1000 - 436 = (999 - 436) + 1$

x Multiplication: Break numbers into smaller parts

E.g.: $15 \times 8 = (10 \times 8) + (5 \times 8)$

Move zeros to the side initially, and bring them back at the end

E.g.: $12 \times 50 \text{ million} = (12 \times 5) \text{ followed by 7 zeros}$

÷ Division: Break numbers into simple percentages

E.g.: $40\% \text{ of } 150 = (10\% \text{ of } 150) \times 4$

Convert decimals to fractions or vice versa

E.g.: $25\% \text{ of } 800 = (1/4) \times 800$

E.g.: $234/5 = 235 \times (1/5) = 234 \times 0.2$

Cheat sheet
linked [here](#)

Probe for Information: Brainstorming overview: What / why / how?

- **WHAT** is brainstorming: Asks you to offer ideas for what the client can actually do, as part of the broader question (e.g., in a profitability case, a brainstorming question could ask for ways to reduce costs)
- **WHY** is it tested: Designed to assess how you approach seemingly ‘ad-hoc’ questions and ***think on the spot*** to identify drivers of the issue, while maintaining structure and logic in your response
- **HOW** to approach brainstorming within a case:
 - Do not start blurting out answers as you think of them
 - Instead, first clarify what is being asked before diving into your response
 - Take ***a few seconds*** to structure your response into logical components (similar to a ‘mini’ framework)
 - Use creativity to think outside the box, but always maintain the context of the case and client - e.g. if it has been stated upfront that the client is only legally allowed to sell within the US as of now, do not spend time on suggesting international expansion options
 - This is not an isolated exercise - as stated above, keep the overarching question in mind and have a hypothesis on which options are more likely / feasible

Probe for Information: Brainstorming Example Structures (Not comprehensive)

- Internal
- External
- Risks

- Process Steps

- Financial
- Non-financial
- Risks

- Costs
- Revenues
- Risks

- Action
- Non-action
- Risks

- Market
- Company
- Consumer

- Benefits
- Costs
- Risks

Recommendation: Make a recommendation with excellence



- Final recommendation should be **short, crisp, and high level**
 - Go **straight to the answer** (e.g., enter the market)
 - Be sure to **choose a side**, indicating necessary caveats
 - Ideally **one to two sentences**
- State **two or three** reasons
 - Reasons should be **related to discoveries** that you made throughout the case
 - Useful to **synthesize the findings along the case**
- State **one to two** risks
 - Ideally you should have **identified the risks along the case**
- Seek to **eliminate one of the risks**
 - Think about what information would be **ideal to move the recommended project forward**

Intro to Casing: Set yourself up for success



Case smarter not harder

- > After each case identify **three key** things you want to improve before your next case and focus on those opportunities
- > Practice habits throughout the entire process so its seamless on “game day”
- > Case drills are often more helpful than new cases



Show structure always

- > Always think about a clear structure *before* communicating (including on brainstorming, math, and exhibits)



Case diversity

- > Prepare cases with people with different styles. The day of the interview you do not know which style the interviewer will have
- > Practice cases across a breadth of industries and types of cases (M&A, revenue growth, etc.)



Paper clean and structured

- > 3 pages total: one master page (objectives, context, framework), one to drive the case (highlight results), and one for separate rough math (structured)
- > Buy erasable pens and graph paper
- > Structure your paper like an Excel/PPT



Think about big picture

- > Always think about the objective and how this information may be useful
- > Understand what level of detail is needed



Be confident driving the case

- > Communicate in a professional way (avoid using like, think, etc.)
- > Indicate the path that you would like to go down. If the interviewer would like to choose a different path, they will let you know



Be coachable

- > Most interviewers will give you hints to show you which path they would like to go down. Be aware of those subtleties and listen to their guidance
- > Email case coaches beforehand and tell them what you want to work on
- > Ask coaches for candid feedback



Pace for success

- > Do not rush to communicate your ideas especially in sections that you feel comfortable in. Take the time to structure your thoughts before communicating



Connect with people

- > Casing is a form of fit prep: Try to engage the interviewer throughout the case
- > Treat the interviewer as a colleague who is trying to solve a problem with you

Frameworks Overview



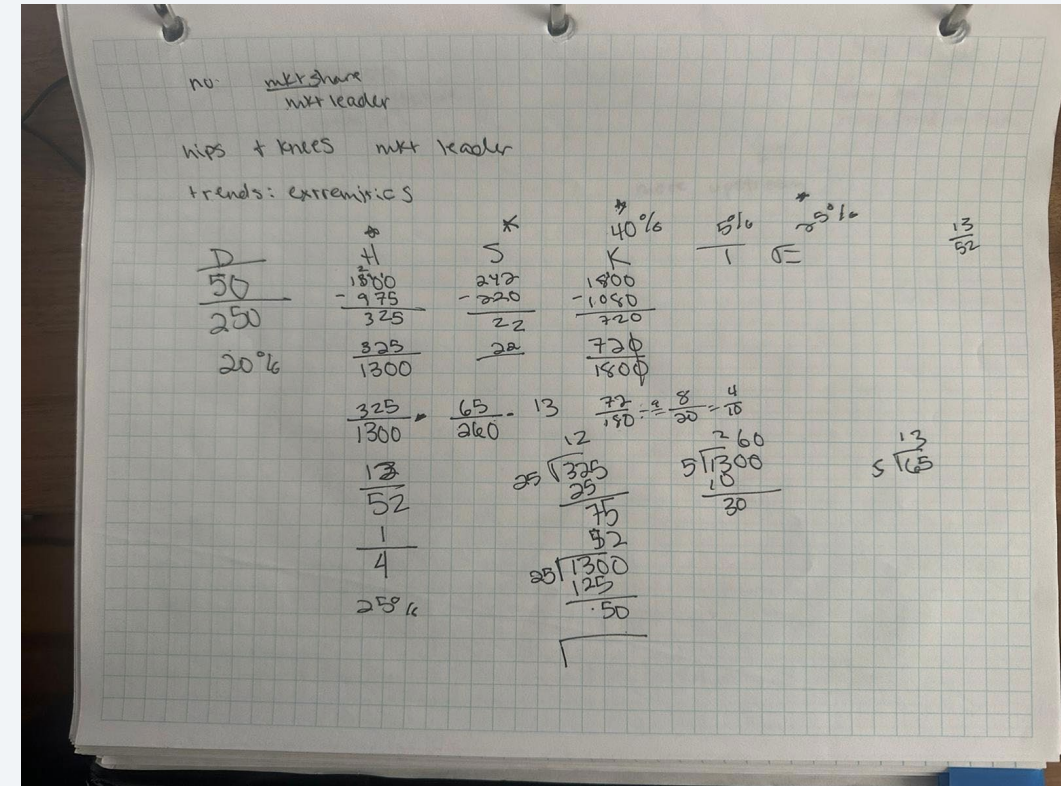
Frameworks: Frameworks are your directions on solving the case

- ❖ Following your opening, a framework is a *plan to either prove or disprove your hypothesis*
- ❖ MECE (Mutually Exclusive, Collectively Exhaustive)
 - Each item (bucket) in your framework should address an independent facet of the problem with no overlap
- ❖ The framework is your map for the case...come back to it as you continue your work
 - Following calculations / charts
 - If you are lost on where to go next

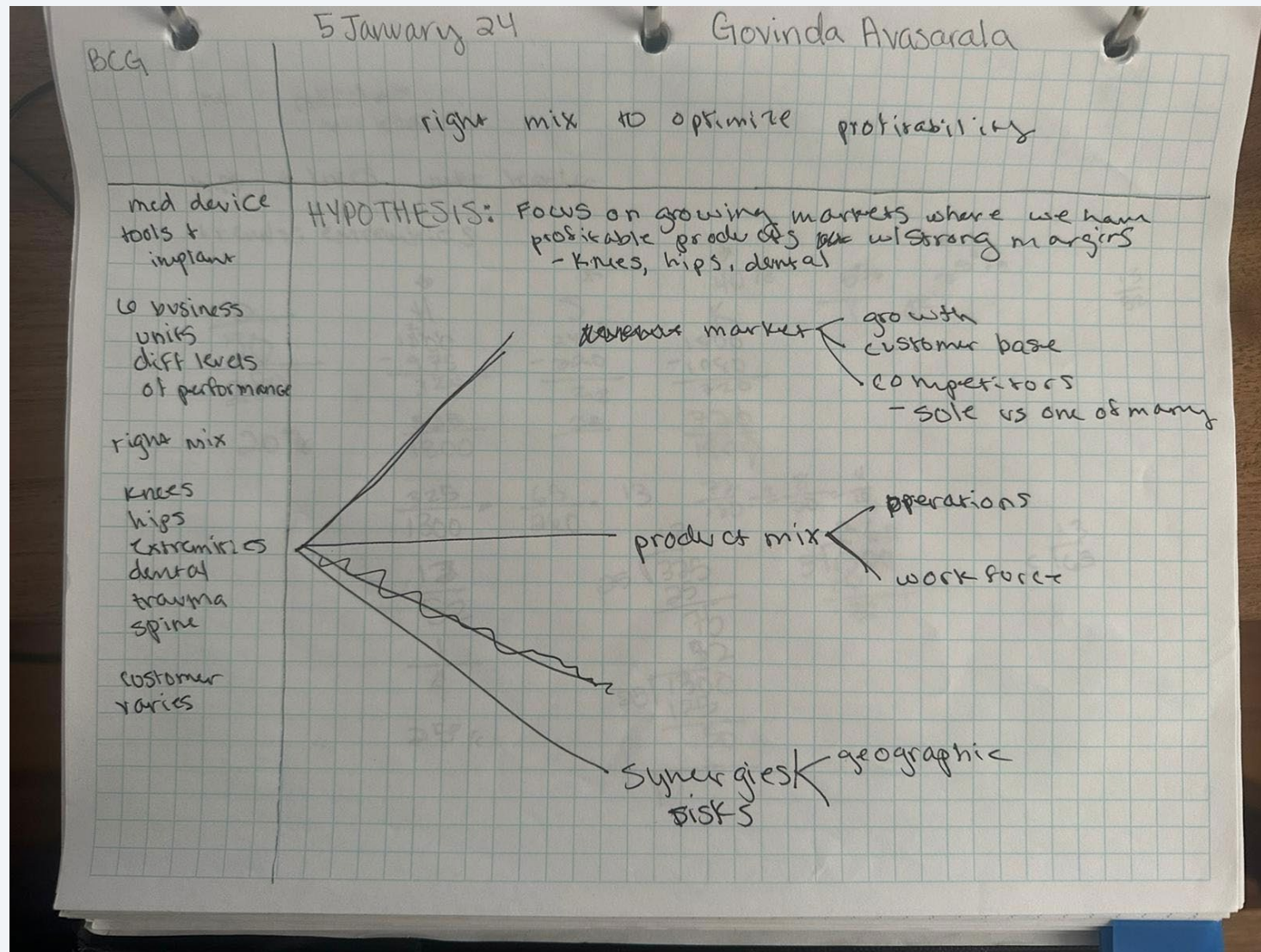


Frameworks: A note on paper hygiene

- ❖ The case is a test of your ability to **structure your thoughts** and **break down a big problem** into digestible and solvable sub-components
- ❖ **Organization is key!**
 - Allows you to recall previous pieces of data. This is essential as cases become more complex
 - Skill check: Can you hand off your paper and have it be understood with minimal communication?



Frameworks: Framework Sample



Frameworks: Profitability

Company Financials

- **Revenues**
 - Pricing
 - Volume/quantity sold
- **Costs**
 - Fixed Costs
 - Rent
 - SG&A
 - Variable Costs
 - COGS
 - Labor
- **Product Mix – What's changing?**
 - New product introductions
 - Shift to lower margin products

Frameworks: Revenue Growth

Increasing Revenue Levers

Organic

- **Upgrade marketing strategy**
 - Invest in marketing campaigns and promotions
 - Partner with complementary brands to do co-branding
- **Increase efficiency of distributions**
 - Launch e-commerce
 - Start their own distribution channel
 - Expand the network of their distributors
 - Incentivize better their distributors
 - Better select, train, and incentivize the sales team to sell to B2B

• **Improve and expand value proposition**

- Launch a high-end premium / low-end product
- Launch new products that are adjacent to the core business or leverage current capabilities
- Consider white-labelling

• **Change pricing**

- Introduce bundles
- Develop subscription options
- Adjust pricing levels to match competition/WTP
- Introduce different sizes of packages

Inorganic

- **Acquisition**
- **Joint Venture**
- **Partnerships**

Frameworks: Market Entry

Market attractiveness

- **Is this an attractive market?**
 - Market size
 - Market growth rate
 - Average profit margins

Competitive landscape

- **Is there heavy competition?**
 - How many competitors - fragmented or concentrated?
 - How much share do they have?
 - Competitive advantages?

Client capabilities

- **Do we have the capabilities to enter?**
 - Know-how / technology
 - Are there any significant capability gaps?
 - Any synergies we can leverage from the main clothing business?

Profitability

- **Will entering this market prove profitable?**
 - Expected revenues and costs
 - How long will it take to break even?

Frameworks: Go to market strategy

Products	Distributions	Price	Marketing
• Customer purchase criteria – Drivers – Weight • Competitor and substitutes value prop – Product – Price – Brand • Our value proposition – Same factors • Potential partnerships	• Target customer preferred channels – Online – Brick and mortar – Mix • 3rd party retailer's vs own – Fast – Visibility – Profit – Online • Micro positioning – Based on distribution channel	• Competitive benchmark • Breakeven price • WTP Elasticity • Maximizing profitability	• Assess current market conversion funnel – Awareness – Interest – Consider – Intent – Buy • Define Message – Define who – Define the message • How I wanted to communicate it – Internet – Print

Frameworks: M&A / PE

Strategic rationale

- Access to key resources
- Synergies
- Better owner standalone
- Risk diversification

Target Attractiveness

Market

- **Conditions**
 - Size
 - Growth
 - Profit margins
- **Competitors**
 - Fragmented vs. concentrated
 - Capabilities
- **Customer**
 - Segments
 - WTP
 - Profitability

Company attractiveness

- **Strategic**
 - Competitive advantage
 - Products
 - Market share
- **Financial**
 - Growth
 - Profitability
- **Intangibles**
 - Brand
 - Management

Post-acquisition strategy

• Revenue

- Revenue synergies (cross selling)
- Increase price
- Accelerate growth

• Cost

- Cost synergies
- Tax synergies
- Lower costs

• Strategic rationale

- Management talent
- Boost the brand
- Obtain IP

• Exit strategy

Acquisition financials

• Financial

- Value for us (DCF multiples)
- Synergies
- Value paid

• Alternative use of capital

- Other potential targets attractiveness
- Internal projects

• Possible strategies to acquire

- Partnerships
- Acquire only partial part of the business
- Develop internal

Integration risks and feasibility

Internal

• Organization

- Experience with merger

• Process

- Business model compatibility

• Intangibles

- Management style
- Cultural issues
- Brand mismatch

• System

External

- Regulation
- Contracts

Clarifying questions

Frameworks: Non-Profit

Additional Considerations

- Benefits could be financial and non-financial
- Think about all stakeholders in the system (government, NPO, people, etc.)

Non-Profit Organization

Mission

- Reason for existing

Funding

- Donations
 - Large donors
- Government Funds
 - Federal
 - State
 - Local
- Investment returns (if any)

Support Provided

- Overhead
- Who do they support
- In what way do they support them
- How much support is given

The Supported ('Customer')

Profile/Demographics

Preferences

Trends

Market

Size

Competitive Landscape

- Market shares – leader/follower
- New entrants/substitutions
- Points of differentiation
- Profitability – internal vs. industry-wide

Risks

Regulatory

Cases



Case # 1

Pigeon Publishing

Written by Amara Balan (CBS '26)

Case Type: Profitability

Quant Difficulty: 7 / 10

Qual Difficulty: 4 / 10

Firm Type: BCG / Bain

Industry: Media/Publishing

Business Model: Printing

Key Concepts: Unit Cost Analysis, Economies of Scale, Core Values

Pigeon Publishing: Case Intro

Case Prompt

Your client is Pigeon Books, a publisher of acclaimed graphic novels known for pushing boundaries and centering underrepresented voices while providing a high degree of author care. Author A has published five books with Pigeon over their celebrated, ten-year career as a cartoonist, and is getting ready to publish their sixth. However, supply chain issues and increased printing costs have made Pigeon's usual press no longer a viable option to print the book.

Pigeon is considering moving production to a new domestic printer, or one of two international printers that they have good relationships with. Which printer should they select?

Clarifying / Background Information

Does the client have a specific (financial) goal when selecting a printer? They want to maximize first year unit profit while ensuring the book is published on time and they have sufficient stock on hand.

What is the client's business model? Publishers acquire a book for a flat advance. The advance is typically paid out in four increments (on signing the contract, on manuscript delivery, on publication, and 12 months after publication). Their revenue comes directly from sales of the book through online vendors, national bookstores, and independent booksellers. Publishers pay these vendors a fee to sell their books via these channels.

What are the revenues and costs forecasted for the book? The client expects to sell 20,000 copies in the first year at a list price of \$30 per book. Printing costs are determined by the number of units printed, and there is also typically an advance paid to the author, and a marketing budget (Can also ask candidate to brainstorm costs associated with the publishing process)

What costs are associated with each specific printer? We'll get to that later in the case

Where does the client expect to sell the book? We're focusing on the US market, with no specific regional focus.

What is the book about? The book is a story about a young girl navigating a tumultuous political landscape. The author is known for her political criticism and subversive artistic style.

Pigeon Publishing: Framework

Sample Framework

Pigeon's Financials

- a. Revenue
 - i. Price: \$30
 - 1. Discounted pricing based on sales channel
 - 2. Additional revenue generators (ex. merchandise associated with the book, ticket sales for book events)
 - ii. Quantity: 20,000
- b. Costs
 - i. Fixed: Plant, marketing, author advance, storage cost for excess inventory
 - ii. COGs: per unit printing cost (an excellent candidate will mention economies of scale in printing, overage/buffer for printing)

Non-Financial Site-Specific Considerations

- a. Domestic
 - a. Untested vendor
 - b. How will going with a new domestic vendor affect our relationship with the previous vendor
 - c. If supply chain considerations affected that printer, how do we know it won't affect this one
- b. International
 - a. Shipping costs
 - b. Tariffs
 - c. Regulation on both shipping and on the factory labor
 - d. Ease of oversight into factory operations
 - e. Language barriers in communication with factory staff
 - f. Could the fact that it's being printed internationally affect the reception of the book

Non-Financial General Considerations

- a. Product quality
- b. Timing
- c. Author care/future relationship with this author

Interviewer Guidance

An excellent candidate will consider the fact that printing costs depend upon scale, and the fact that the business likely prints a higher volume than forecasted sales.

Once the candidate mentions wanting to look at printer-specific costs, hand them Exhibit 1 and read the following information:

"In addition to the below printing costs please note the following:

The author was paid an advance of \$100,000. We expect to sell the book 65% online, 20% through national chain bookstores, and 15% through independent retailers. Online vendors take a commission of 55% of the book's list price, national chain bookstores take 20%, and independent retailers take 5%.

Pigeon has also budgeted \$75,000 for marketing, book tour-related expenses, and publicity efforts.

Pigeon Publishing: Exhibit 1 Caser Notes: Quantitative Guidance

Quantitative Guidance

If the candidate asks about plant cost, explain that it's a one-time cost associated with preparing the files for printing. If the candidate asks about the incremental structure of the advance, ask them to factor the full \$100k into their cost calculation.

Unit profit calculations are based on the number of units *printed*, NOT number of units expected to be sold

Revenue: \$600,000
 $\$30 \times 20,000$

Initial Cost Calculations:

Advance: \$100,000

Marketing and Publicity: \$75,000

Online Retail: \$156,000

$65\% \times 20,000 = 13,000$

$13,000 \times 55\% \times \$30 = \$156,000$

National Bookstores: \$24,000

$20\% \times 20,000 = 4,000$

$4,000 \times 20\% \times \$30 = \$24,000$

Independent Bookstores: \$4,500

$15\% \times 20,000 = 3,000$

$3,000 \times 5\% \times \$30 = \$4,500$

Total Pre-Printing Costs: \$359,500 (can round to \$360,000)

$100,000 + 75,000 + 156,000 + 24,000 + 4,500$

Quantative Guidance (cont.)

	UNITED STATES	COUNTRY A	COUNTRY B
Plant Cost	\$100,000	\$70,000	\$50,000
Unit Cost (Interior)	$\$1.50 \times 20,000 +$ $\$1.65 \times 4,000$ $=36,600$	$\$1.50 \times 25,000$ $=37,500$	$\$1.30 \times 20,000 +$ $\$1.60 \times 5,000$ $= 34,000$
Unit Cost (Jacket)	$\$2.50 \times 20,000 +$ $\$2.85 \times 4,000$ $= 61,400$	$\$2.50 \times 25,000$ $= 62,500$	$\$2.20 \times 20,000 +$ $\$2.50 \times 5,000$ $= 56,500$
Total Printing Costs	100,000+ 36,600+ 61,400 $=198,000$ (round to \$200k)	70,000+ 37,500+ 62,500 $=185,000$	50,000+ 34,000+ 56,500 $= 179,500$ (round to \$180k)
Total Costs	200,000+ 360,000 $=560,000$ (actual: 557,500)	185,000+ 360,000 $=545,000$ (actual: 544,500)	180,000+ 360,000 $=540,000$ (actual: 539,000)
Net Profit	40,000 (actual: 42,500)	55,000 (actual: 55,500)	60,000 (actual: 61,000)
Unit Profit	$40,000/24,000$ $= \$1.66$ (\$1.77)	$55,000/25,000$ $= \$2.20$ (\$2.22)	$60,000/25,000$ $= \$2.40$ (\$2.44)

Pigeon Publishing: Exhibit 1 Caser Notes: Qualitative

Qualitative Guidance

Main Takeaway – Country B maximizes unit profit, with a unit profit of ~\$2.40

Strong candidates will note that there is a \$5k overall profit difference between Country A and Country B, and though Country B maximizes profit, author care is a core value for pigeon.

If the candidate asks whether you can select two printers, say “only one printer can be selected, and it’ll be the printer for this and all future printings”

Strong Candidates:

A strong candidate will use the profitability gap between Country A and B drive towards the next brainstorm (“How can we improve profitability”) on their own. An excellent candidate may also note that part of the profitability is driven by printing at scale, and if future printings are for quantities under 10k, Country A becomes the better choice.



Pigeon Publishing: Brainstorm

Brainstorm Prompt	Guidance	
What are some ways that Pigeon can make the book more profitable?	REVENUE	COST
	Increasing Earnings: • Increase stock in independent booksellers vs. online channels (note: if the candidate suggests this, they should also consider how this may affect discoverability) • Coordinate bulk purchases (ex. for corporate buys, educational events) through independent retailers • Sell directly from Pigeon at events • Merchandise Increasing Quantity Sold: • Leverage author social media • Publicity (ex. creating publicity around the decision to avoid censorship)	• Jacketless format (ex. paper-over-board or French flaps) • Explore whether a cheaper shipping method exists • Negotiate a profit-sharing agreement instead of paying the “on publication” portion of the advance • Reduce the “printing buffer” (if the candidate suggests this, they should also consider customer satisfaction and momentum if the book outsells the estimate and is out of stock for a time)

Strong Candidates:	A strong candidate will identify that Pigeon is essentially trying to make up a difference of \$5,000 and will focus on how their ideas will affect that deficit. They will also highlight potential risks associated with each idea.
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Pigeon Publishing: Conclusion

Recommendation

Pigeon Publishing should print in Country A, despite the slightly lower unit profit.

Risks

- We are going with a more expensive option on a product that already has very tight margins
- With either international printer, increased costs due to tariffs could affect profitability, and shipping delays would be difficult to oversee or resolve quickly, compared to domestic

Rationale

- This is an author that we have a longstanding relationship and author care is a core priority of ours
- Even though the unit profit is lower, we have ways to improve profitability through robust marketing efforts and exploring cheaper shipping methods

Next Steps

- Communicate this decision with relevant stakeholders, such as the production editor and the design department to compile the files into the appropriate format for the Country A printer.
- Reach out to the publicity and marketing teams to begin putting together a campaign

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. About 2/3 of the recommendation will focus on the recommendation itself and rationale, and about 1/3 on risks and next steps. The overall time for the recommendation is 1-1.5 min.

Pigeon Publishing: Exhibit 1

	UNITED STATES	COUNTRY A	COUNTRY B
Plant Cost	\$100,000	\$70,000	\$50,000
Unit Cost (Interior)	5,000+ copies: \$1.50 Up to 5,000 copies: \$1.65	\$1.50	10,000+ copies: \$1.30 Up to 10,000 copies: \$1.60 Up to 5,000 copies: \$1.95
Unit Cost (Jacket)	5,000+ copies: \$2.50 Up to 5,000: \$2.85	\$2.50	10,000+ copies: \$2.20 Up to 10,000 copies: \$2.50 Up to 5,000 copies: \$2.85

**Note: Due to regulations, if Pigeon were to print in Country B, two panels of the book would have to be edited to remove nudity. From graphics standpoint, it's a simply edit, and it would not affect the timing of the publication*

**Note: Publishers typically print an overage of 1.2x what they expect to sell. If printing internationally, they would prefer to print an overage of 1.25x, to account for the extra time it would take to order a follow-up printing. Printing internationally will also incur a shipping cost of \$15,000*

Case # 2

NBA's Dilemma

Written by Alex Koroglu (CBS '26)

Case Type: Revenue Growth

Quant Difficulty: 5 / 10

Qual Difficulty: 6 / 10

Firm Type: BCG / Bain

Industry: Entertainment/Sports

Business Model: Ticket revenue, online ad revenue

Key Concepts: Revenue assessment, brainstorming

NBA's Dilemma: Case Intro

Case Prompt

The National Basketball Association (NBA) is one of the largest sports leagues in the world, hosting the world's best basketball players from all over the globe. After enjoying consistent increases in viewership and revenue throughout the 2010's, the NBA has seen a significant decline in viewership in the 2020's.

The commissioner of the league has hired you to diagnose the problem and turn things around.

Clarifying / Background Information

Does the client have a specific financial target?

- **No, they just want to identify the problem and figure out ideas to solve the problem. [There is no specific timeline either.]**

What are the clients' revenues/costs/profits?

- **We'll get to that later, but let's focus on revenue/topline growth.**

Other information that can be provided if asked for.

- **Revenues are closely correlated with viewership.**
- **The NBA has not changed the number of games per season.**
- **Viewership decline is across all channels.**

NBA's Dilemma: Question #1: Framework

Sample Framework

1. Audience Dynamics

- **Demographical Trends**
 - Age, region fan base changes
- **Viewing Habits**
 - TV vs. streaming, full games vs. highlights

2. Product & Experience

- **In-game experience**
 - Ticket prices, fan engagement
- **Online experience**
 - Commentators, camera angles, second-screen apps
- **Game structure**
 - Rules, pace of play, scheduling, season length

3. Platform & Production

- **Social media presence**
 - Tik Tok, Instagram, Youtube Shorts
- **Influencer/creator partnerships**
- **Marketing investment**

4. Other Considerations

- **Competition** (NFL, Premier League, Gaming)
- **Cultural attention shifts** (music, streaming platforms, etc.)

Interviewer Guidance

This sample framework is only a template for guiding the interviewer.

The candidate should categorize and brainstorm potential reasons why viewership has declined which should include identifying the different forms of viewership.

Candidate should be creative and identify that viewership can be affected from many different angles.

Candidate should guide the interviewer towards an area of viewership decline that they think is most likely to be the root cause of the issue – once given, show candidate Exhibits 1&2. Ask the candidate what insights they have from the two exhibits.

NBA's Dilemma: Question #2: Exhibits 1&2

Exhibits 1&2 Prompt

What takeaways can you see from Exhibits 1&2?

Qualitative Guidance

Ex. 1 Main Takeaway – there are large opportunities to align better with customer preferences on social media presence/content and on ticket prices.

Ex. 2 Main Takeaways – TV viewers are declining more rapidly, there is an uptick in online viewers.

Looking at both exhibits together, candidate might suggest lower ticket prices to bring in-person viewership back or to find ways to make online viewers bring in more revenue.

Next steps should be to commit to one of these segments and find ways to increase revenue.

Strong Candidates:

Candidates should notice that revenues are declining with less viewership. However, a strong candidate will notice that the rate at which revenues are declining is less than the rate at which total viewership is declining. They can conclude that either online viewers are bringing in more money than other categories, or ticket prices are much higher or both. **A strong candidate will want to further explore if either of these trends is true.**

NBA's Dilemma: Question #3: Quantitative Exercise

Question

The NBA is considering only one of the following two options to potentially increase revenues. Option 1 is to reduce ticket prices by 10% uniformly for all games. Option 2 is to invest \$50M into social media and broadcast enhancements to better align with viewer preferences. Which option would you recommend pursuing?

Reveal the following to the candidate when prompted:

OPTION 1:

Ticket Prices are \$100 on average.

The NBA expects a 20% increase in in-person viewership because of the ticket price decrease.

OPTION 2:

TV Viewership would increase 5%, and online viewership would increase 10% because of option 2.

Each new TV viewer brings in \$25 of revenue and each new online viewer brings in \$20 per viewer.

Assume all else is constant for these calculations.

Quantitative Guidance

Option 1:

- $17\text{M viewers} * \$100/\text{ticket} = \1.7B
- $17\text{M} * 1.2 = 20.4\text{M viewers} * \$90/\text{ticket} = \$1.836\text{B}$
- $\$1.836\text{B} - \$1.7\text{B} = \$136\text{M additional revenue}$

Option 2:

- $80\text{M} * 0.05 = 4\text{M new TV viewers} * \$25 = \$100\text{M}$
- $40\text{M} * 0.10 = 4\text{M new online viewers} * \$20 = \$80\text{M}$
- $\$100\text{M} + \$80\text{M} - \$50\text{M} = \$130\text{M additional revenue}$

Strong Candidates:

Strong candidates will quickly recognize that the revenue gained by Option 1 is \$6M more however they should notice that the additional revenue gained in either option is very little (~1% of the overall revenue of the NBA). Option 2 is also justifiable since more viewers will be watching the NBA and there is potential to make those viewers more profitable in the future. In either case the candidate should firmly choose either option and defend. Strong candidates will want to explore more significant revenue drivers.



NBA’s Dilemma: Question #4: Brainstorm

Brainstorm Prompt	Guidance	
What are some other ways that the NBA can increase viewership and revenue?	Organic	Inorganic
	1. Dynamic ticket pricing	1. Host regular-season games abroad
	2. Flexible game bundles	2. Partner with sports betting platforms for integrated, in-game bets
	3. Tiered stadium experiences (luxury fan zones, on-court experiences)	3. Launch fantasy & prediction games with micro-fee entry
	4. DTC streaming platform with exclusive content	4. Build NBA-branded virtual spaces
	5. Monetize Shorts/TikToks via ad partnerships	5. Launch VR NBA viewing with live, immersive seats
	6. Regional broadcast partnerships tailored to fan segments (e.g. Spanish, Mandarin)	6. Co-brand with fashion, music, sneaker designers
	7. Bundle with travel/credit cards for game-night packages	7. Partner with major brands to develop NBA theme park attractions
	8. Produce original content: docuseries, behind-the-scenes	

Strong Candidates:	Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, and a strong candidate can usually suggest 7-8 ideas
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NBA's Dilemma: Conclusion

Recommendation

The viewership/revenue decline lies within the NBA misaligning with their viewers on ticket prices and social media presence. We recommend:

- 1) Option 1 OR
- 2) Option 2

Risks

- The candidate should identify a key risk (e.g. competition from other sports, content fatigue) that may exist and that they are aware of.

Rationale

- Candidate should be specific on the revenue gained and their defense of either option 1 or option 2
- Candidate should then mention a few of the items they brainstormed to continue to improve revenue

Next Steps

- Candidate should indicate a key next step that they would be excited to help investigate regarding the additional revenue drivers or the key risk

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Exhibit 1: Viewer Preference vs. NBA Performance

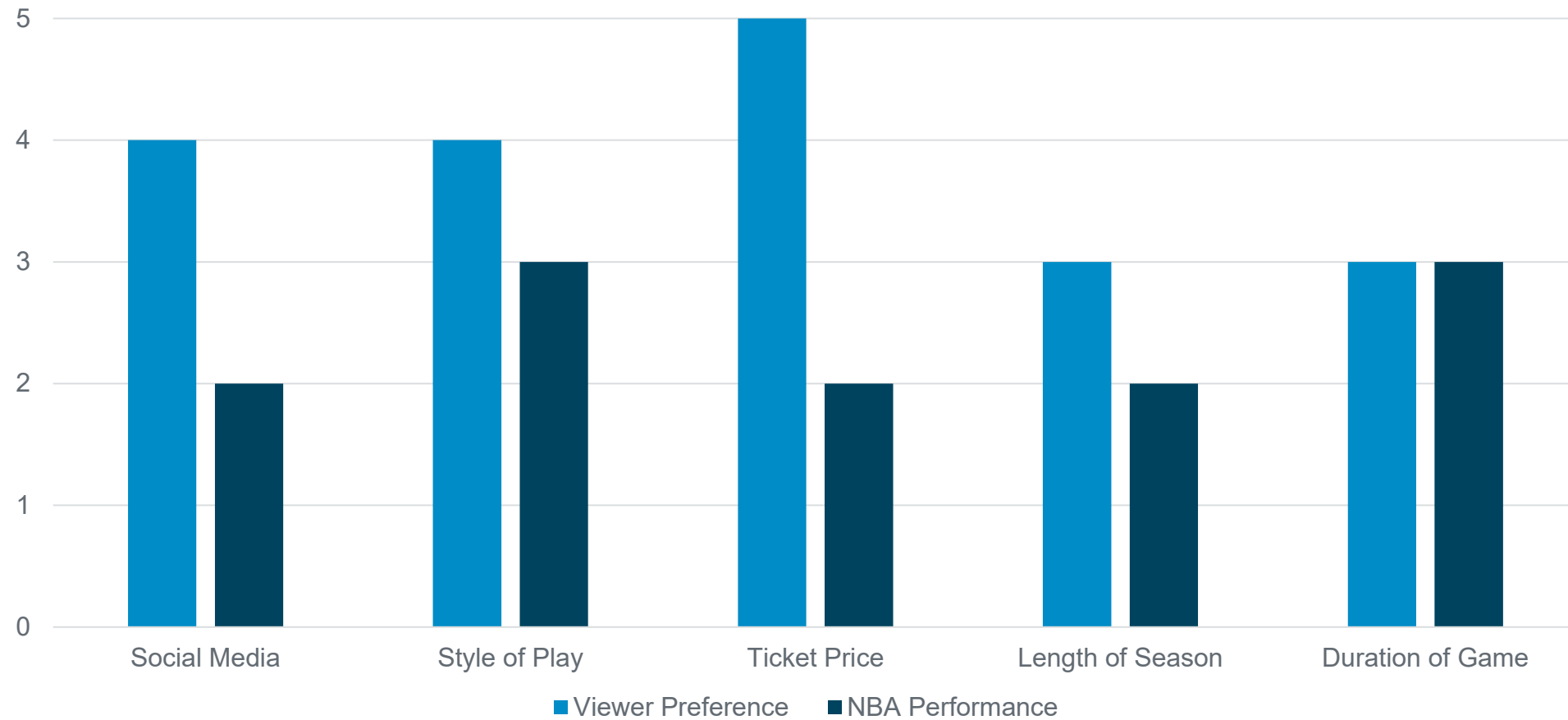




Exhibit 2: Viewership & Revenue Breakdown

Year	TV Viewers (M)	Online Viewers (M)	In-Person Attendance (M)	Total Revenue (\$B)
2022	105	30	25	12.0
2023	95	35	20	11.4
2024	80	40	17	10.8

Case # 3

An Original Problem

Written by Xiuzhi Yang (CBS '26)

Case Type: Operation/Strategy

Quant Difficulty: 7 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Media & Entertainment

Business Model: Streaming Platform

Key Concepts: Strategic Decision Making

An Original Problem: Case Intro

Case Prompt

Streaming Co. is a U.S.-based streaming platform offering a selection of movies, TV shows, and live channels. It follows a niche content strategy, focusing on horror, action, classics, and Black cinema. This distinct curation has helped the company achieve significant viewership and revenue growth.

Until now, Streaming Co. has primarily relied on licensed content to build its library. However, as the streaming industry shifts toward original content production, the company is evaluating whether to invest in creating its own original content.

Your firm has been hired to assess this strategic decision. Should Streaming Co. double down on original content? What factors should it consider?

Clarifying / Background Information

What is Streaming Co.'s goal?

Streaming Co. aims to maintain a long-term competitive advantage while preserving short-term profitability.

What is Streaming Co.'s revenue model?

Streaming Co. is free to users and generates revenue exclusively through advertising.

What market does Streaming Co. operate in?

Streaming Co. currently operates only in the United States.

What is the difference between licensed content and original content?

If the candidate asks this question, prompt them to brainstorm first, and then show Exhibit 1 immediately before they begin structuring their frameworks.

An Original Problem: Exhibit 1 Caser Notes

Qualitative Guidance

Main Takeaway

Key differences between the two models:

1. Revenue Structure

- With full IP ownership, Streaming Co. can explore ancillary revenue streams, such as merchandising, adaptation rights, or distribution beyond streaming (e.g., to networks, airlines, or international markets).

2. Cost Structure

- Original content requires upfront production costs, whereas licensed content involves licensing fees and revenue-sharing agreements.
- Both models require marketing investment, but with different degrees of commitment.

3. Content Pipeline

- Streaming Co. has greater control over R&D, production, and marketing for original content.
- However, this also means Streaming Co. bears higher risk and uncertainty.

Note: After the candidate provides preliminary insights, allow them time to structure a more comprehensive framework. (If a candidate reads Exhibit 1 after structuring their framework, guide them to Exhibit 2)

An Original Problem: Case Intro

Sample Framework

1. Financial Implication

Profitability Comparison

- **Original content**
 - Revenue: advertising, ancillary (merchandising, adaptation, distribution)
 - Cost:
 - Variable: production (cast & crew, equipment, location, art production, logistics, post-production, etc.), marketing
 - Fixed: in-house content & production team, long-term facilities or equipment
- **Licensed content**
 - Revenue: advertising
 - Cost: licensing fee, revenue share, marketing fee

2. Strategic Considerations

- **Internal**
 - Streaming Co. has stronger control over original content, allowing better alignment with its content strategy
 - Full IP ownership enables Streaming Co. to create sequel or spin-offs, boosting audience retention.
 - Original content strengthens brand recognition
- **External**
 - Exclusive content helps differentiate Streaming Co. from competitors
 - In-house production reduces suppliers' bargaining power
 - Better responsiveness to consumer preferences and evolving tastes

3. Risks

- **Financial and technical capabilities**
- **Uncertainty in audience reception**
- **Competitive market responses**

Interviewer Guidance

The candidate does not need to follow the exact same framework, but should address both the quantitative considerations (e.g., comparing profitability under the two models) and the qualitative pros and cons of the decision.

An Original Problem: Exhibit 2 & 3 Caser Notes

Guidance

[To be read while presenting Exhibit 2 & 3]

“Streaming Co. aims to generate 30 billion ad impressions this year. Based on its projections, it will need to release 200 new pieces of content to achieve this goal. Due to operational constraints, the company can currently produce a maximum of 50 original titles.”

If the candidate is not familiar with CPM, explain that it refers to the revenue the company earns per 1,000 ad impressions it generates.

Total Revenue:

	Introducing Original Content	Licensed Content Only
Advertising	$20 / 1000 * 30 \text{ billion} = \mathbf{600 \text{ million}}$	Same
Ancillary	$50 * 0.8 \text{ million} = \mathbf{40 \text{ million}}$	N/A
Total	$600 \text{ million} + 40 \text{ million} = \mathbf{640 \text{ million}}$	$\mathbf{600 \text{ million}}$

Total Cost:

	Introducing Original Content	Licensed Content Only
Variable (licensed)	$(500,000+300,000)*150 + 600\text{million} * 150/200 * 20\% = \mathbf{210 \text{ million}}$	$(500,000+300,000)*200 + 600 \text{ million} * 20\% = \mathbf{280 \text{ million}}$
Variable (Original)	$(100,000+1,000,000+500,000)*50 = \mathbf{80 \text{ million}}$	N/A
Fixed	$\mathbf{250\text{million}}$	$\mathbf{200 \text{ million}}$
Total	$210\text{million} + 80\text{million} + 250 \text{ million} = \mathbf{540 \text{ million}}$	$280 \text{ million} + 200 \text{ million} = \mathbf{480 \text{ million}}$

Total Profits:

Introducing Original Content: $640 \text{ million} - 540 \text{ million} = \mathbf{100 \text{ million}}$
Licensed Content Only: $600 \text{ million} - 480 \text{ million} = \mathbf{120 \text{ million}}$

Main Takeaway – Currently, introducing original content is less profitable than relying only on licensed content.

Strong Candidates:

Strong candidates should recognize that, due to the revenue-sharing agreement for licensed content, **the higher the total ad revenue, the more expensive licensed content becomes**. Since the prompt notes that Streaming Co. has experienced significant viewership and revenue growth in recent years, ad revenue per title—and therefore the cost of revenue-sharing—is likely to increase, making licensed content less profitable in the future.

Therefore, candidates should not rush to discredit original content, but instead explore its strategic advantages.

An Original Problem: Exhibit 4 Caser Notes

Chart Guidance

Key Takeaway:

In 2024, the number of titles the company acquired fell short of what was planned across nearly all genres, suggesting that relying solely on licensed content may not be sufficient to support the company's content strategy. **This highlights the strategic value of investing in original content**

Strong Candidates:

A strong candidate should speculate on potential reasons behind the misalignment between the planned and actual number of titles acquired.

- a) As more competitors demand exclusivity, Streaming Co. may lack the leverage to acquire all the projects it targets.
- b) There may be limited supply in the market, making it difficult to license enough content.

Focus Group Guidance

Key takeaway:

The focus group comments are open-ended. Candidates are expected to extract meaningful insights and build their own case.

Sample takeaways include:

- **While users may not consciously prioritize originality, strong original content still drives viewership.**
- **Audiences have high expectations for Streaming Co.'s originals, creating marketing momentum but also increasing pressure on quality.**
- **Additional quantitative research is needed to validate these insights at scale.**

An Original Problem: Brainstorm

Brainstorm Prompt

If Streaming Co. is committed to producing original content but hopes to manage the short-term drop in profitability, what strategies would you recommend?

Guidance

Rev Ideas

1. Push for higher CPM rates when selling to advertisers
2. Create marketing efforts to increase viewership and drive more ad impressions
3. Generate higher ancillary revenue from original content

Cost Ideas

1. Manage and reduce production costs for original content
2. Negotiate better licensing fees and ad revenue-sharing terms for licensed content
3. Streamline operating costs across departments

Ops Ideas

1. Instead of producing original content at full capacity, start small and limit to a few high-potential titles. Test, learn, and scale.
2. Pilot content before full investment.
3. Leverage data to guide content development and production decisions

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

An Original Problem: Conclusion

Recommendation

The candidate may recommend either investing or not investing in original content.

Rationale

For Investing in Original Content:

- 1) As ad revenue continues to grow, producing original content becomes more cost-efficient compared to licensed content.
- 2) Original content allows Streaming Co. to develop titles that are better aligned with its niche content strategy, reinforcing its unique brand identity.

For Not Investing in Original Content

Introducing original content could significantly reduce the company's short-term profitability

Risks

For Investing in Original Content:

- 1) Original content yield lower short-term profits than licensed titles.
- 2) The company must assess its capability to consistently produce high-quality original content.

For Not Investing in Original Content:

- 1) Licensed content alone cannot fully support the company's content strategy.
- 2) As revenue continues to grow, revenue-sharing agreements will make licensed content less profitable over time.

Next Steps

- 1) Explore short-term strategies to offset any immediate drop in profitability if it begins investing in original content.
- 2) Conduct a thorough capability review, including financial resources, team structure, and technical infrastructure, to determine the right scale and pace for original content development.

An Original Problem: Exhibit 1

Original Content vs Licensed Content

Category	Original Content	Licensed Content
Creative Development	Streaming Co. develops concepts and stories in-house.	External studios develop concepts and stories.
Production	Streaming Co. produces content in-house, overseeing casting, filming, and post-production.	External studios fund and oversee the production process.
Content Acquisition	N/A	Streaming Co. acquires distribution rights, often paying a flat licensing fee and a share of ad revenue.
Marketing	Streaming Co. designs and executes its marketing strategy for the content	Streaming Co. collaborates with external studios on joint marketing efforts.
Ownership & Rights	Streaming Co. exclusively owns full intellectual property (IP).	External studios retain IP ownership, while Streaming Co. possesses limited streaming rights.

An Original Problem: Exhibit 2

Predicted Revenue

	Introducing Original Content	Licensed Content Only
Average CPM (Cost per Mille)	\$20	\$20
Total Ad Impressions	30 billion	30 billion
Licensed Titles per Year	150	200
Original Titles per Year	50	0
Ancillary Revenue per Original Title*	\$800,000	-

**Ancillary revenue includes merchandising, adaptation rights, syndication & licensing, events & experiences, etc.*

An Original Problem: Exhibit 3

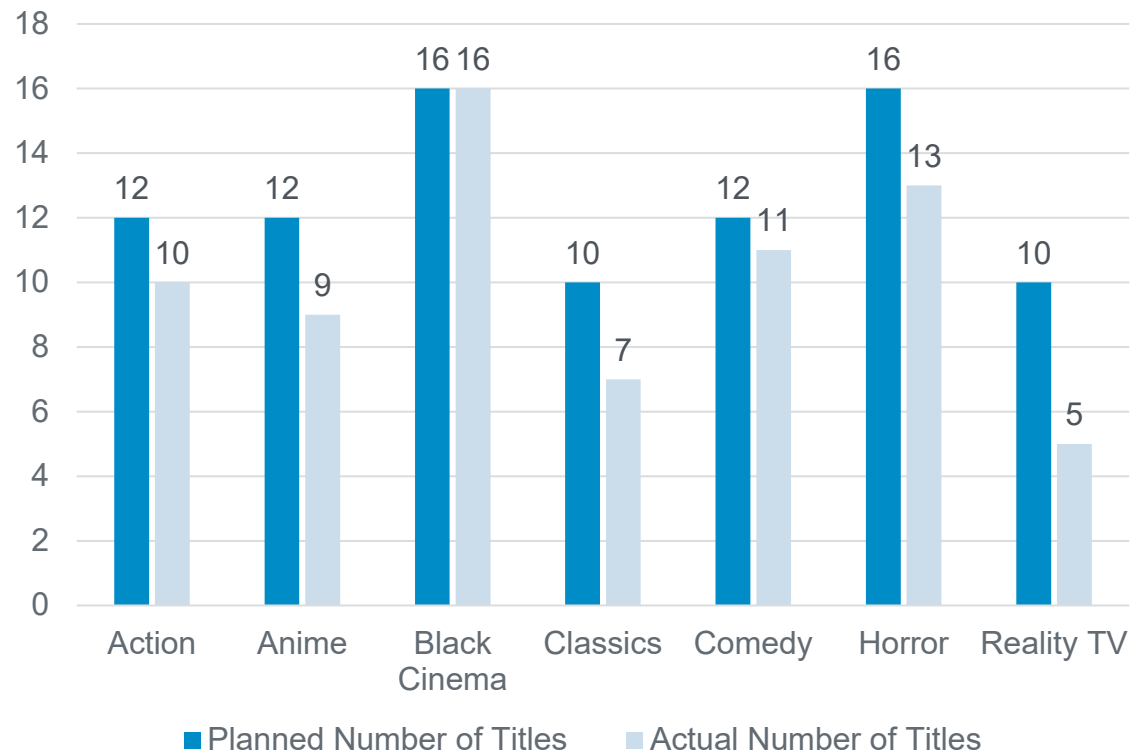
Predicted Cost

	Introducing Original Content	Licensed Content Only
Development Cost per Original Title	\$100,000	-
Production Cost per Original Title	\$1,000,000	-
Acquisition Cost per Licensed Title	-	\$500,000
Marketing Cost per Title	\$500,000 for original content; \$300,000 for licensed content	\$300,000
Advertising Revenue Shared with Partners (if applicable)*	20%	20%
Annual Operating Cost	\$250,000,000	\$200,000,000

*Assume that each piece of content, whether original or licensed, generates an equal number of ad impressions.

An Original Problem: Exhibit 4

Planned vs. Actual Content Acquisition (2024) *Breakdown by Popular Genre*



Comments from Focus Group

"I don't care if a content is original or licensed. If it's good, I'll watch it either way."

"I signed up for Disney+ just for The Mandalorian, and Netflix because of Stranger Things. I subscribed because those were the only platforms where I could watch them."

"I'd be interested in Streaming Co.'s original content, especially if it's horror. That's what they do best."

Case # 4

Fantasia

Written by Partha Rajesh (CBS '26)

Case Type: Operations

Quant Difficulty: 4 / 10

Qual Difficulty: 8 / 10

Firm Type: BCG/Bain

Industry: Entertainment

Business Model: Theme Parks

Key Concepts: Operations, Business Improvement, Brainstorming

Fantasia: Case Intro

Case Prompt

Our client, Fantasia, a theme park in Orlando, has seen a spike in customer complaints. The company's CEO is concerned by this trend and has asked us to help understand the cause and to come up with ways for the theme park to improve customer satisfaction.

Clarifying / Background Information

Does the client have a specific financial target?

No, they just want to identify the fundamental issue and want a way to reduce customer complaints.

How long have customer complaints been increasing?

We'll get to that later in the case.

Is there a specific demographic or customer segment that is particularly dissatisfied?

Complaints are widespread, across all segments.

Has there been a change in the number of visitors to the park?

The number of visitors has remained roughly the same for the last five years.

What attractions does Fantasia have?

Fantasia is a theme park primarily focused on rides. The CEO does not want to build more rides at the moment.

Does Fantasia use any technology to enhance visitor experience?

Fantasia has an app with some basic functionality.

Fantasia: Case Intro

Sample Framework

Operations

- Ride wait times – volume of visitors, number of rides, historical comparison
- Ride breakdowns – frequency, time to resolve issue
- Preventative maintenance strategy
- Park layout – bottlenecks and crowd congestion zones

Staffing

- Number of staff per ride vs need
- Staff training
- Staff morale
- Staff deployment strategy

Guest Experience

- Food quality and pricing – vendor changes, speed of service
- Cleanliness – restrooms, food courts
- Technology – app functionality, usability, real-time updates
- Comfort – seating, shaded areas

External

- Competitive pressure creating higher expectations e.g. improvements to competitors (Disney/Universal)
- Shifting consumer preferences e.g. more demand for immersive experiences
- Bad publicity or social media affecting perception

Interviewer Guidance

The framework is just one way the candidate can choose to approach the problem.

Let them explore options on what the root cause is.

Pay close attention to the rationale for the solutions. Common “solutions” that people think of don’t make sense when probed.

If the candidate has covered their basis with their clarifying questions, they should recall from the prompt that this is not about financials. Hence, financials should not appear in their framework.

If the case asks for more information around where the complaints are coming from, show them exhibit 1. If not, guide them to ask for it, by asking what data they would like to see. If they’re still not aligned, show them exhibit 1, explaining that the CEO has presented us with this information.

Fantasia: Exhibit 1 Caser Notes

Quantitative Guidance

	Absolute Change	Percentage Change
Ride Wait Times	2022 to 2023: $5,400 - 4,800 = 600$ 2023 to 2024: $9,000 - 5,400 = 3,600$ 2022 to 2024: $9,000 - 4,800 = 4,200$	2022 to 2023: $600 / 4,800 = 12.5\%$ 2023 to 2024: $3,600 / 5,400 = 66.6\%$ 2022 to 2024: $4,200 / 4,800 = 87.5\%$
Ride Breakdowns	2022 to 2023: $2,700 - 3,000 = -300$ 2023 to 2024: $2,400 - 2,700 = -300$ 2022 to 2024: $2,400 - 3,000 = -600$	This is declining year-on-year (candidate should identify this and understand there is no need to calculate)
Customer Service	2022 to 2023: $1,450 - 1,550 = -100$ 2023 to 2024: $1,500 - 1,450 = 50$ 2022 to 2024: $1,500 - 1,550 = -50$	This is relatively flat (candidate should realize this and so no need to calculate)
Food Quality	2022 to 2023: $500 - 400 = 100$ 2023 to 2024: $900 - 500 = 400$ 2022 to 2024: $900 - 400 = 500$	2022 to 2023: $100 / 400 = 25\%$ 2023 to 2024: $400 / 500 = 80\%$ 2022 to 2024: $500 / 400 = 125\%$

Qualitative Guidance

Main Takeaway: Complaints over ride wait times have increased the most in absolute terms. Complaints over food quality have also increased in absolute terms. In percentage terms, these complaints have actually increased the most.

Next steps: Candidate should make decision over which category they would like to explore in more depth and they should provide a justification for this. If they do not choose ride wait times, prompt them that we have data about the average wait time for each ride in exhibit 2)

Strong Candidates:

Most candidates will focus on the increase in ride wait times as this is what stands out from the exhibit. **A strong candidate** will notice that complaints over food quality have increased by a larger percentage. The candidate will likely suggest that they want to look at both, and **a strong candidate** will make a decision on which category they wish to explore and provide a strong justification. This is likely about the ride wait times, due to the sheer number of complaints in this category.

Fantasia: Exhibit 2 Caser Notes

Quantitative Guidance

This exhibit is less concerned with specific number, but rather wants the candidate to identify key trends from the data.

Qualitative Guidance

- Seasonal shift in wait times – with many rides having longer wait times in H1 of a given year than H2.
- Two rides which have seen an increase in wait time, without regular dips are Uh-Oh! and Inferno.
- Increase in wait times started in 2023 – matching up with the increase in customer complaints around wait times
- Candidate may choose to come up with reasons for this increase in wait times (if candidate doesn't volunteer options themselves, use this as the first brainstorming question)

Strong Candidates:

Strong candidates will quickly identify which rides buck the trend and come up with plausible reasons for this. For example, they may hypothesize that certain rides have longer waits due to added complexities, or an increase in demand due to positive reviews for the rides. They will also be able to link this exhibit to exhibit 1, to explain how this may be causing the increase in customer complaints. They may also suggest ways to improve on this or ask for more data to investigate further.

Fantasia: Brainstorm 1

Brainstorm Prompt

What may be the reasons certain rides have seen an increase in wait times while others haven't?

Guidance

This is simply an example of how a candidate may choose to approach this.

Internal Factors (i.e. because of things within the park's control)

- Operational inefficiencies
- Maintenance issues (although exhibit 1 suggests this is becoming less of an issue)
- Staff shortages
- Marketing campaigns highlighting specific rides
- Upgrades to rides
- Inaccurate waiting time predictions
- Poor layout leading guests towards certain rides
- App issues
- Newer rides
- Non-ride offerings are poor

External Factors (i.e. because of things not in the park's control)

- Social media attention for specific rides
- Changes in guest demographics
- Changing preferences of visitors
- Publicity of particular rides
- Surge in demand for certain types of rides
- Similar rides becoming popular with competitors
- Seasonal weather pushing guests towards covered/indoor rides

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**. A great candidate will leverage information from other parts of the case, and be creative.

Fantasia: Brainstorm 2

Brainstorm Prompt

What are some ways Fantasia can improve customer experience?

Guidance

This is simply an example of how a candidate may choose to approach this.

	Rider Wait Times	Food Quality	Other
Short-Term	• Add seating while queuing • Enhance app to show live wait times • Use park ambassadors to direct guests and reduce crowding at rides • Offer special rates for quiet hours	• Introduce seasonal menus • Add mobile ordering to reduce congestion	• Increase frequency of restroom cleaning • Improve signage • Launch real-time feedback
Long-Term	• Introduce a virtual queuing or reservation system • Redesign park layout • Add an express pass, allowing queue jumping for a fee • Create a more functional app	• Partner with food vendors to increase quality and variety • Renovate food court areas • Hire renowned chefs to design the menu • Source fresh ingredients • Add more food stalls/courts	• Build more rides • Introduce interactive shows or performances • Offer personalized tours • Improve range of merchandise

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**. A great candidate will leverage information from other parts of the case, and be creative, devising a range of solutions, some of which may not already exist in current theme parks.

Fantasia: Conclusion

Recommendation

The increase in customer complaints problem stems primarily from two areas: excessive ride wait times, especially for Inferno and Uh-Oh!, and rising dissatisfaction with food quality, possibly due to a change in vendor.

We recommend a staggered approach to address the issue in the short- and long-term.

- **Short-term:** Introduce queue management solutions (express passes, real-time wait time display) and improve food offerings via seasonal menus and mobile ordering.
- **Long-term:** Implement a virtual queue system, redesign high-traffic areas, and overhaul food court vendor partnerships.

Rationale

- Complaints about ride wait times have increased by 4,200 between 2022–2024 (the largest absolute increase).
- Food quality complaints have increased by 125%, the highest percentage jump.
- Exhibit 2 shows some rides are disproportionately affected, most notably Inferno and Uh-Oh!
- Fantasia has not modernized - no app, no queue tech - leaving it behind competitors in managing demand and guest experience.

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Risks

- Implementation complexity of virtual queueing systems and layout redesign.
- Pushback from guests over express pass pricing or perceived “line jumping.”
- Vendor resistance or increased costs during food quality improvements.
- Risk of misidentifying root cause if guest behavior is not also monitored post-implementation.

Next Steps

- Conduct a ride capacity analysis to prioritize queue investments.
- Pilot an upgraded mobile app with wait time tracker + ambassador program at busiest rides.
- Launch guest food preference surveys to guide vendor partnerships.
- Evaluate feasibility of virtual queue platform (build vs. buy).
- Monitor impact via NPS and complaint volume by category.



Exhibit 1: Customer Complaints By Category

Number of Customer Complaints at Fantasia Between 2022 and 2024

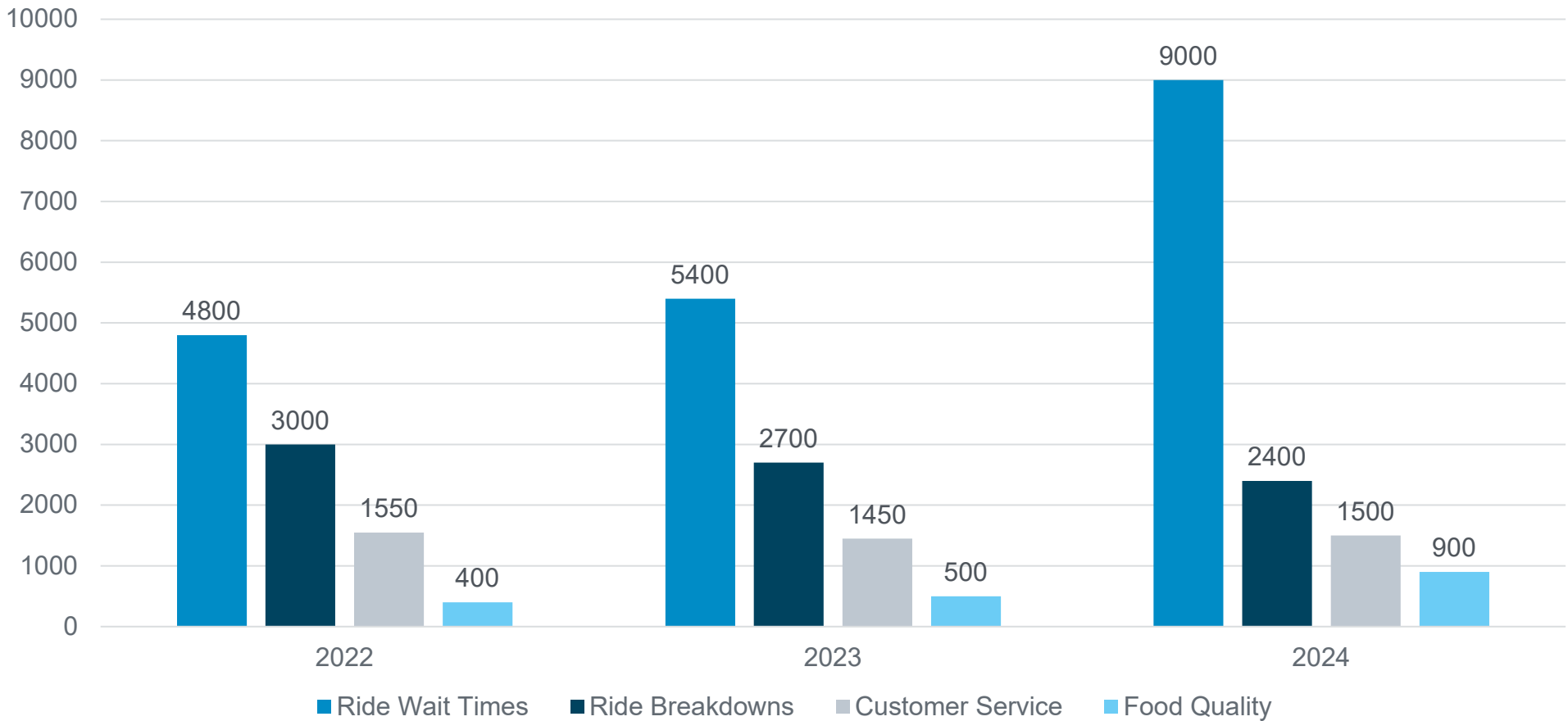
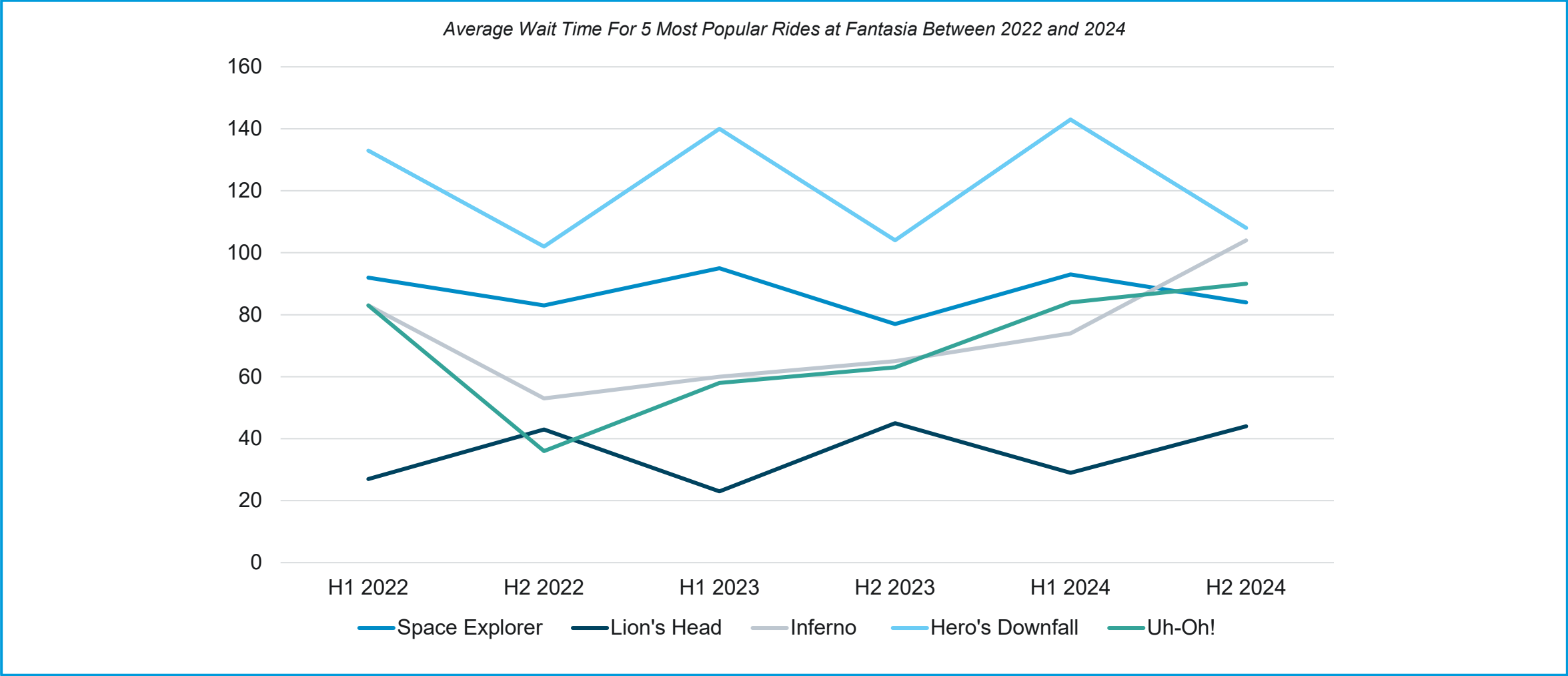




Exhibit 2: Average Wait Time By Ride



Case # 5

Ride Sharing Platform

Written by Sean Bahk (CBS '26)

Case Type: Profitability / Market Entry

Quant Difficulty: 7 / 10

Qual Difficulty: 6 / 10

Firm Type: BCG / Bain

Industry: Transportation / Technology

Business Model: Online applications / ride sharing

Key Concepts: Profits, market opportunity

Ride Sharing Platform: Case Intro

Case Prompt

Our client, Columbia Shared Cars (CSC), is a middle- to long-distance ride-sharing platform that primarily finds rides along the East Coast of the United States. Since its launch in 2022, CSC quickly achieved success by providing a more personalized and flexible alternative to traditional transportation methods, such as buses and trains.

The client, now experiencing stagnant profit levels on the East Coast, is seeking to expand its operations to the West Coast. It has asked us to help identify the best location for expansion.

Clarifying / Background Information

Where does the client operate?

All along the East Coast, with a high concentration in the tri-state area.

Does the client have a specific target?

It wants to expand into the geography that will generate at least \$25 million in profits in 2025.

What are the clients' revenues/costs/profits? **We'll get to that later**

What is the clients' business model?

Ride-sharing platform (operating via mobile application and website) that connects drivers and riders for medium- to long-distance trips, typically between cities. It is designed for longer distances, with rides posted in advance, allowing people to "sign up" for available spots.

What are the clients' main products / revenue lines?

Three lines of revenue: Commission per ride (main), surge pricing (holidays and weekends), and advertising partnerships

Ride Sharing Platform: Case Intro

Sample Framework

1. Company capabilities	• Financial Considerations • Revenue streams (commission fee, surge pricing etc.) – sufficient? • Capital to invest into new regions, debt to be repaid • Non-financial Considerations • Infrastructure, technology (up-to-date, secure), personnel – ready?
2. Market (of new location)	• Market/competitors • Market share or size? Fragmented or consolidated? Number of competitors? Year of entry? Pricing models? • Customers • Brand loyalty? Standard of living/GDP per capita? Transportation or travel patterns? Application familiarity? Receptive to new apps/tech?
3. Ways of Entry	• In-house (built-in) • Build the system in the new region • Joint venture • Partner with an existing firm • Acquisition • Buy a firm already operating in that region
4. Other Considerations	• Regulations (tax, insurance requirements, driver background checks etc.) • Rapidly changing transportation/ ride-sharing atmosphere (volatile gas prices, safety concerns, self-driving cars/buses etc.) • Option to not enter market

Interviewer Guidance

Let them build a framework and think about what are the main considerations when entering a new market. If they are stuck, **ask what are some common challenges a company faces when entering a new market. Also ask about what are the different ways of entry.**

Pay close attention to the framework, and make sure the caser addresses both the company's capabilities and modes of market entry.

Caser should infer from the prompt that this is a profitability and market entry case. If the case asks about the current market, show them exhibit 1. If the caser asks about potential ways of entry, show them exhibit 2.

Ride Sharing Platform: Exhibit 1 Caser Notes

Quantitative Guidance

Overall Revenue Calculations

Routes	2025 (projected) revenue
Seattle ↔ Portland	10% (expected market share) X 20% (commission) X \$100 (price) X 1,200,000 (riders) X 12 months = \$28.8 million
San Francisco ↔ Los Angeles	2% (expected market share) X 20% (commission) X \$150 (price) X 3,000,000 (riders) X 12 months = \$21.6 million
Los Angeles ↔ Las Vegas	25% (expected market share) X 20% (commission) X \$20 (price) X 2,700,000 (riders) X 12 months = \$32.4 million

The candidate should see that the **Los Angeles ↔ Las Vegas** route generates the most revenue. Strong candidates should inquire about associated costs next.

Make sure to guide the caser if they are struggling with the calculations. Warn them to watch out for the units (in thousands and in months).

Qualitative Guidance

Main Takeaway – The LA/LV route is the route that CSC should focus on, and it also has an upward trend hence is the most promising route out of the three.

Next steps should be to investigate the costs and think about how to enter the market.

Strong Candidates:

Most candidates will do all the revenue calculations and find the route with the highest revenue figure. **Strong candidates will be able to eliminate the SF/LA route right away by looking at the market share and noting the decreasing trend. A very strong candidate would analyze the qualitative benefits and risks of these routes. (e.g. regulatory changes when traveling within vs. between states, availability of other options, rider safety etc.)**

Ride Sharing Platform: Exhibit 2 Caser Notes

Quantitative Guidance

Overall Revenue Calculations

Routes	2025 (projected) costs and profits
Seattle ↔ Portland	$(\$200,000 + \$100,000) \times 12 \text{ months} + \$1,200,000 = \$4.8 \text{ million}$ Profits: $\$28.8 \text{ million} - \$4.8 \text{ million} = \$24 \text{ million}$
San Francisco ↔ Los Angeles	$(\$100,000 + \$200,000) \times 12 \text{ months} + \$1,000,000 = \$4.6 \text{ million}$ Profits: $\$21.6 \text{ million} - \$4.6 \text{ million} = \$17 \text{ million}$
Los Angeles ↔ Las Vegas	$(\$300,000 + \$250,000) \times 12 \text{ months} + \$3,800,000 = \$10.4 \text{ million}$ Profits: $\$32.4 \text{ million} - \$10.4 \text{ million} = \$22 \text{ million}$

The candidate should see that once the costs are factored in, the **Seattle ↔ Portland** route generates the most **profits**. Make sure to guide the caser if they are struggling with the calculations. Warn them to watch out for the units (in thousands/months/years).

Qualitative Guidance

Main Takeaway – The Seattle/Portland route is now the route that CSC should focus on, given the highest profit numbers. However, this does not meet the company’s target of a \$25 million profit in year 2025.

Next steps should be to investigate other options to enter the market. (If short of time or candidate analyzes pros/cons of each route, let them expand on that thought.)

Strong Candidates:

Most candidates will do all the cost calculations and find the route with the highest profit figure. **Strong candidates will be able to eliminate the SF/LA route right away by noting the similar cost figures with Seattle/Portland. A strong candidate would also group the monthly expenses together when calculating to simplify the math.**

Ride Sharing Platform: Brainstorm (Option 1)

Brainstorm Prompt

What are some ideas to increase profits so that CSC meets its target?

Guidance

Rev Ideas

1. Analyze pricing data from the most successful East Coast routes and implement best practices

2. Implement “Wait and Save” or seasonal promotions that slightly decrease price but greatly increase demand
3. Partner with airports/bus stations/train stations

4. Stick with the East Coast and/or identify other potential locations closer to the East Coast (more feasible due to proximity)

Cost Ideas

1. Streamline procedures/increase efficiency/use infrastructure and ideas from the East Coast to reduce costs

2. Find ways to bring down “other fees” in the LA/LV route given its promising outlook
3. Consider other means of entry such as JV that have generally lower costs

4.

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Ride Sharing Platform: Brainstorm (Option 2)

Brainstorm Prompt

What are some other ways of entry that would help CSC meet its profit goals?

Guidance

	Built-in (case)	Joint Venture	Acquisition
Pros	1. Proprietary information and knowledge 2. Complete control	1. Faster way to enter the market 2. Costs are spread between two companies	1. Fastest and most efficient way to enter the market 2. Fast knowledge absorption
Cons	1. Long process and expensive 2. Possible lack of expertise (at first)	1. Limited control and ownership 2. Possibility of tension (disputes on intellectual property, differing company cultures, rivalry etc.)	1. Expensive 2. Possibility of cultural clashes, employee dissatisfaction, and lags in technology adoption

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Ride Sharing Platform: Conclusion

Recommendation

CSC should focus on the Seattle/Portland route. However, this falls \$1 million short of its goals. We therefore recommend:

- 1) Driving up revenue by leaning on East Coast best practices having seasonal promotions to bring customers in**
- 2) Reducing costs, especially other costs for the LA/LV route because this route has great increasing revenue potential**
- 3) If not feasible, find other methods of entry to meet its goal**

Rationale

The profit-maximizing route is the Seattle/Portland one, mainly driven by high prices and low cost. There is a 100K/month or 1.2 million passengers/year increase, making this route attractive. An alternative is the LA/LV route given its upward trend. If we find a way to decrease its “other fees” this might be a better option. It will capture 25% market share. The company already has had success on the East Coast, so there are many skill sets it can leverage from its existing practices.

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Risks/challenges

- 1) Different states have different regulations. 2 of the 3 routes are operating between different states.
- 2) The ride-sharing landscape change: volatility of gas (commodity) prices, rising safety concerns, the rise of self-driving vehicles.
- 3) Market saturation: abundance of alternatives such as other ride-sharing apps and cheap public transportation.
- 4) All numbers are mere (hopeful) projections.

Next Steps

We believe we can work with you to leverage the best practices from the East Coast and implement them in a cost-efficient manner on the West Coast. We will also do our due diligence on the differing transportation regulations to ensure a smooth launch. We will also conduct a more comprehensive market analysis to ensure the projections are sound and will hold in 2025.



Exhibit 1: Number of Travelers on West Coast

Routes		2023	2024	2025 (projected)	CSC's expected market share
Seattle ↔ Portland Average estimated price of ride: \$100	Average number of travelers per month (thousands)	1000	1100	1200	10%
San Francisco ↔ Los Angeles Average estimated price of ride: \$150	Average number of travelers per month (thousands)	3500	3250	3000	2%
Los Angeles ↔ Las Vegas Average estimated price of ride: \$20	Average number of travelers per month (thousands)	2200	2500	2700	25%

Note: CSC will receive 20% commission from all rides, regardless of the distance.

Exhibit 2: CSC's Projected Costs of Expansion (2025)

Cost breakdown (\$ thousands)	Seattle ↔ Portland	San Francisco ↔ Los Angeles	Los Angeles ↔ Las Vegas
Insurance*	200	100	300
Data center expenses*	100	200	250
Other fees**	1200	1000	3800

* Note: Insurance and data center expenses are paid on a monthly basis.

** Note: Other fees are aggregated and paid on a lump sum. This includes expenses such as marketing fees and lawsuits.
There are no additional personnel costs as CSC plans to utilize its already-existing employees from the East Coast.

Case # 6

Sound the Alarm

Written by Adam Geva (CBS '25) **

Case Type: Market entry

Quant Difficulty: 8 / 10

Qual Difficulty: 6 / 10

Firm Type: BCG / Bain

Industry: Technology

Business Model: Hardware and SaaS

Key Concepts: Market entry, breakeven, customer retention

Sound the Alarm: Case Intro

Case Prompt

Our client, Alarmatron, is a developer of an innovative motion-detection alarm system in the US. Its proprietary Motion-Detection Laser Sensor (MDLS) is highly effective, but its costliness means it is only used for protecting high-value properties.

For the first 10 years after CEO Rex Diamond founded the company, Alarmatron experienced explosive growth in the residential market, servicing family compounds, private gardens, and large homes.

However, residential sales have recently stagnated as the market matured. Management wants to explore potential new markets to target, hoping to achieve profitable growth as it prepares for a looming IPO.

Clarifying / Background Information

What is the clients' business model?

The Motion-Detecting Laser Sensor (MDLS) is patented by CEO Rex Diamond and manufactured in a corporate factory in Tennessee. The company manufactures, markets, installs, and services MDLS and the alarm system and contracts out to a private security firm that visits the site once the alarm is activated.

Purchasers pay an installation fee and an ongoing servicing fee for each unit.

All sales are currently in the residential market.

Are there any defined objectives?

Just finding profitable growth avenues in non-residential markets.

Is the client open to new markets abroad or wants to stay in the US?

Client is looking exclusively at the US.

Is there a timeline for the new market? **We must move as soon as we can. IPO in the next 5 years.**

Sound the Alarm: Case Intro

Sample Framework

1. Evaluate potential markets

- **Industrial**
 - Factories, farms, mines
- **Commercial**
 - High-end offices, luxury retail stores, car dealerships, bank vaults
- **Public sector**
 - Defense facilities, museums, biohazardous labs

2. Assess market attractiveness

- **Market fundamentals**
 - Segments, size, growth trends, competition, customer profiles
- **Potential market financials**
 - Price, expected sales, WTP, deployment + servicing cost, MDLS/ sq. ft.
- **Alarmatron's capabilities**
 - Market-product fit, internal talent, access to market, culture
- **Capital markets preferences (upcoming IPO)**
 - Trading multiple for different markets, investor preferences, reputation
- Opportunity cost (value of alternative routes)

3. Go-to-market strategy

- **How to expand**
 - Organic, inorganic, JV, unused capacity
- **Product**
 - Product mix, modification, pricing
- **Marketing**
 - Sales, tradeshows, advertising
- **Distribution**
 - Field deployment, distribution centers
- **Servicing and aftermarket**
 - Maintenance, local security partners, updates, upselling functions and personnel

Interviewer Guidance

The candidate should understand that the company's previous market (high-end residential) doesn't matter. The candidate should focus on where the company is going, **exploring potential new markets, assessing them, and thinking how to access them best.**

The candidate might also consider other avenues such as:

- **New products / services**
- **New US geographies**
- **New business models**
- **Acquisition**

However, the rest of the case will focus on segments.

A good candidate would be specific for this niche product and unique business model. A great candidate would remember the 3 main lessons about the clients' needs from the prompt:

1. Growth
2. Profitability
3. Potential IPO

Sound the Alarm: Question 1: Market selection

Case Continued

Alarmatron identified a few potential markets shown in Exhibit 1 and would like you to opine and recommend a market to move forward with.

Provide following information upon request

If the candidate asks:

Can I expand into multiple markets or focus on one?

You can only move forward with one market.

Are there any defined objectives?

Just finding profitable growth avenues in non-residential markets.

What do the categories in Exhibit 1 mean?

- ***US Locations: # of labs, museums, bank branches, luxury dealerships across the US and across all competitors***
- ***Product fit: how well does MDLS fit the market's needs without expensive modifications***
- ***Current competition level: How many players are in the market***
- ***Average discount per unit sale: What is the discount alarm system salespeople apply to the average sale***

Sound the Alarm: Question 1 Caser Notes

Quantitative Guidance

Category	Bio labs	Luxury car dealerships	Museums	Banks
Total base (# of US locations)	4,000	5,000	400	70,000
Ave. covered sq. ft. per location	10,000	20,000	200,000	2,500
Potential market size in sq. ft.	40M	100M	80M	175M
Ave. # of sensors / 1,000 sq. ft.	6	12	30	4
Market size in units	240K	1.2M	2.4M	700K
Market size in \$ @\$1,000/unit (Before discounts)	\$240M	\$1.2B	\$2.4B	\$700M
Ave. discount per unit sale	2%	20%	10%	30%
Expected Market Size in \$	\$221M	\$960M	\$2.2B	\$490M

If the candidate asks for a price to calculate \$ value of the market, use \$1,000 installation cost as an estimate.

Qualitative Guidance

Main Takeaway – Museums are the clear winner – the best market to move forward. The candidate may eliminate the other markets without going through the entire math.

Next steps should be to think what's needed for financial evaluation of this market – Upfront cost of market entry, and unit economics for sales in this market.

The candidate doesn't have to go through all the math. The candidate should see that Banks only looks large but are fiercely competitive and that labs are too small to matter.

Strong Candidates:

Many candidates may anchor on Dealerships and Banks because of top-line attractiveness. Only on doing some math does the Museums market come in as a clear winner. A strong candidate would conceptualize why strong competition leads to higher sales discounts, why museums need more sensors, and would intuitively indicate that museums are fewer but are larger in sq. ft. than others.

Sound the Alarm: Question 2: Breakeven analysis

Case Continued

Rex Diamond agrees with your recommendation to target the Museums market and is really excited about this opportunity.

To access this new market, Alarmatron needs to increase its current manufacturing capacity. An expansion of the existing MDLS facility in Tennessee will cost ~\$12M and can be completed one year from now. Funding secured.

Rex's sales associates, Mona and Lisa, have called dozens of museums this week, and identified the Natural History Museum in Denver, CO as a potential first client. The Egyptian Room has experienced security breaches lately.

How many museums would Mona and Lisa have to sign for Alarmatron to break even one year after the facility is ready?

Provide following information upon request

Can we assume each museum has an average of 200,000 sq. ft.?

Yes

What about product mix?

We only sell one type of sensor in this market

What is the unit price of each sensor?

\$1,000 for installation; \$100 per month for servicing

Should we apply the same sales discount?

Yes, 10% - only for the installation.

What are the ongoing costs per unit?

\$500 manufacturing; \$420 installation, \$90 per month for servicing

Sound the Alarm: Question 2 Caser Notes

Quantitative Guidance

Solution	
Upfront price / unit	$\$1,000 * (1 - 10\%) = \900
Upfront cost / unit	$\$500 + \$320 = \$920$
Servicing revenue / unit / year	$\$100 * 12 \text{ months} = \$1,200$
Servicing cost / unit / year	$\$90 * 12 \text{ months} = \$1,080$
Gross profit / unit in Year 1	$900 - 920 + 1,200 - 1,080 = \\100
Upfront Capex	\$12M
Breakeven unit sales	120,000
# of units per museum	$30 * 200\text{K sq. ft.} = 6,000$
Breakeven client # (rounded up)	20

Qualitative Guidance

20 customers doesn't sound like a lot, but there are only 400 customers in the entire market. However, competition is low.

The candidate should see that the company is losing money on the sale of each unit, and profit margin only comes from the ongoing service fee. This makes sense but raises the importance of customer retention.

Strong Candidates:

Strong candidate will ask for all the necessary information to calculate this but will remember what information was already given. They will also point out that margins are only made on servicing fees. They will note that breaking even on a new factory in one year is unheard of, making this market very attractive. The candidate might even ask why not invest more than \$12M?

Sound the Alarm: Question 3: Customer Churn

Case Continued

Rex Diamond and Mona and Lisa are thrilled to hear that they can break even within one year with only a few new clients! Mona has been fielding calls from Egyptian Rooms across the nation eager to protect their precious mummies.

Alarmatron's CFO Terry Dactyl recently shuffled through a report in an industry magazine, he found the following exhibit (Exhibit 2) and wants your opinion.

How would it change your calculation? **No need for math, just how it would change the direction**

Provide following information upon request

After looking at the exhibit:

- *Churn means that the museum stops paying the service fee and returns the equipment. They stop being a client*
- *Returning the equipment is free to the museum; Alarmatron is absorbing the cost of removal*
- *Currently, when a client churns, they immediately stop paying for services*

Sound the Alarm: Question 3 Caser Notes

Quantitative Guidance

If 40% of clients don't pay the full 1 year of service, they each create a loss for Alarmatron. The number of museums needed to breakeven will increase.

Qualitative Guidance

Takeaway: High churn rate is bad for Alarmatron because it is so dependent on service revenue for profitability.

However, if a museum survives the 1st year with an alarm system, it is likely to stick with it.

If the candidate doesn't get there on their own, push them to conclude that 1 year churn might be because of temporary exhibitions.

Strong Candidates:

Strong candidates think about why this chart appears lopsided: 1 year churn is very high, this could be because they are displeased with the product – or because they bought it for temporary exhibitions (or, unlikely, because many museums don't survive more than a year). A strong candidate will start thinking about remedies such as loyalty programs, long-dated contracts, vetting out insolvent museums, or servicing only permanent exhibitions.

Sound the Alarm: Question 4: Brainstorm

Brainstorm Prompt

What are some ideas to reduce the 1st year customer churn among Alarmatron's customers in the museum market?

Possible solutions:

Customer acquisition phase	1. Only service permanent exhibitions / price temporary exhibitions higher	2. Charge a fee on early returns / cancellation	3. Screen out financially struggling museums	4. Sign multi-year contracts
Customer retention phase	1. Strong onboarding program to make sure museums know how to use the tool	2. Monthly surveys / check-in calls to identify potential churners	3. Periodical updates, newsletter, best practices to improve engagements	4. Incentivize salespeople to upsell products to increase loyalty, pay retroactive bonuses to salespeople who acquired customers who stay longer

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Sound the Alarm: Conclusion

Recommendation

We recommend that you expand Alarmatron's MDLS into the Museum market.

Rationale

- The Museum market is an untapped \$2.2B opportunity with low competition, high growth, and positive regulatory environment.
- Museums are uniquely compelling because of large size and need for comprehensive security coverage.
- You can quickly access this market by expanding your Tennessee facility by \$12M, which will pay for itself within one year of operation.

Risks

- 1) First-year churn is high in this industry, which can create an operating loss per client
- 2) Expanding the Tennessee facility will take a full year, might go into cost and time overruns, new competitors might steal market share in the meantime
- 3) Need to secure 20 clients (5% market share) to break even

Next Steps

- 1) Develop a customer retention plan with a dedicated team to reduce churn
- 2) Consider manufacturing acquisition targets / partnerships to increase manufacturing faster
- 3) Consider new pricing strategies to lower the breakeven point and increase margin on unit sales

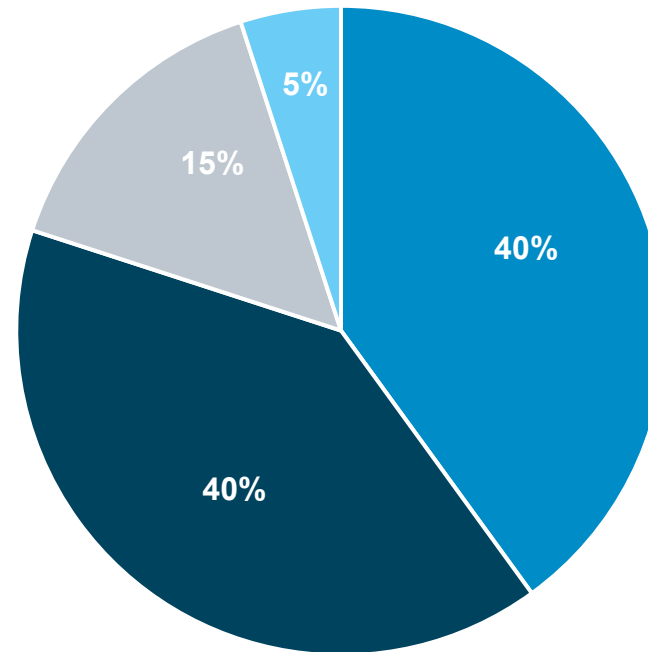
Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Exhibit 1

Market category	Biochemical labs	Luxury car dealerships	Natural history museums	Banks
Total # of US locations	4,000	5,000	400	70,000
Product fit	Low	High	High	Low
Current competition level	Low	Medium	Low	High
Regulation	High	Low	Low	High
Ave. # of sensors / 1,000 sq. ft.	6	12	30	4
Ave. covered sq. ft. per location	10,000	20,000	300,000	2,500
Ave. discount per unit sale	2%	20%	10%	30%
Expected 5-year market growth CAGR	20%	18%	25%	2%

Exhibit 2: Churn on museum alarm systems



■ After 5 years or more ■ Within 1 year ■ Within 3-5 years ■ Within 1-3 years

Case # 7

Streets of Maze Town

Written by Harsh Patel (CBS '26)

Case Type: Revenue Growth

Quant Difficulty: 6 / 10

Qual Difficulty: 8 / 10

Firm Type: BCG / Bain

Industry: Tourism

Business Model: Tourism growth, Town governance

Key Concepts: Feasibility Analysis

Streets of Maze Town: Case Intro

Case Prompt

Our client is the Mayor of Maze Town. She has just been elected as the Mayor and first thing on her agenda is to increase the revenue for the town. The revenue has been stagnant around \$100M for the last 3 years. The growth of infrastructure in the Maze town has stagnated and the Mayor plans to use the increased money to improve the infrastructure. She wants your help to understand the stagnation and how the revenue can be increased.

Clarifying / Background Information

Where is the town located?

Maze town is a tier 2 town present in the Midwest

Does the client have a specific financial target?

No, they want to identify the problem and figure out ideas to solve the problem

Does the mayor have a timeline for the financial change? **As soon as possible**

What are the towns' existing revenue sources? **We'll get to that later. Expectation is the candidate will be able to list a few.**

How does the town's infrastructure projects work?

The infrastructure projects are completely funded by the Mayor's office. The funds come from the revenues earned during the year

Streets of Maze Town: Case Intro

Sample Framework

1. Existing Revenue Sources

- **Revenue sources for a town**
 - Income Tax
 - Tourism/ Concerts/ Carnivals
 - Leasing
 - State/Central government funding
- **Changes in them**
 - YoY Revenue trend
 - Revenue split across different sources

2. Potential Revenue sources

- **New sources**
 - New Kinds of Taxes
 - Different business investments
 - New Technology investment
 - New Manufacturing Potential

3. Implementation Challenges

- Potential impact on the citizens
- Execution capabilities of the rule change
- Capabilities and access to required raw material/ talent for new technologies

Interviewer Guidance

Ask the candidate what potential things could have changed for the different revenue sources to understand the depth/ creativity of the candidate

Pay close attention to the rationale for the solutions.

Interviewer should recall from the prompt that this is not just an issue to identify and improve but also explore potential new revenue options

Streets of Maze Town: Exhibit 1 Caser Notes

Quantitative Guidance

Overall Revenue Growth

- Overall growth in revenue has been 5% but the stagnation is due to drop in tourism revenue
- Overall Revenue Growth is approximately 2.5% per year (5% / 2 years)
- A strong candidate might ask for previous years growth to benchmark the stagnation – Ask the candidate to ignore

Overall drop in Tourism

- Revenue in 2022 – Revenue in 2024
- $30\% * \$100M - 22\% * \$105 = 30M - 23.1M \sim 7M$
- % drop in revenue $> 7M / 30M \sim 23\%$ (candidate may round up to 25%)

Qualitative Guidance

Main Takeaway – The revenue stagnation is due to a drop in the tourism revenue.

Ask the candidate to calculate the drop in the revenue from tourism for dollar and % amount

Next steps should be to think of ideas why this may be occurring, and come up with some suggestions on how the tourism revenue can be increased for the town

Strong Candidates:

Most candidates will zero in on the drop in the revenue due to tourism. A strong candidate will note that despite the covid scare going away the tourism is decreasing and that is a real issue to solve for the town.

Streets of Maze Town : Brainstorm

Brainstorm Prompt – 2 questions

What could be some potential reasons that the revenue from tourism is decreasing?

What are some ways to increase the revenue for the town?

Guidance

	Internal to Town	External to Town
Tourism going down	- Internal policies - Infrastructure degradation - Town offerings outdated - Town negative publicity/ safety concerns - Crowding Issue	- Macro economic shift/ Adverse weather - Alternate offerings / Nearby competition - Location of the town bypassed due to new infrastructure which makes less people go through town - Bad reviews/ Ratings
	#Tourist	Avg Revenue per Tourist (can be further split into days/ spending per day)
Increase Revenue (#Tourists x Avg Revenue per tourist)	- Increase awareness and advertise latest offering - New attractions and events/ conferences/ parades - Competitive pricing - Accessibility from airport/ railway to the attractions	- Tiered packages/ premium tourism package offer - Souvenir shops and local experiences - Longer stay packages/ Family packages - Local business promotion near the attractions - Membership annual programs - Dynamic pricing during peak seasons

Strong Candidates:

Strong candidates will structure before they provide any ideas. The structured bucket shared here are just for reference. The candidate can choose to split the questions in different ways. Push the candidate for at least 4 ideas for both of the brainstorm questions. **a strong candidate can usually suggest 6-8 ideas**

Streets of Maze Town: Exhibit 2 Caser Notes

Quantitative Guidance

	Easter Day Carnival	No Carnival
Total Tourists	13,000	10,000
Avg. Duration of Stay	1.5 days	2 days
% Paying tourists	10,400	9,000
Spends per day	\$50	\$60
Total Revenue	$10.4k * 50 * 1.5 = \$780k$	$9k * 60 * 2 = \$1080k$

- % paying tourist is the key number
- $10.4k * 50 * 1.5$
- Broken across = $10.4k * 1.5 * 50 = (10.4K/2) * 3 * (100/2)$

Qualitative Guidance

Key takeaway is that despite carnival is increasing the number of tourist the revenue is still higher without the carnival as the carnival is attracting lower paying tourists

Candidates should be thinking of ways to make the carnival work as there is a direct impact of increased tourists

If the candidate just mentions not doing the carnival is the way forward, ask the candidate on how can the town make the carnival work

Strong Candidates:

Strong candidates think about overall revenue and not just increased tourists. A good candidate will find that not doing the carnival is the financially viable option, but a strong candidate will mention variables like average duration of stay, % paying tourists, spends per day are the reason why carnival is not working and suggest a way forward on how the carnival can help increase the revenue.

Streets of Maze Town : Conclusion

1. Rationale & Recommendation

The revenue problem lies with the decreasing tourism.

Because:

- 1) Tourism has decreased by ~25% over 2 years so focus should be on increasing revenue through tourism and explore new revenue sources
- 2) Carnival as it is proposed will not boost the revenue

3. Rationale and Risks

Potential Risks – depends on the next step (2 general reasons shared below)

- Town's capabilities to pull off the carnival like developing infrastructure, catering the increased tourists, costs etc.

2. Next Steps

Make the carnival viable by increasing on the average days of stay , average spends during that, average paying tourists. Give 1/2 quick suggestions on how one or more of the metrics can be moved forward

For a strong candidate – if time permits, caser can ask on potential 3-4 ways to make the carnival work as a follow up brainstorming question.

One potential structure to answer the question can be –

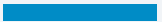
>> # Tourists * Revenue per tourists

➤ # Tourists * (Revenue per tourist per day * #Days spend)

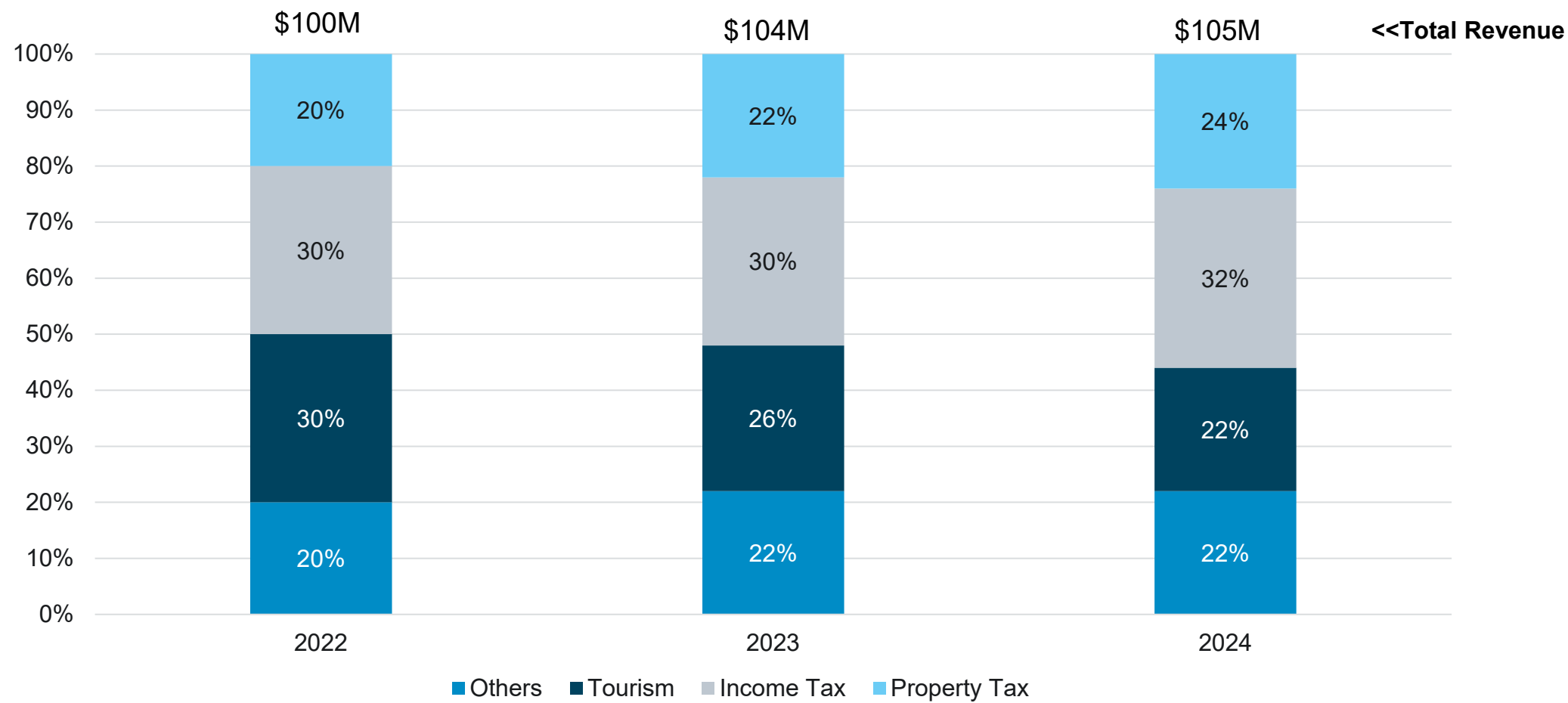
Then share a couple of ideas to move each of the 3 metrics which can help increase overall revenue

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. Based on the structure of the case, the candidate should focus more on potential next steps to make the carnival work and give supporting rationales and risks. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.



Streets of Maze Town: Exhibit 1





Streets of Maze Town: Exhibit 2

Maze town has decided to throw an Easter Day Carnival as it is the peak season for them. They have estimated the following change in tourism due to the Carnival.

	Easter Day Carnival	No Carnival
Total Tourists	30% increase	10,000
Avg. Duration of Stay	1.5 days	2 days
% Paying tourists	80%	90%
Spends per day	\$50	\$60

Case # 8

Bookworm.com

Written by Monica Lo (CBS '26)

Case Type: Profitability

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: McKinsey

Industry: Retail

Business Model: E-Commerce

Key Concepts: Profitability Incremental Analysis

Bookworm.com: Case Intro

Case Prompt

Bookworm.com is one of the leading online book retailers in the United States. Customers can purchase physical books—ranging from textbooks and fiction to autobiographies—and either have them delivered or pick them up at local convenience stores. While the company also offers a small selection of e-books, its core business remains in physical book sales.

Despite operating in a stable and growing U.S. bookstore and publishing industry, Bookworm.com has experienced a steady decline in profits over the past few years. This is surprising given its strong service reputation and wide-ranging inventory.

The CEO has asked us to identify the root causes behind the company's declining profitability and recommend strategies to reverse the trend.

Clarifying / Background Information

(It's fine if the candidate doesn't ask clarifying questions, since the prompt provides sufficient background information.)

Does the client have a specific financial target?

No, they just want to identify the problem and figure out ideas to increase profitability.

What are the client's revenues/costs/profits?

(Ask the candidate to name some revenue streams and cost drivers.) After that, tell them we'll get to that later

What are the client's and competitors' business models?

As mentioned in the prompt, Bookworm.com and its competitors primarily sell physical books and e-books online and have minimal revenue from ancillary products.

Bookworm.com: Question 1 - What factors should you consider when exploring the reasons & potential solutions of declining profit?

Sample Framework

1. Market Diagnosis

- **Market Size & Growth**
 - US book market size and growth
 - Industry disrupters and trends
- **Customers:** Customer segments, preferences, and purchasing behaviors
- **Competitors**
 - Competitors' market share, product mix, and profitability trend
 - The operational difference between client and competitors
 - New competitors or substitutions (e.g., e-book platforms)

2. Profitability Issue Identification

- **Revenue**
 - Book sales: Customer count * Avg. Purchase Frequency * Avg. Ticket Size
 - Ancillary sales: Bookworm.com branded products (e.g., tote bags, postcards, bookmarks, etc.)
 - Other revenue: delivery fee, etc.
- **Cost**
 - Fixed cost: Technology & platform maintenance fee, labor cost, inventory storage & management fee, utilities, overhead, etc.
 - Variable cost: COGS, inventory transportation fee, etc.

3. Operational Consideration

- Client's book collection diversity and coverage
- Operation efficiency: warehouse and fulfillment center location
- Risk: Fewer physical book readers because of the increasing in e-books and library collection's digitalization

Interviewer Guidance

This is a McKinsey-style (interviewer-led) case. After the candidate asks clarifying questions, proceed with Question 1.

Based on the prompt, the candidate should be able to recognize that this is a **profitability issue**.

The candidate's framework should include the following basic elements:

1. **Market & competitors:** Given that the U.S. bookstore industry is growing, the candidate should deduce that the profitability issue lies primarily within the client itself and explore how competitors might be performing differently.
2. **Profitability Analysis:** If the candidate provides general categories under revenue and costs, prompt them to identify specific revenue streams and cost drivers relevant to an online book retailer.

After the candidate presents the framework and ask about how the client differs from competitors, ask them Question 2, and show them Exhibits 1, 2, 3, 4.

Bookworm.com: Question 2 – What are the key drivers of client’s profitability issue, and how to turn it around? (Hand out Exhibit 1 to 4)

Graph Interpreting Guidance

Exhibit 1 - Sales Trend

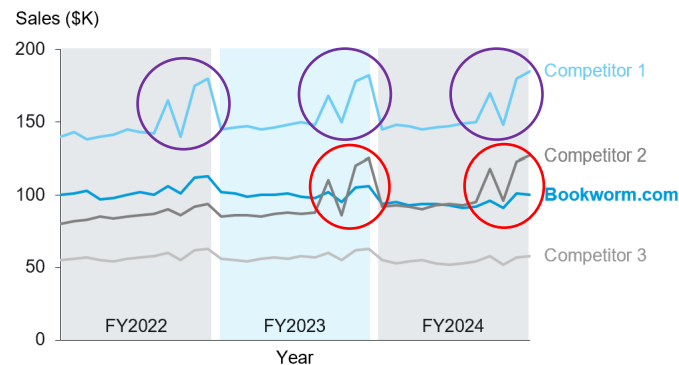


Exhibit 2 – Market Share

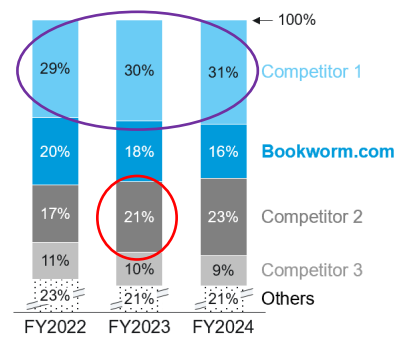


Exhibit 3 – Average Ticket Size

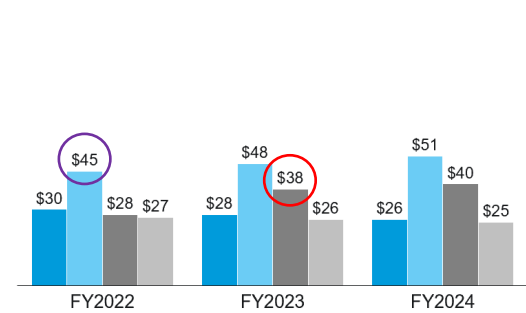
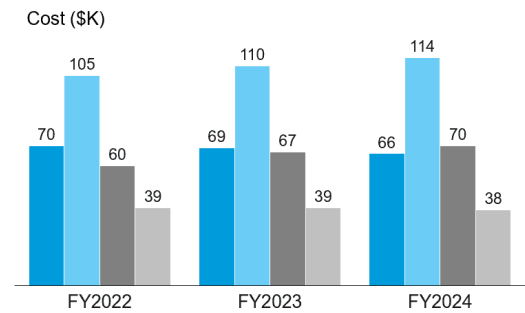


Exhibit 4 – Cost Comparison



Bookworm.com Competitor 1 Competitor 2 Competitor 3

By analyzing **Exhibits 1 and 2**, the candidate should observe the following:

1. Competitor 1 consistently held the largest market share and sales, likely due to strong brand and operating practices like **year-end sales** and a **loyalty program**.
2. Competitor 2 experienced a notable sales and market share boost in FY2023, likely from **launching year-end sales** that year.
3. Both the client and Competitor 3 saw declining sales and share over the past three years, primarily **due to the lack of special promotions**. However, they did see **minor natural sales increases during key months** like September (Back to School), November (Black Friday), and December (Christmas).

With **Exhibit 3**, the candidate should notice:

1. Competitor 1 consistently had the highest ticket size, driven by successful operations, including year-end sales and a loyalty program.
2. Competitor 2 saw a **significant increase in avg. ticket size** in FY2023, suggesting its year-end sales effectively boosted both ticket size and total sales.

By comparing **Exhibits 1 and 4**, the candidate should conclude that **there’s nothing unusual about any player’s costs**, as they remained stable at around 70% of each of their sales over the past three years.

Thus, the client’s main profitability issue stems from declining sales. While candidates can explore various solutions, introducing promotions to stay competitive should be one of them.

Bookworm.com: Question 3 – Would it be profitable for client to run a Black Friday campaign offering a \$10 gift card for November monthly spending \$150+?(Hand out Exhibit 5)

Quantitative Guidance

Calculate the # of customers who receive SMS in each segment, and how many would meet the \$150 threshold and qualify for the \$10 gift card

- The numbers are designed ($33\% = 1/3$, $25\% = 1/4$, $42\% = 1 - 1/3 - 1/4$), so strong candidates will realize that using fractions to do the math can make the calculations quicker and easier.

Seg.	# of Customers who receive SMS	Threshold-hitting Customer count
A. Book Lover	$750K * 1/3 = 250K$	$250K * 1/5 = 50K$
B. Deal Seeker	$750K * 1/4 = 187.5K$	$187.5K * 1/3 = 62.5K$
C. Students	$750K - 250K - 187.5K = 312.5K$	$312.5K * 5\% = 15.6K$

Total incremental cost from the campaign (gift card cost)

- $(50K + 62.5K + 15.6K) * \$10 = \$1.3M$

Total sales incremental from the campaign: **\$13.7M**

Seg.	Total Sales Incremental (# of Cus. * Avg. Incremental)
A. Book Lover	$250K * \$20 = \$5M$
B. Deal Seeker	$187.5K * \$30 = \$5.6M$
C. Students	$312.5K * \$10 = \$3.1M$

Total profit incremental: $\$13.7M - \$1.3M = \$12.4M$

Qualitative Guidance

Overall, the campaign is expected to generate **\$12.4M in incremental net profit—a ~40% increase in profitability.**

Candidate should focus on **incremental** calculations—there's no need to compute absolute sales, costs, or profit, and they can ignore the last column in the table.

Candidate should emphasize that while only a certain percentage of customers reach the \$150/month threshold, there has been **growth in the average spend per customer across all segments**. This **increase in average spend is the main driver of profit growth**, as even customers who don't meet the threshold contribute incremental sales with **no additional cost**.

Strong Candidates:

Candidates with strong business sense may question **if the gift card cost is less than \$10**, but let's use \$10 for simplicity.

Some might also raise concerns about **demand shifts** or cannibalizing non-peak sales, but let's assume that's not a concern, as competitors did not experience it.

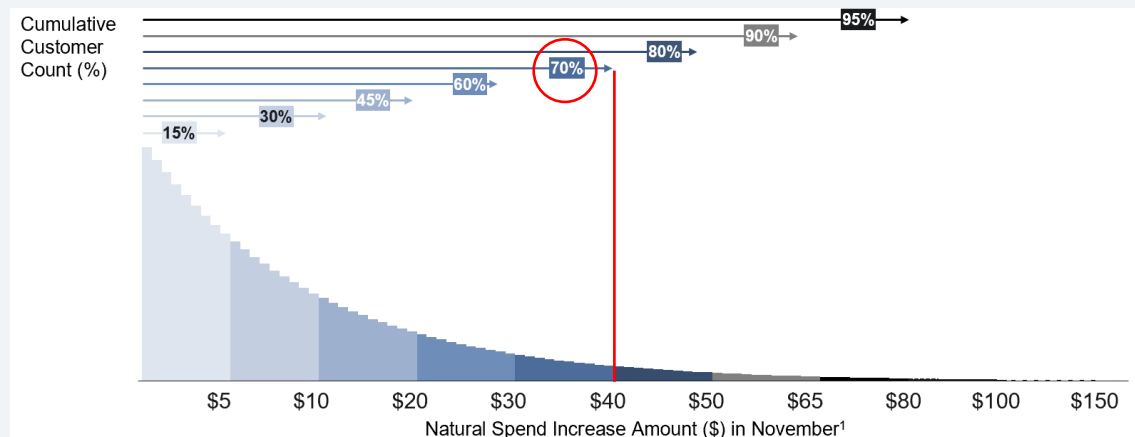
Bookworm.com: Question 4 [Optional] – In peak season “Spend and Get” campaigns, why do e-commerce often waste incentive budgets? To limit client campaign’s gift card waste to under 30%, what non-peak monthly spend level of customers should we target?(Hand out Exhibit 6)

Qualitative & Quantitative Guidance

This is a bonus question—please present it only if the candidate has successfully completed the previous graph-related tasks and there is sufficient time remaining.

Part I: “Spend and Get” campaigns—such as “Spend \$150 and get \$10 cashback”—aim to boost sales during peak seasons. However, a key reason for incentive budget waste is that **some customers naturally increase their spending during these periods and would meet the threshold without the incentive**. **Please guide the candidate to uncover this insight before moving on to Part II.**

Part II: To ensure less than 30% of the gift card budget is wasted, **candidates should work backward**. If waste must stay below 30%, then **at least 70% of targeted customers should NOT naturally exceed the \$150 spend threshold**. Candidates should identify the **natural spend increase amount below which 70% of customers fall – i.e., \$40**. This implies that **70% of customers will increase spending by less than \$40 during November**. Therefore, by **targeting customers whose non-peak monthly spend is \$110 or less** ($\$150 - \40), we can ensure the campaign efficiently allocates incentives and keeps waste under 30%.



Bookworm.com: Question 5 – What are some other ways to increase profitability besides launching peak season sales?

Brainstorm Guidance

Since profit = revenue – cost, ideas can be structured around increasing revenue (sales) and reducing costs. However, candidates can also use alternative structures, as long as they remain MECE (Mutually Exclusive, Collectively Exhaustive). Below are some sample ideas.

Revenue Increase	Change Pricing: Tier pricing (e.g., student discount); Subscription services (e.g., pay \$20/month for a surprise book in the selected genre); Price e-books differently to attract new customer segments Modify Product Mix: Introduce special edition books at higher price points; Launch high-margin ancillary products for book readers (e.g., e-readers, stationery); Host offline events (e.g., book clubs or author conferences) and charge for attendance/membership Sell books in new channels: Partner with chain grocery marts or retailers to display books or offer book pickup services
Cost Reduction	Increase the presence of e-books to reduce inventory management and transportation costs Renegotiate deals with publishers to minimize the risk of unsold inventory Conduct data analysis to more effectively target customers in online marketing campaigns
Others	Launch a loyalty program to boost customer retention and increase average ticket size

Strong Candidates:

Strong candidates will structure before they provide any ideas. Push the candidate to provide at least 4 ideas, and a strong candidate can usually suggest 7-8 ideas. Strong candidates will recall our discussion of competitor 1's loyalty program in exhibits 1 to 4, so launching a loyalty program is a valid suggestion. If they mention it, please ask them Question 6.

Bookworm.com: Question 6 [Optional] – What factors would you consider when designing the client's loyalty program?

Brainstorm Guidance

This is a bonus question—Please only bring it up if the candidate has enough time and suggested a loyalty program in Question 5 as a way to increase profitability

Program Structure	1. What is the primary goal of the loyalty program? Is it to increase transaction frequency, boost average spend, improve retention, or something else? 2. How should we structure the point-earning system? What customer behaviors do we want to incentivize, and how can we align point accumulation with those behaviors? 3. How many tiers should the program have? What are appropriate thresholds for each tier to balance aspiration and attainability? 4. Should points contribute to tier status, benefit redemption, or both? How do we ensure the program rewards both loyalty and continued engagement? 5. Should we include mid-tier benefits or milestones? Would small rewards between tiers encourage more consistent spending and engagement?
Program Content	1. What do our customers value most? (e.g., fast delivery, easy returns, rebates, exclusive access) How can we tailor the program's benefits to align with these preferences and pain points? 2. What features would make the program compelling to join? Are there specific rewards, experiences, or perks that would differentiate our program and drive enrollment and usage?
Program Cost	1. What is the estimated annual cost of running the loyalty program? (e.g., funding for rewards, operations, marketing, and program management) 2. Will launching the program require upgrades to our existing systems? Specifically, do we need to invest in enhancing our CRM or data infrastructure to track points, segment customers, and personalize offers?

Bookworm.com: Conclusion

Recommendation

The client is experiencing declining profits driven by falling sales, potentially due to the absence of peak season promotions. We recommend the following actions:

- 1) Introduce a Black Friday Sale to generate \$12.4M in profit**
- 2) Target promotional efforts toward customers whose average monthly spending during non-peak periods is below \$110**
- 3) Launch loyalty program to drive higher customer spending**

Rationale

- 1) The U.S. bookstore industry is growing; Competitors 1 and 2 are gaining market share and increasing sales with stable costs. The key differences between client and competitors include running year-end sales and offering loyalty program
- 2) Based on incremental analysis by customer segment, client expects to have a \$12.4M (~40%) profit growth after promotion

Risks

- 1) The Black Friday sale may cannibalize non-peak sales by shifting customer purchases forward or backward
- 2) The loyalty program could incur significant costs and may require upgrades to the existing CRM system

Next Steps

- 1) After launching the Black Friday sale, the client should monitor profitability across peak and non-peak seasons to assess the campaign's net impact
- 2) We can collaborate with the client to design and implement the loyalty program effectively

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. The overall time for the entire recommendation is 1-1.5 minutes and should cover both risks and next steps.



Bookworm.com: Exhibit 1 & 2

Exhibit 1 - Sales Trend

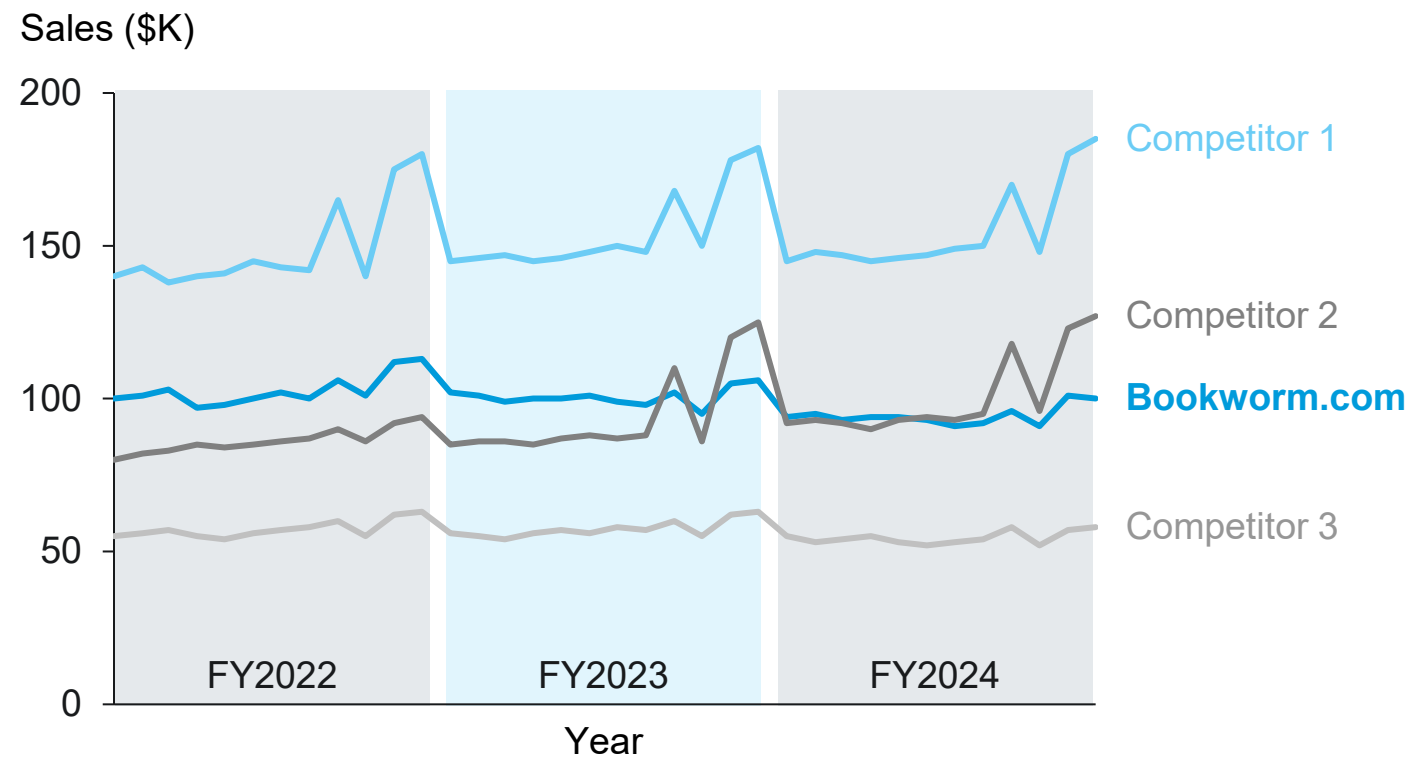
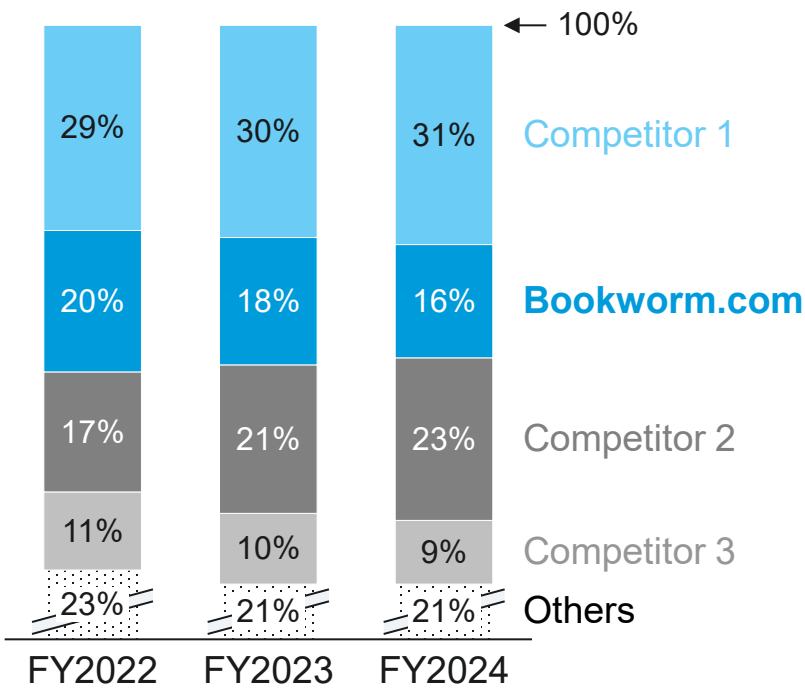


Exhibit 2 – Market Share



Note: Competitor 1 has the most advanced CRM system and started its loyalty program and year end sales in FY2022. Until FY2024, No other players in the US market have loyalty programs. Competitor 2 started its year end sales in FY2023.



Bookworm.com: Exhibit 3 & 4

Exhibit 3 – Average Ticket Size

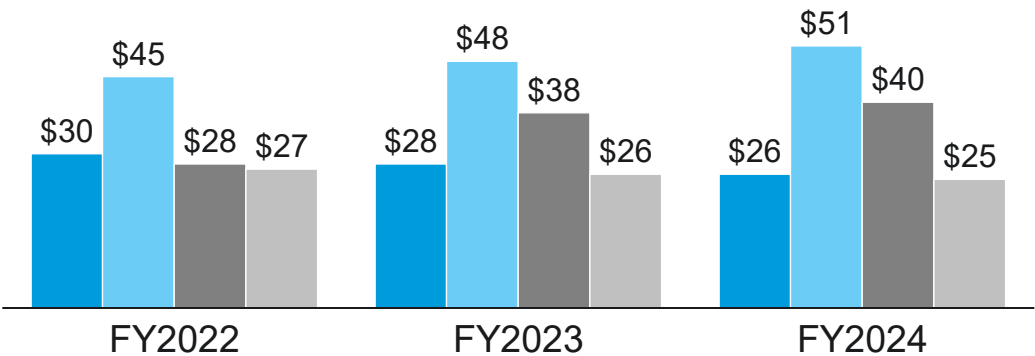
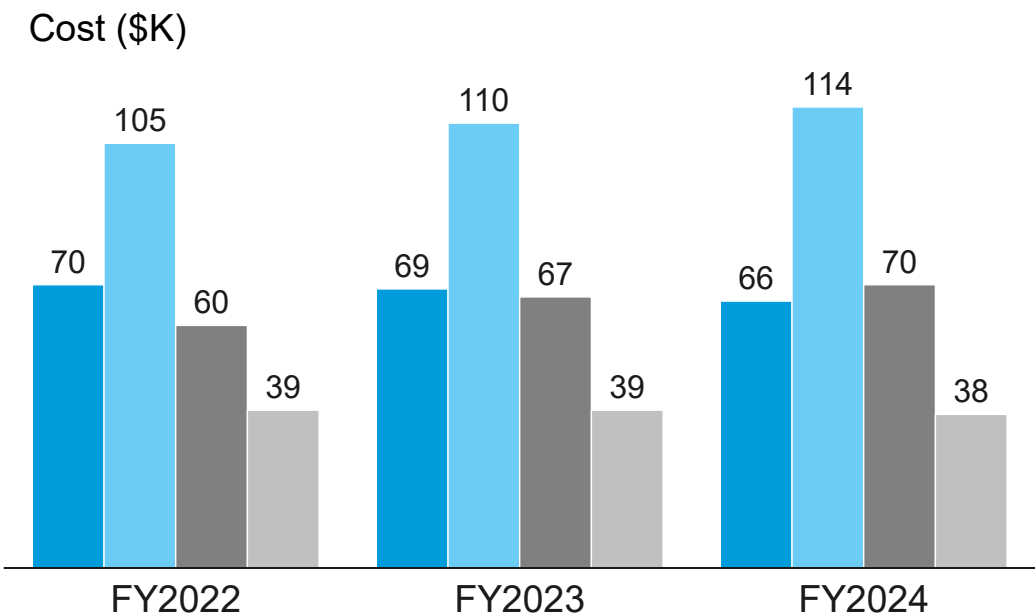


Exhibit 4 – Cost Comparison



Bookworm.com Competitor 1 Competitor 2 Competitor 3



Bookworm.com : Exhibit 5

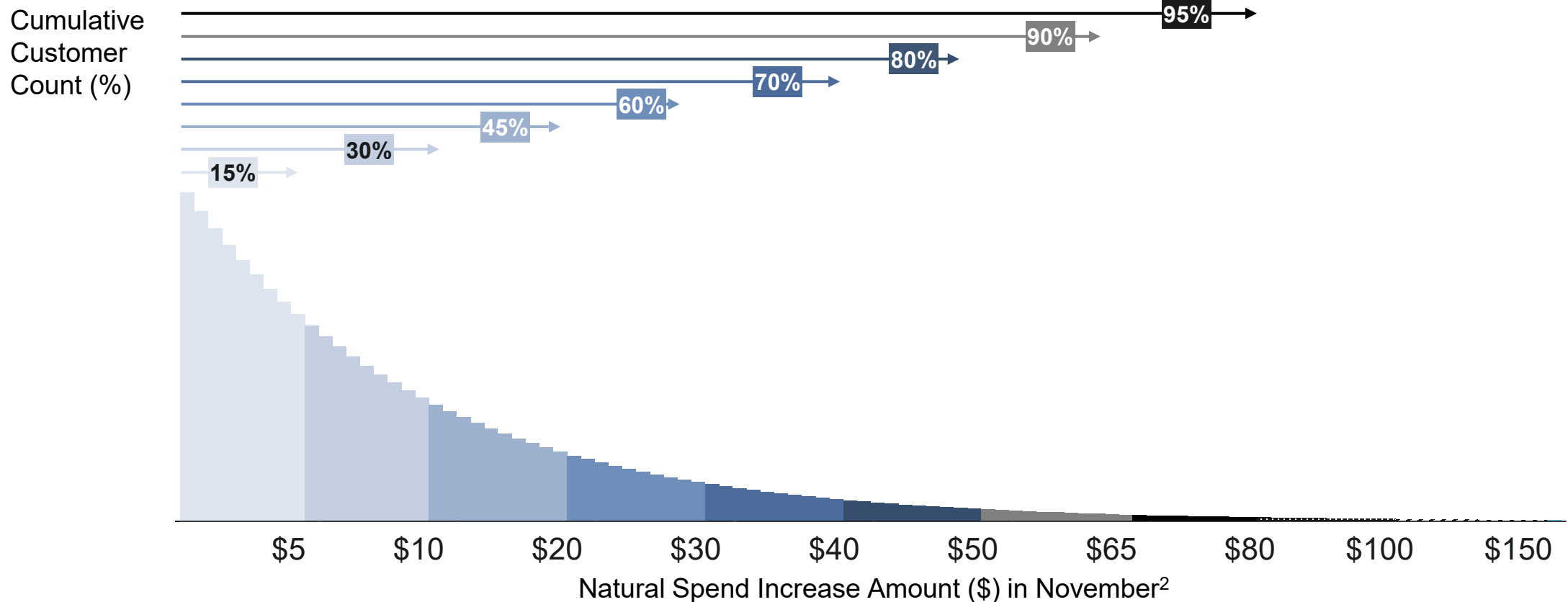
Bookworm.com’s New Black Friday Promotion – “Get a \$10 gift card if you spend \$150+ in November! ¹”

The client can send a total of **750K campaign SMS messages**, which should be distributed across three segments proportionally based on their segment sizes

Customer Segment	Segment Size (% of Customers)	\$150 Threshold hitting rate	Expected average spend incremental per person	Non-peak season ² monthly spend
A. Book Lover	33%	20%	\$20	\$55
B. Deal Seeker	25%	33%	\$30	\$25
C. Students	42%	5%	\$10	\$12.5

1. Even if a customer spends \$300 or more, they will still only receive one \$10 gift card
2. The non-peak season includes all months except September, November, and December

Bookworm.com : Exhibit 6 – Customers' Natural Spend Increase in November¹



1. Customers with non-peak monthly spending under \$200 show a November spend increase pattern as illustrated in the graph
2. "Natural Spend Increase Amount in November" refers to the organic growth in a customer's spending in November compared to non-peak months, excluding the effects of any special promotions

Case # 9

Electrifying RideCo

Written by Akanksha Jethani (CBS '25) **

Case Type: Business Strategy Formulation

Quant Difficulty: 6 / 10

Qual Difficulty: 9 / 10

Firm Type: McKinsey

Industry: Transportation

Business Model: Ride-hailing platform

Key Concepts: Change implementation, Sustainability practices, Pros and Cons of business model

Electrifying RideCo: Case Intro

Case Prompt

Our client, RideCo, a leading ride-hailing company, is looking to enter the electric vehicle (EV) space as part of its sustainability goals. The company aims to reduce its carbon footprint and align with global environmental regulations, such as zero-emission mandates in major cities across the United States.

Transitioning to EVs poses significant challenges, including high upfront costs, limited charging infrastructure, and driver adoption barriers. A significant portion of drivers are independent contractors who own their vehicles. How should the company approach this transition? Should it invest in becoming an EV manufacturer, partner with an EV manufacturer to electrify the fleet, or incentivize drivers to switch to EV vehicles?

The client has asked for recommendations that balances cost-effectiveness, scalability, and environmental impact.

Clarifying / Background Information

Do they have an investment budget?

No specific budget

Does the client have a timeline target?

They want to reach yearly zero emissions in the next 10 years.

What is the current carbon footprint?

We'll get to that later

For any other clarifying questions, you can respond with - We will get to that later or We don't have this information as of now

Electrifying RideCo: Case Intro

Sample Framework

1. Success Measurement

- **Carbon Offset**
 - (Opt1) Manufacture – net of each vehicle manufactured and sold, any additional government incentive, miles driven * cars used by RideCo
 - (Opt2/3) Partner/Driver incentive – avg. miles driven * cars * carbon offset per mile

2. Cost analysis

- **Costs**
 - Opt 1 – Fixed - R&D, Capex, Variable – marketing, COGS, manufacturing, SG&A
 - Opt 2 – Purchase and maintenance cost
 - Opt 3 – Marketing/Incentive costs
 - Additional costs – charging infrastructure development costs

3. Operational considerations

- **Infrastructure development**
 - Availability of partner manufacturers
 - Charging stations across cities – slow and power
- **Driver considerations**
 - Cars – selling or leasing?
 - New incentive management structure
- **Customer experience**
 - Customer acceptance for EV vehicles
 - Brand perception

Interviewer Guidance

Let them state how they would evaluate different options from a quantitative and qualitative basis.

Please pay attention to whether they **can state the right methodology for analysis and how broad are their non-qualitative factors for consideration**

Caser should recall from the prompt that we are evaluating 3 specific options. If the caser asks about data on cost/investment, show them Exhibit 2; if they ask about carbon offset, show them Exhibit 1. You can switch the Q1 and Q2 of the case, depending on the flow of conversation

If they don't direct towards the next steps, read out the question above Exhibit 1

Electrifying RideCo: Exhibit 1 Caser Notes

Prompt

The RideCo CEO wants to know how much carbon can be offset via each of the options. Through this initiative, RideCo is looking to reduce 3.5 billion kg CO2.

If they have not specified in the framework the type of data they need, ask them what kind of data you would need before sharing the exhibit 1

Quantitative Guidance

Option 1:

- From carbon offset - 500,000 cars x 25,000 miles x 0.3 kg CO2 per mile = 3.6 Billion kg of CO2
- From sales – 10,000 cars x 50,000 kg CO2 = 0.5 Billion

Option 2:

- From carbon offset - 500,000 cars x 25,000 miles x 0.3 kg CO2 per mile = 3.6 Billion kg of CO2

Option 3:

- From carbon offset - 250,000 cars x 25,000 miles x 0.25 kg CO2 per mile = 3 Billion kg of CO2 = 1.56 Billion kg of CO2 -> **~50% lower than Option 1 and 2**

Qualitative Guidance

Candidates should not only compare numbers but also think critically about why those differences exist. By quickly scanning the data, they should infer that Options 1 and 2 lead to significantly higher carbon savings than Option 3 due to larger fleet sizes and higher emission reductions per mile.

As next steps, they should suggest evaluating implementation complexity, cost-effectiveness, and operational feasibility as the next steps before recommending a path.

Strong Candidates:

Most candidates will recommend going for manufacturing or partnership, as emission reductions are higher there. **A strong candidate will note that while Options 1 and 2 meet the carbon goal, they likely involve significantly higher costs and layer in cost-benefit or NPV analysis**

Electrifying RideCo: Exhibit 2 Caser Notes

Prompt

The client has proposed three strategies:

- 1) Manufacture and sell vehicles to Uber drivers
- 2) Partner with an OEM to purchase vehicles and employ drivers to ride
- 3) Incentivize drivers to adopt EV

Chart 1 shows the required investment; Chart 2 shows projected fleet electrification. What are your observations and conclusions on the feasibility of each option?

Qualitative Guidance

Candidates must notice that Manufacturing and partnership are both capital-intensive options, but partnership helps us reach the goal faster.

Most candidates will gravitate towards the partnership option, stating lower cost, ability to reach offset target and faster.

As the next step, they can recommend evaluating a new business model of buying the cars instead of independent contractors

Quantitative Guidance

Candidates may look to calculate NPV or build a discounted model. This is a great approach, nudge them towards easier calculations. Cumulative Investment is as follows:

- Manufacture: \$17.5B
- Partner: \$16B
- Driver Incentive: \$1.25B

Strong Candidates:

Strong candidates will point out that while costs are high in Options 1 and 2, there will be additional revenues that have not been accounted for, and we should look at profit for a fair comparison. They may also recommend partnering with OEM to lease vehicles instead of buying to reduce up-front investments. Some candidates may recommend a combination of Option 1 with 3, for support.



Electrifying RideCo: Brainstorm 1

Brainstorm Prompt		Guidance	
RideCo is concerned about moving to an asset-heavy business model. What are some pros and cons of adding a model where RideCo owns the fleet and employs drivers specifically in the context of Electric vehicles?			
	Pros	Cons	
	1. No upfront cost for drivers, enabling faster adoption. 2. Standardizes vehicle specifications, maintenance, and emissions reduction. 3. Allows centralized optimization of routes and charging cycles. 4. Full access to vehicle telematics, battery performance, and charging data enables long-term optimization and strategic partnerships. 5. Increases brand visibility on roads through owned vehicles. 6. While upfront costs are high, owning can be more economical in long run.	1. High capital expenditure requires strong cash flow management. 2. Employing drivers introduces compliance, HR, and potential unionization risks. 3. Managing a large EV fleet—including procurement, maintenance, and battery lifecycle—requires new capabilities and dedicated teams. 4. Scaling operations up or down becomes more capital-intensive compared to the asset-light model. 5. Additional management is needed to ensure income parity between fleet and non-fleet drivers.	
Strong Candidates:		Strong candidates will structure before they provide any ideas. Push the candidate to provide at least 3 ideas, and a strong candidate can usually suggest 7-8 ideas.	

Electrifying RideCo: Brainstorm 2 (Optional)

Brainstorm Prompt	Guidance	
The client appreciates the analysis on EV strategies but notes that these efforts will only partially meet their overall sustainability targets. They are now seeking additional long-term initiatives to further reduce or offset their carbon footprint. What other actions can RideCo explore over the next 10 years?	Higher electrification of the fleet	New initiatives
	1. Offer enhanced bonuses or incentives to encourage drivers to switch to EVs. 2. Provide charging subsidies, especially for fast charging, which is costly but essential for cab drivers. 3. Prioritize ride requests for EV cabs to improve driver earnings and visibility. 4. Offer a diverse range of EV models (SUVs, sedans, trucks) to meet varying driver needs and preferences.	1. Develop charging infrastructure powered by renewable energy sources like solar and wind. 2. Invest in carbon offset programs, such as methane capture. 3. Incentivize riders to choose eco-friendly options, (RideCo Share or EV rides) 4. Collaborate with battery recyclers to minimize waste and support sustainability. 5. Reduce energy waste by minimizing downtime and optimizing charging cycles.

Strong Candidates:	Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, and a strong candidate can usually suggest 7-8 ideas
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Electrifying RideCo: Conclusion

Recommendation

We recommend RideCo to enter a strategic partnership with an OEM to preferably lease or buy the vehicles and employ drivers

Risks

- 1) RideCo will need to build new teams to manage fleet operations.
- 2) Running both contractor and employee driver models may create internal complexity.
- 3) Scaling charging infrastructure quickly will be a major challenge.

Rationale

- **Accelerated Fleet Electrification:** Not dependent on independent driver adoption; enables faster scale-up.
- **Lower Investment vs. Manufacturing:** More cost-effective path to achieving carbon offset targets (~3 billion kg CO₂).
- **Greater Control:** Standardization of vehicle specs, charging cycles, and customer experience.

Next Steps

We can help you

- 1) Evaluate and shortlist OEMs for potential partnerships.
- 2) Design a new operational and financial model for the asset-heavy EV fleet.
- 3) Strategize for charging infrastructure rollout in high-priority cities.

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

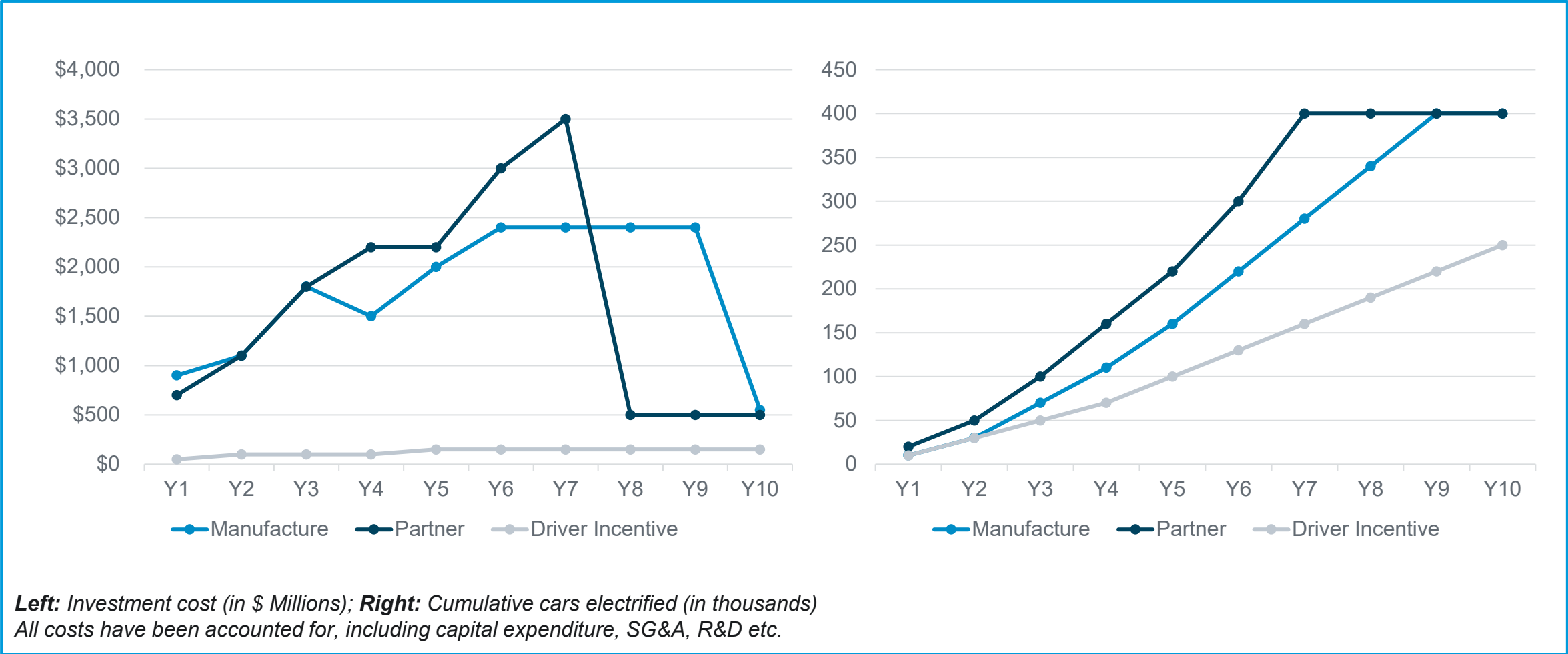
Electrifying RideCo: Exhibit 1

	Option 1 - Manufacture	Option 2 – Partner	Option 3 – Driver incentive
Cars (Under RideCo)	500,000	500,000	250,000
Avg. Miles per year	25,000	25,000	25,000
Emission reduced per mile	0.3 kg CO2 per mile	0.3 kg CO2 per mile	0.25 kg CO2 per mile
Addl. cars sold (Yearly)	50,000		
Carbon offset	50 carbon credit per vehicle sold		

Note: All these numbers are as of Year 10, 1 carbon credit = 1 ton kg CO2, 1 ton = 1000kg



Electrifying RideCo: Exhibit 2 – Investment and Cars electrified



Case # 10

Hairstyle Co

Written by Harsh Patel (CBS '26)

Case Type: Profits, Cost Optimization

Quant Difficulty: 7 / 10

Qual Difficulty: 7 / 10

Firm Type: BCG / Bain

Industry: Retail Store

Business Model: Service retail, Pricing/Promotions

Key Concepts: Profitability, Customer Segmentation

Hairstyle Co: Case Intro

Case Prompt

You are a consultant brought in by the owner of a barbershop located near Columbia University. Over the past three months, the shop has seen a noticeable decline in profits. The owner is particularly concerned, and she wants your help to understand what's causing the drop and how to fix it.

Clarifying / Background Information

What services does the barbershop offer?

The barbershop offers hair cutting and grooming. It is a unisex shop

How much has the profits decreased? Is there a specific goal of increase in the profits the owner is looking for?

The profits have decreased by 10%. The owner is looking to at least increase the profits back to the earlier level (3 months ago)

What are the shop's working hours? **The shop is open from 9 am to 7 pm on Monday to Saturday.**

Does the owner have a timeline for the profits change? **As soon as possible**

Hairstyle Co: Case Intro

Sample Framework

1. Market/ External Factors

- **Market Trend & Growth**
 - Current Market share
 - New entrants/ Competition
 - Competitive Advantage
- **Customers**
 - Customer segments distribution
 - New customer trends

2. Financials

- **Profits = Revenue - Cost**
 - Revenue – Price, Volume, Product mix
 - Cost > Fixed – Rental & Operations, Employee cost, Insurance, Sanitization; Var– Material costs, Discounts/ Marketing, Payments etc
 - Benchmark against past performances
- **Ways to increase profits**
 - Revenue > Bundles, Premiumization, Price, Longer hours etc.
 - Cost > Renegotiate contracts, change in materials, Employee hours, commission model etc.

3. Qualitative impact

- Access to labor for suggested changes
- Impact on foot traffic

Interviewer Guidance

Given the framework is profitability – focus on the depth of the framework by the candidate. How much is the candidate able to mention the revenues and costs specific to a barbershop. If the candidate uses generic point, ask the candidate to list down potential 3-4 revenue/ cost/ impact on suggested profit measures.

Lead the student that we have information across revenue/cost for the last 3 months across different customer segments.

Hairstyle Co: Exhibit 1 Caser Notes

Quantitative Guidance

Overall Profits

- Overall the profits have decreased by 500\$ over the last 3 months
- **Calculations are shown below**

Revenue (\$)	January	February	March
Student	$3000 - 1500 = 1,800$	$3200 - 1750 = 1,450$	$3300 - 2100 = 1,200$
Professionals	$4500 - 2300 = 2,200$	$4600 - 2350 = 2,250$	$4700 - 2400 = 2,300$
Tourists	$1500 - 500 = 1,000$	$1700 - 700 = 1,000$	$2100 - 1100 = 1,000$
Overall	5,000	4,700	4,500

Qualitative Guidance

Main Takeaway – The profits are decreased driven by the student segment. Students profits have decreased by \$600 (33%)

Ask the candidate to calculate the drop in the revenue overall and individual segments and % drop for the student segment

Follow up is to ask the candidate on what potential reasons could be that the student segment is decreasing

Strong Candidates:

Most candidates will zero in on the drop in the profits due to student segment. **A strong candidate will also note that the while the revenue from tourists is increasing but the profits are constant and should mention that ~20-23% profits are coming from tourists and hence Hairstyle Co should look to explore profitability of that segment as well.**

Hairstyle Co : Brainstorm

Brainstorm Prompt		Guidance	
What could be some potential reasons that the profits from the student segment is going down?		Internal to the shop	External factors
	Reasons for student profits decreasing	• Change in price • Change in quality of service • Longer wait times • Overstaffed during low footfall hours	• Seasonality • Less students on the campus • Competition change around • Change in students' class schedule • Hybrid learning • Construction/ Scaffolding blocks the entrance – awareness among students
Strong Candidates:	Strong candidates will structure before they provide any ideas. The structured bucket shared here are just for reference. The candidate can choose to split the questions in different ways. Push the candidate for at least 4 ideas for both of the brainstorm questions. a strong candidate can usually suggest 6-8 ideas. Given the case is limited on Brainstorm but focused on quantitative more, push the candidate to come up with more than 4 ideas if the candidate only shares 4 ideas on the first attempt.		
Next Steps	(if the student mentions class timing change) Indeed the class timings have changed for the student and hence the students are not able to leverage the student discount timing that runs on specific days for the store. Hairstyle Co is exploring running an updated discount scheme for the students with the following details (Exhibition 2) (If the student doesn't mention class timing change) Just mention that the store is exploring a new scheme will that help or not?		

Hairstyle Co: Exhibit 2

Hairstyle Co is exploring to run the following discount scheme. Should they go ahead with it or not?

Share the following information with the candidate over voice: (Idea is to test the information gathering of the candidate)

- Students coming before 12 pm will get 20% discount on all the services
- Average price for a haircut is \$20 and grooming is \$40
- Average cost for a haircut is \$12 and grooming is \$25
- There were 300 students who visited the shop in March, out of which ~67% came in the morning

Wait for the candidate to ask before sharing the following details. If the candidate doesn't ask, prod the candidate on how can they decide whether the store should run the discount scheme or not.

- Discount is expected to increase the student volume by 50%
- 70% students choose a simple haircut.
- Profits from other segments are expected to remain the same – If the candidate doesn't ask wait till student segment's calculation before sharing this information

Hairstyle Co: Exhibit 2 Caser Notes

Quantitative Guidance

The candidate needs to calculate total profits with the new discount and see if the total profits with discount increases by at least 11% as the goal is to have new profits at least on the same level as January

Profits from student = Revenue – Cost

Profits from haircut = $\$20 * (1-20\%) - \$12 = \$4$

Profits from grooming = $\$40 * (1-20\%) - \$26 = \$6$

Total profits = #Students * Profit per student
= $(300 * 67\% * 1.5) * (\$4 * 70\% + \$6 * 30\%)$
= $300 * (\$2.8 + \$1.8)$
= $300 * (\$4.6)$
= $\$1,380$

Profits from Professionals and Tourists = $\$2,500 + \$1,000 = \$3,500$
New Expected profits = $\$4,880$

Qualitative Guidance

Key takeaway is that while the discount is increasing the total profits, it is still not at the level of January and hence the barbershop needs to consider additional changes.

Candidates should be take the case forward by thinking of alternate ways to increase the profit.

If the candidate just mentions discount is a good idea and the shop should go ahead with it then ask what else should the store consider.

Strong Candidates:

Strong candidates would think about profits from the student segment and overall profits increasing but should also consider that the profits have not hit the goal of reaching January and the store should consider more options. A strong candidate will also mention that while revenue from the tourist segments is also increasing, the profitability is decreasing from the segment and there is an opportunity from the segment.

Hairstyle Co : Brainstorm 2

Brainstorm Prompt 2

Guidance

What else should the Hairstyle Co can do to increase the profits?

Potential Segments

Increase the profits

Revenue

- Run special schemes for tourists
- Bundled products
- Sell local haircare products
- Subscription offers
- NYC experience for tourists

Costs

- Employee commissions/ Timing change
- Digitalized appointments to increase employee efficiencies
- Re-negotitate contracts

Strong Candidates:

Strong candidates will structure before they provide any ideas. The structured bucket shared here are just for reference. The candidate can choose to split the questions in different ways. Push the candidate for at least 4 ideas for both of the brainstorm questions. **a strong candidate can usually suggest 6-8 ideas. Given the case is limited on Brainstorm but focused on quantitative more, push the candidate to come up with more than 4 ideas if the candidate only shares 4 ideas on the first attempt.**

Next Steps

Conclude the case ask the candidate to give the final recommendation.

Hairstyle Co : Conclusion

1. Recommendation & Rationale

The profit is decreasing due to decreasing profits from the student segments:

- 1) Overall profits have decreased by \$500 (10%) driven by the drop in the profits from the students by \$600 (33% drop)
- 2) Discount is one option to increase the overall profits however there needs to be more steps needed to achieve the goal.
- 3) Identify cost efficiencies for the tourist's segments and professionals to increase overall profitability

2. Risks

Should target the points mentioned in the recommendations:

- The increased volume might hamper the capacity to serve the customers and quality can face issue
- The expected increase in student volume is too aggressive and might not be turn out to be the same.
- If discounting is limited it might impact student's footfall in repeat behavior to the store

3. Next Steps

Candidate can mention 2/3 definitive next steps based on the mentioned risks

- Do testing to ensure the impact of discounts on student volumes
- Can help the client Identify cost efficiencies for the tourist's segments to increase overall profitability
- Ensure availability of barbers and chairs in the peak hours to ensure limited wait time

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. Based on the structure of the case, the candidate should focus more on potential next steps including but not limited to making the discount for students work. The candidate should mention the risks for the specific recommendations given and what potential next steps could hairstyle co do to mitigate the mentioned risks.

Hairstyle Co: Exhibit 1

Revenue (\$)	January	February	March
Student	3,000	3,200	3,300
Professionals	4,500	4,600	4,700
Tourists	1,500	1,700	2,100

Cost (\$)	January	February	March
Student	1,500	1,750	2,000
Professionals	2,300	2,350	2,400
Tourists	500	700	1,100

Case # 11

Operation Efficiency

Written by Anusha Goel (CBS '25) & Anushree Periasami (CBS '25)

Case Type: Wild Card

Quant Difficulty: 7 / 10

Qual Difficulty: 9 / 10

Firm Type: McKinsey

Industry: Public Sector

Business Model: US Government

Key Concepts: Cost-cutting strategies, fixed & variable costs, savings calculations

Operation Efficiency: Case Intro

Case Prompt

The President has created a new federal office – the Department of Government Efficiency (DOGE) – with the mission of streamlining government operations and cutting costs. DOGE has been tasked with applying an efficiency-driven approach to the public sector. Head of DOGE has consulted you to find a strategy to reduce annual government expenditures by \$100 billion while minimizing impact on essential services.

How will you analyze government departments for inefficiencies, evaluate cost-cutting opportunities, and propose a plan that achieves these savings?

Clarifying / Background Information

What are the primary goals President Trump has for these cost reductions? Is the focus more on reducing the federal deficit, reallocating funds to other projects, or improving overall governmental efficiency?

The goal is to reallocate funds to reduce federal deficit and improve government efficiency

Could you specify which types of government expenditures are included in the \$100 billion target? Are there any categories that are off-limits for cuts, such as defense or healthcare?

No departments are off-limits for now

Over what timeline are we expected to implement these cost cuts to reach our goal?

Some initiatives are needed to be immediate while others can be phased over the years

Should we consider revenue generation as part of our strategy to meet the savings target, or strictly focus on cutting costs?

Only cost-cutting

Operation Efficiency: Case Intro

Sample Framework

1. Impact Assessment

- **Financial Considerations**
 - Federal budget for each department
 - Revenue of each department
 - Operating costs for each department
- **Operational Considerations**
 - People/Communities impacted
 - Staff impacted
- **Prioritization**
 - Timeline – immediate vs long
 - Ease of implementation
 - Redundancies & Overlaps

2. Additional Considerations

- **Media**
 - Does it impact current political party's image negatively?
- **Legal Considerations**
 - Laws to be passed in assembly
 - Permissions from any courts
- **Use of technology, AI, automation to deliver services**
- **Privatization**

Interviewer Guidance

This can be a difficult and unique way to think. If a candidate struggles, **push them to think about criteria they will use to evaluate any department**

The framework should include various ways to assess each department to identify which initiatives/departments can be selected for cost-cutting

Caser should recall from the prompt that this is a profit issue. Once the caser asks about revenue / cost information, show them exhibit 1.



Operation Efficiency: Brainstorm

Brainstorm Prompt		Guidance		
Not all dollars in a budget are equal. To identify \$100B in cuts, it's helpful to break down spending into categories of costs. By understanding the nature of costs, you can prioritize which ones to reduce. What categories of costs should you examine for potential savings?		Fixed vs Variable	Personnel (Labor) vs. Non-Personnel Costs:	Mandatory vs. Discretionary Spending
		Fixed costs are expenses that do not change with the level of services (e.g. facilities, salaried personnel, long-term contracts)	Spend on people (wages, benefits for employees)	Mandated by law or entitlements (for instance, certain benefit levels)
		Variable costs scale with activity or usage (e.g. benefit payments to more recipients, supplies for each project)	Spend on things (contracts, grants, equipment)	Discretionary spending (not legally required, e.g. pilot programs, nice-to-have initiatives, R&D projects)
Strong Candidates:	Strong candidates will consider additional implications such as Cutting fixed costs (like closing offices or reducing headcount) can yield permanent savings, but may be harder/slower to do. Cutting variable costs (like reducing the scope of a program or tightening eligibility for benefits) can quickly save money but might reduce services proportionally.			

Operation Efficiency: Exhibit 1

Interviewee Guidance

*At first glance, these three departments sum to about \$100 billion in annual spending (50 + 30 + 20). Each has a different purpose and constituency. As you analyze them, consider: Which department might yield the largest savings with the least public pain? Which costs in each department are **truly necessary** versus nice-to-have? Keep these profiles in mind; they will inform your cost-cutting choices.*

Strong Candidates:

A strong candidate will further focus on how after cost-cutting at DSS, new ways of delivering social services such as online paperwork, direct subsidy transfers, etc. can be implemented. A strong candidate will consider a few approaches such as targeting many departments for moderate cuts (spreading the pain) or focusing on a few departments for very deep cuts (or elimination)

Interviewer Guidance

Main Takeaway – DSS have the highest cost and impact a smaller number of people. DSS can be streamlined through using technology to transfer benefits and thus reducing administrative costs. **Next good target can be DAS due to effect only on federal agencies.** The candidate can argue for either of the departments. DAS manages government-wide administrative functions, it's the government's **central back-office**. Its \$20B budget is entirely overhead for internal operations (with no direct public beneficiaries) and thus can be streamlined.

Another major highlight will be that eliminating the single largest department (DSS) would save \$50B – only half of the \$100B target. Cutting the two largest (DSS + DIT) yields about \$80B, still \$20B short. **All three departments combined sum to \$100B, meeting the target.** This highlights that achieving \$100B in savings may require broad cuts affecting multiple agencies. It might not literally mean abolishing entire departments; alternatively, it could mean making deep **partial cuts in many departments'** government-wide

Operation Efficiency: Exhibit 2

Exhibit 2 Prompt

Calculate the annual savings for each department by implementing the described technological improvements.

Follow up: What if these savings on an average can be applied across 30 agencies?

Strong Candidates:

Strong candidate **will highlight the significant financial impact** from the potential of technological advancements to enhance government efficiency.

Math

DSS Savings Calculation:

$$A = 60,000 \times 50,000 \times (0.40 \times 0.30 + 0.30 \times 0.20 + 0.30 \times 0.10) = 60,000 \times 50,000 \times (0.40 \times 0.30 + 0.30 \times 0.20 + 0.30 \times 0.10) = \$630 \text{ million}$$

DIT Savings

$$B = 25,000 \times 60,000 \times (0.20 \times 0.30 + 0.50 \times 0.10) = 25,000 \times 60,000 \times (0.20 \times 0.30 + 0.50 \times 0.10) = \$165 \text{ million}$$

DAS Savings

$$C = 15,000 \times 70,000 \times (0.40 \times 0.30 + 0.30 \times 0.10) = 15,000 \times 70,000 \times (0.40 \times 0.30 + 0.30 \times 0.10) = \$157.5 \text{ million}$$

$$\text{Total Savings} = A + B + C = \$952.5 \text{ million}$$

Follow-up

$$\text{Savings across 30 agencies} = 30 \times 952.5 = \$28.58 \text{ billion}$$

Operation Efficiency: Conclusion (optional)

Recommendation

Recommend a combined strategy: streamline and reduce budgets across all departments, not just 3 departments

Risks

- Political backlash from opposition
- Timeline to integrate technology across departments
- Feasibility and impact on people during the integration of technology

Rationale

- One-third (approx.) savings come from integrating technology across all 30 agencies
- Only by eliminating 3 large departments, we can reach \$100B goal thus elimination of entire departments seem the right way

Next Steps

Look at other ways to streamline such as outsourcing/privatizing administrative functioning across departments.
Assess all departments at activity level to identify cost-cutting levers

Strong Candidates:

A strong candidate will identify that the recommendation is not straight-forward since \$100B goal will require pulling various cost-cutting levers across all government departments

Operation Efficiency: Exhibit 1

Department	Function	Employees	People Served	Annual Cost (Billion \$)
Department of Social Services (DSS)	Administers social safety net programs, including food assistance, housing subsidies, and cash welfare	60,000	~15 million individuals	50
Department of Infrastructure & Transportation (DIT)	Oversees highways, bridges, public transit grants, and infrastructure development programs	25,000	Entire U.S. population	30
Department of Administrative Services (DAS)	Manages government-wide administrative functions – procurement, real estate/property management, human resources, and IT services.	15,000	All federal agencies	20

Operation Efficiency: Exhibit 2

Department	Employees	Salary per employee (\$)	Time Spent on activities
Department of Social Services (DSS)	60,000	50,000	Processing Applications: 40% Customer Service: 30% Field Work: 30%
Department of Infrastructure & Transportation (DIT)	25,000	60,000	Project Management: 50% On-site Supervision: 30% Administrative Tasks: 20%
Department of Administrative Services (DAS)	15,000	70,000	Procurement Processing: 40% Property Management: 30% IT and Support Services: 30%

1. **Processing Applications, Administrative Tasks, Procurement Processing:** Reduction in time spent by 30% due to automation
2. **Customer Service, IT and Support Services:** Improvement in efficiency by 20% through AI-driven tools
3. **Field Work, On-site Supervision:** Minimal impact, assumed improvement by 10%.

Case # 12

Concrete Jungle

Written by Anish Gosala (CBS '25)

Case Type: Growth

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: Deloitte

Industry: Real Estate

Business Model: Real Estate Investments and Growth

Key Concepts: Cost Analysis, PE, Overall Business Improvement

Concrete Jungle: Case Intro

Case Prompt

Our client is REA Realties, Columbia Business School's real estate arm that handles development, acquisition, and management in NYC with multiple properties throughout the city. They only operate in the residential real estate sector, which consists of property that ordinary people live in such as single and multi-family homes, apartment complexes, and student dormitories.

Due to economic trends since COVID in 2020, they have been experiencing decreased profitability. This can be attributed to multiple factors such as long vacancy periods, tenants defaulting, high development costs, and increased competition that is out-bidding them on new acquisitions.

REA Realties has reached out to us to develop potential strategies they can take within the next year to improve profitability and ensure long-term growth.

Clarifying / Background Information

Does the client have a specific financial target?

Their current profit is \$50M/year (5% margin). They want to triple their overall profit within the next 5 years.

What are the clients' revenues/costs/profits? **Their current profit is \$50M/yr and we will dive deeper later in the case.**

What is the clients' business model?

This is very similar to a traditional private equity fund in which REA Realties has the option to develop property, or acquire and improve it. The firm typically rents out the property with the intention of continuing to rent it out or sell it for a profit.

What are the clients' main products / revenue lines?

Two main lines of revenue – proceeds from sales or properties, or through rent

What are some key trends in the industry?

This will be shared later in the case

Concrete Jungle: Case Intro

Sample Framework

1. Revenue	• Opportunities • Sell low-performing properties • Develop in new locations / enter a different real estate segment • Acquire new property • Offer additional services within buildings
2. Cost	• Opportunities • Sell a high-cost building • Cut staff in non-critical business units • Re-negotiate contracts with developers/tenants
3. Real Estate Market (external)	• Entering new sector • Other real estate segments? Size? Competitors? • Trends • Inflation ,vacancy, supply, construction costs
4. Risks	• Operational Considerations • New partners, sourcing deals, partners? • Real estate / regulatory trends • Current issues related to tariffs? Interest rates?

Interviewer Guidance

Candidates should fundamentally focus on revenue-generating and cost-cutting measures that can be used to address profitability concerns immediately.

However, strong candidates should focus on ways to sustain this growth, and point out which specific ideas are scalable and strategically set up the company. This will include entering new markets either location or asset.

Once the caser asks about revenue / cost information, show them exhibit 1.

Concrete Jungle: Exhibit 1

Category	2020	2021	2022	2023	2024	2025
Potential Gross Rev.	800	800	900	900	1000	1000
Occupancy Rate	95%	75%	66.7%	66.7%	60%	60%
Operating Expenses	300	300	310	310	315	325
Management Expenses	200	200	200	210	215	225
Net Operating Income (NOI)	160	100	90	80	70	50

Note: All values are in millions.

Assume that REA Realities does not need to pay any debt (they own all properties outright)

The values presented here are the sum of all assets the company holds

The potential gross revenue assumes 100% occupancy.

Treat net operating income as profit.

Concrete Jungle: Exhibit 1 Caser Notes

Category	2020	2021	2022	2023	2024	2025
Potential Gross Rev.	800	800	900	900	1000	1000
Occupancy Rate	95%	75%	66.7%	66.7%	60%	60%
Total Actual Revenue	760	600	600	600	600	600
Operating Expenses	300	300	305	310	315	325
Management Expenses	200	200	205	210	215	225
Net Operating Income (NOI)	160	100	90	80	70	50

Interviewers should ask candidates to identify key trends seen in the exhibit

- Total realized revenue has stayed flat since 2025 at 600M despite having higher potential gross revenue
- Operating and management fees increased steadily year over year by \$5M

If candidates ask why potential gross revenue has increased, state that the firm acquired new property during that time

A strong candidate should point out that while costs have only gradually increased, they heavily eat into profitability. Additionally, they should point out that these new properties they bought have lower actual revenue due to their lower occupancy rate.

Prompt the candidate to pick an approach – either addressing revenue or cost.

Concrete Jungle: Brainstorm 1

Brainstorm Prompt

What are some ways for REA Realities to increase revenue?

Guidance

Operational

1. Dynamic rent pricing
2. Short-term rentals / flex units
3. Upsell amenities such as gyms, pet services, concierge, and storage
4. Advertisements within apartments
5. Lease unused land for parking or other amenities

Expansion

1. Expand into new real estate segments (commercial/office, industrial, land)
2. Expand into new locations / areas
3. Acquire more profitable properties within the city
4. Within current properties, market towards different audience segments (i.e senior housing, etc.,)

Strong Candidates:

Strong candidates should be able to break this down to two main factors – gaining revenue within their current operations or through expanding into a new ‘market’. Strong candidates should also discuss which approaches are easier to implement and likely to succeed.

Concrete Jungle: Exhibit 1 Caser Notes

Category	2020	2021	2022	2023	2024	2025
Potential Gross Rev.	800	800	900	900	1000	1000
Occupancy Rate	95%	75%	66.7%	66.7%	60%	60%
Total Actual Revenue	760	600	600	600	600	600
Operating Expenses	300	300	305	310	315	325
Management Expenses	200	200	205	210	215	225
Net Operating Income (NOI)	160	100	90	80	70	50

Interviewers should ask candidates to identify key trends seen in the exhibit

- Total realized revenue has stayed flat since 2025 at 600M despite having higher potential gross revenue
- Operating and management fees increased steadily year over year by \$5M

If candidates ask why potential gross revenue has increased, state that the firm acquired new property during that time.

If candidates are stuck, they should look to find the actual potential gross revenue multiplied by the occupancy rate.

A strong candidate should point out that while costs have only gradually increased, they heavily eat into profitability. Additionally, they should point out that these new properties they bought have lower actual revenue due to their lower occupancy rate.

Prompt the candidate to pick an approach – either addressing revenue or cost.

Concrete Jungle: Exhibit 2 Caser Notes

Prompt - Analyze the data and let us know which asset class REA try to break into?

Quantitative Guidance

Overall Process

- Compute the future revenue by dividing the average long term NOI by the average cap rate (Residential: $75M/10\% = 75M \times 10 = 750M$)
- Compute the present value of the revenue by dividing the future revenue by the average discount rate ($750M/10\% = 750M \times 10 = 7,500M$)
- To find the NPV, subtract the present value of the revenue by the average acquisition cost ($7500M - 7350M = 150M$)

Final Table

Cat.	Average Long-term NOI	Average Cap Rate	Average Discount Rate	Present Value	Avg. Acq. Cost	Comp.	NPV
Res.	75	10%	10%	7500	7300	High	200
Comm.	120	15%	20%	4000	4500	Medium	-500
Ind.	10	5%	5%	4000	3850	Low	150
Land	45	10%	5%	9000	9000	Low	0

Note: If candidates are stuck on the long-term vs. 3-year time horizon, inform them that the long-term time horizon is for 10-years minimum. Occupancy rates do not matter since NOI already accounts for it.

Qualitative Guidance

Main Takeaway – Enter the industrial space or stay within residential. REA has experience in residential, has no experience in industrial, and makes more. But if industrial, can mention that they have no competition. But this is long-term, and they should consider what they can do in the short term.

Next step is to understand the risks, or other costs.

The candidate should see that either approach works, but they will need to provide strong qualitative reasons for why.

Strong Candidates:

Strong candidates should realize that they need to compute the net present value of their investment to see if it is valuable. They should be able to substantiate either decision. They should also consider the 3-year profit horizon and that this only this solution works in a longer time horizon.

Concrete Jungle: Brainstorm 2

Brainstorm Prompt

What are some cost-cutting measures that REA Realties can utilize?

Regardless of the answer, push them to focus on divesting an aging property.

Guidance

Operations

1. Centralize or outsource our property management
2. Reduce on-site staffing at stabilized properties
3. Share services such as leasing/ maintenance across buildings
4. Retrofit older buildings for energy efficiency

Financial

1. Divest aging, low-margin properties
2. Use low-cost developers
3. Source cheaper suppliers
4. Create new contracts with favorable terms
5. Refinance high-interest debt

Strong Candidates:

Strong candidates will take this a bit further, and discuss which options are more feasible to carry out. They should mention that divesting their lower-margin properties are the most suitable.

Concrete Jungle: Exhibit 3 Caser Notes

Prompt – So REA is considering divestiture as an option.
Which opportunity seems the more attractive?

Quantitative Guidance

Process:

- Compute next year NOI by subtracting the revenue and costs
- Compute the sales price by dividing the NOI by the cap rate
- Find the sales profit by subtracting sales price by bid price
- Compute total profit by subtracting sales profit by the opportunity cost (this is the profit lost over the 3 years)
- Note that for One57, their profit is the sum of the average bid

Final Results

Property	Sale Value	Avg Bid	Sales Profit	Total Profit
One57	-500	100	150	200
432 Park Avenue	75	270	195	150
15 Central Park West	500	850	350	200
Columbia Dorming	500	675	175	25
NYU Dorming	0	100	100	100

Note: If candidate is struggling to compute the profit, let them know that for negative bid values they will accept average bid value

Qualitative Guidance

Key takeaway is that divesting Madison Square Garden is the best option but it only solves the short term goal.

Candidates should be thinking of ways to facilitate this, or examine ways that they can continue growth after divesting, such as re-allocating if needed.

Strong Candidates:

Strong candidates should structure their answer focusing on the fact that by selling Madison Square Garden, they are eliminating an unprofitable building, and they are able selling off an unprofitable building and make a strong profit. They should also note that the high sale value buildings generate more profit, but there is an opportunity, and selling them would eliminate our growth potential.

Concrete Jungle: Conclusion

Recommendation

We can reach profitability targets . We recommend:

- 1) Divesting in Madison Square Garden**
- 2) Enter into the industrial spaces or focus on residential in new areas such as Texas**
- 3) Invest the newly divested capital into new ventures/locations**

Rationale

- Madison Square Garden is resulting in losses, and generates a total profit of \$200 million over the 3 years
- For long term growth, industrials seems promising as we do not have much competition, and there is demand for it
- To hit our short-term goals, we should divest first, and then use the excess capital to invest in the industrial space or others.

Risks

- 1) Real estate trends might shift due to regulatory concerns such as rezoning, tariffs increasing cost of development in cities, and more.
- 2) Although divesting now may seem like a good idea, cost cutting measures could make MSG more profitable and therefore impact our overall savings.

Next Steps

We must due more due diligence on the attractiveness of MSG, and the industrial real estate sector. We plan to conduct some customer surveys, which gives more insight into higher bids, or where specifically to purchase industrial real estate.

Strong Candidates:

Strong candidates should see that they can combine both solutions into 1, by raising the funds generated in the cost-cutting measure, and using that to finance the revenue-generating initiatives. They should also consider the larger real estate environment and how they can insulate themselves from issues arising in the future.

Concrete Jungle: Exhibit 1

Category	2020	2021	2022	2023	2024	2025
Potential Gross Rev.	800	800	900	900	1000	1000
Occupancy Rate	95%	75%	66.7%	66.7%	60%	60%
Operating Expenses	300	300	310	310	315	325
Management Expenses	200	200	200	210	215	225
Net Operating Income (NOI)	160	100	90	80	70	50

Note: All values are in millions.

Assume that REA Realities does not need to pay any debt (they own all properties outright)

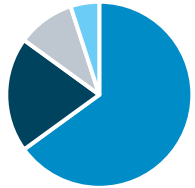
The values presented here are the sum of all assets the company holds

The potential gross revenue assumes 100% occupancy.

Treat net operating income as profit.

Concrete Jungle: Exhibit 2

Real Estate Market (%)



■ Residential ■ Commercial
■ Industrial ■ Land

Category	Average Long-term NOI	Average Cap Rate	Average Discount Rate	Average Acquisition Cost	Competition
Residential	75	10%	10%	7300	High
Commercial	120	15%	20%	4500	Medium
Industrial	10	5%	5%	3850	Low
Land	45	10%	5%	9000	Low

“The commercial sector is slowly recovering, but it’s uneven as medical retail and flex spaces are outperforming, while traditional office is still volatile. Many have also moved out of key cities and focusing on emerging cities in Texas and Florida. Meanwhile, industrial has quietly become the golden child: stable demand, predictable tenants, and far less market noise. The challenge is scaling without local experience.”

— **Dr. Mateo Alvarez, Senior Research Analyst, Urban Property Insights**

Note: All values are in millions.

The revenue generated is long-term NOI divided by the cap/capitalization rate.

Assume REA Realities hold the potential property until perpetuity.

Concrete Jungle: Exhibit 3

Property	2026 Real Revenue	2026 Total Costs	Cap Rate	Min Bid	Max Bid
One57	300	325	5%	100	150
432 Park Avenue	50	35	20%	200	250
15 Central Park West	150	100	10%	550	700
Columbia Dorming	200	150	10%	600	750
NYU Dorming	50	50	5%	75	125

Note: All values are in millions.

In a divestiture, the sale value is equal to the next year's NOI divided by the capitalization rate.

Note that real revenue accounts for occupancy rates.

Assume bids values are equally distributed.

Case # 13

Shifting Gears – Maxold's Dilemma

Written by Minyoung Rho (CBS '26)

Case Type: Operations

Quant Difficulty: 8 / 10

Qual Difficulty: 10 / 10

Firm Type: Kearney

Industry: Manufacturing (Automotive)

Business Model: OEM Automotive

Key Concepts: Supply Chain Optimization, Turnaround Strategy

Shifting Gears – Maxold’s Dilemma: Case Intro

Case Prompt

Our client, Maxold Motor Company, is a US based automotive OEM that designs and manufactures passenger vehicles.

Over the past 5 years, Maxold has experienced a significant and sustained increase in production costs. Management believes this cost pressure stems from disruptions in its procurement and supply chain processes but needs clarity on what is driving the issue—and how to fix it.

They have asked us to diagnose the root causes of the cost increases and develop a turnaround strategy to reduce total costs by 5% by 2025.

Clarifying / Background Information

What is an OEM?

An Original Equipment Manufacturer (OEM) designs and builds components and vehicles under its own brand name, often selling both to end-consumers and other automakers.

What are passenger vehicles?

Vehicles used for private transportation by individuals or families (e.g., sedans, SUVs, crossovers). They differ from commercial vehicles like trucks or buses.

What is the client’s production model?

All of Maxold’s manufacturing facilities are located in the U.S., while raw materials are sourced both domestically and internationally.

Any constraints?

Yes: Maxold will have no plant closures, and no major divestitures.

Shifting Gears – Maxold’s Dilemma: Case Intro

Sample Framework

1. Root Cause Analysis

- **Domestic Operations**
 - Internal cost increases (e.g., labor, logistics)
 - Inefficiencies in inventory or procurement
- **Imported Material Cost Drivers**
 - Country-level inflation (e.g., steel, aluminum)
 - Tariff exposure and changes in trade policy
- **Sourcing Concentration Risk**
 - Heavy reliance on high-cost regions
 - Lack of qualified backup suppliers

2. Turnaround Strategy

- **Internal Efficiency**
 - Improve inventory forecasting
 - Streamline internal manufacturing process
- **Sourcing Rebalance**
 - Diversify to low-risk countries (Mexico, Germany)
 - Dual-sourcing for critical parts
- **Strategic Partnerships**
 - Lock in long-term contracts for pricing stability
 - Collaborate with Tier-2 suppliers

3. Risks & Constraints

- **Supplier onboarding timelines**
- **Trade instability in new regions**
- **Short-term switching costs vs long-term savings**
- **No layoffs, plant closures, or quality trade-offs allowed**

Interviewer Guidance

Key points to look for

- Does the candidate begin with a structured diagnostic before jumping into recommendations?
- Do they consider cost drivers across the full value chain (internal & external)?

Signs for a strong candidate

- MECE structure to separate root causes from turnaround strategies
- Considers both strategic levers (e.g., sourcing mix) and tactical efficiency (e.g., logistics, forecasting)
- Evaluates feasibility of solutions (e.g., supplier timelines, quality control, operational constraints)
- Identifies risks and links them to specific next steps or mitigation strategies

When candidates are stuck

- Give candidates some guidance on both domestic and imported cost drivers
- Nudge candidates towards examining cost structures from imports

Shifting Gears – Maxold’s Dilemma: Exhibit 1 Caser Notes

Quantitative Guidance

NOTE: Exhibit 1 is NOT designed to be over-calculated. Rather, it is to test the candidate’s intuition to identify where the cost increase can be attributed to. Focus on qualitative discussions to drill down the root cause analysis.

Q1. How has the cost structure changed between 2019 and 2024? What trends or cost categories stand out most to you?

By directly comparing 2019 vs 2024:

Recognize trends per line item (candidate can round up and down)

- COGS (24.7% ↑)
- Domestic labor (12.4% ↑) and materials (9.4% ↑)
- **Imported materials (38.5% ↑) and tariffs (220% ↑)**
- Logistics (22.5% ↑)

Recognize impact on the overall increase in COGS

- Change in 2019 → 2024 **Imported materials + tariffs amount to \$360M**, which is **60%** of the total increase in COGS

Qualitative Guidance

**Cost increase is due to rise in imported goods + tariffs.
What are some of the reasons and implications of this discovery?**

1. Sourcing Overdependence

Maxold may be overexposed to a small number of high-risk regions (e.g., China, Brazil). Lack of diversified sourcing likely amplified the impact of global price shocks and tariffs.

2. Supplier Relationships

Long-term contracts or legacy vendors may be locking Maxold into uncompetitive pricing. Suppliers in high-tariff countries may not have shared cost burdens.

3. Tariff Pass-Through

Maxold might be absorbing tariffs as a cost rather than passing them to customers (due to pricing pressure). This impacts gross margins and signals a reactive procurement strategy.

4. Internal Operations Are Stable

Domestic labor and materials have only modest increases → this suggests Maxold’s internal cost control is solid. Reiterates that external cost pressure is the true root cause, not inefficiency.

Strong Candidates:

Strong candidates will identify imported materials and tariffs as the primary cost drivers, then link that insight to broader issues like sourcing concentration, trade exposure, and lack of supplier diversification.

Shifting Gears – Maxold’s Dilemma: Exhibit 2 Caser Notes

Quantitative Guidance

Q1. How would you advise Maxold to cut costs?

By doing so, can Maxold achieve their cost-reduction target?

Rebalance import volume to cut costs

- Recognize China has the highest unit cost and tariff rates than Brazil and Mexico
- Recognize each country has a maximum export capacity
- Recognize tariffs need to be added at the end

Maximum Capacity for each country calculated

Country	Steel	Max Capa.	Rubber	Max Capa.
China	50%	800	40%	1250
Brazil	100%	380	50%	500
Mexico	75%	400	80%	750

Rebalanced to the lowest cost scenario

Country	Material							Tariffs
	Steel			Rubber			Total	
	Qty	Unit \$	Total	Qty	Unit \$	Total		
China	300	0.8	240	100	0.2	20	260	65
Brazil	380	0.5	190	500	0.2	100	290	58
Mexico	400	0.5	200	750	0.15	112.5	312.5	9

Candidate should conclude that rebalancing the trading volumes would still **NOT meet Maxold’s cost-reduction target** of 5% (152m)

- Total cost cuts: ~ 65m

Qualitative Guidance

If candidate is struggling to find the right value, shift the case to a qualitative discussion based on hypothetical values.

“Let’s assume that despite our best efforts, Maxold is still not able to meet its cost-reduction target. Why do you think this happened?”

Strong candidates will tie real life examples of why cost-reduction is not easy to this case.

• Logistical & Infrastructure Constraints

New sourcing regions may lack the logistics infrastructure, production scale, or port access required for seamless supply. Nearshoring may lower unit cost but raise complexity in distribution or inventory planning.

• Strategic Dependencies & Switching Costs

Existing suppliers may be embedded in multi-year contracts, integrated into engineering specs, or offer value beyond price (e.g., R&D, just-in-time delivery). Breaking those relationships can incur switching costs or operational setbacks.

Proceed to brainstorming: Besides rebalancing trade partners, how can Maxold cut costs?

Shifting Gears – Maxold’s Dilemma: Brainstorm

Brainstorm Prompt

Since trade rebalancing alone can’t close the cost gap, what other levers can Maxold pull to achieve its full savings target?

Guidance

I. Sourcing Strategy

- Find new trade partners in developing regions (LATAM, SEA, Africa, etc.)
- Launch dual-sourcing for critical components to reduce concentration risk
- Negotiate volume-based pricing or long-term contracts with stable suppliers (e.g., Mexico)

II. Supply Chain Optimization

- Consolidate shipments to reduce logistics costs
- Improve inventory forecasting to prevent rush sourcing
- Use supplier scorecards to evaluate cost, risk, and responsiveness

III. Product or Material Design (R&D)

- Redesign components to reduce dependency on high-cost inputs (e.g., use lighter alloys or composites)
- Standardize parts across models to reduce material complexity and bulk order inputs
- Modularize product design for flexible sourcing

Strong Candidates:

- Begin with a structured framework (e.g., by lever type: sourcing, supply chain, product, finance)
- Offer 5–7 ideas across short, medium, and long-term horizons
- Evaluate feasibility, cost of implementation, and expected impact

Shifting Gears – Maxold’s Dilemma: Conclusion

Recommendation

Maxold’s cost problem is due to rising imports costs.

Rebalancing trade partners contributes, albeit not fully successful, to our cost-reduction targets.

Maxold should consider additional cost-cutting measures.

Rationale

- Imports and tariffs amount up to 60% of the total increase in cost
- While rebalancing trade partners helps reduce exposure and contributes ~\$65M in savings, Maxold must complement this with additional operational and design efficiencies to achieve its full cost reduction goal

Risks

- New trade policies or raw material shocks could shift cost dynamics again
- Operational disruption from moving away from long-standing partners

Next Steps

- Pilot **dual-sourcing** strategy for steel and rubber with alternative suppliers
- Conduct investment to streamline other expenses in the value chain

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Shifting Gears – Maxold’s Dilemma: Exhibit 1

Cost Structure Breakdown by Categories

Cost Category	2019	2020	2021	2022	2023	2024
Domestic Labor Cost	850	870	895	915	940	955
Domestic Materials Cost	480	490	505	515	520	525
Imported Materials Cost	650	675	690	770	870	900
Tariffs	50	55	75	110	150	160
Logistics (Domestic + Intl)	400	410	425	455	475	490
Total COGS	2,430	2,500	2,590	2,765	2,955	3,030

Note: All values are in million USD

Shifting Gears – Maxold’s Dilemma: Exhibit 2

Imported Materials – Breakdown by each trading countries

Country	Imported Materials						Tariffs on all goods
	Steel			Rubber			
	Qty (m)	Unit \$	Export Capacity	Qty (m)	Unit \$	Export Capacity	
China	400	0.8	50%	500	0.2	40%	25%
Brazil	380	0.5	100%	250	0.2	50%	20%
Mexico	300	0.5	75%	600	0.15	80%	3%

* *Export Capacity* indicates how much the current export volume amounts out of the maximum possible volume

Case # 14

Greenland for Sale?

Written by Anusha Goel (CBS '25) & Anushree Periasami (CBS '25)

Case Type: Opportunity Assessment

Quant Difficulty: 8/10

Qual Difficulty: 10/10

Firm Type: McKinsey

Industry: Public Sector

Business Model: Country Revenue, Partnerships

Key Concepts: GDP, NPV calculations, Strategic economic concepts

Greenland for sale?: Case Intro

Strong candidates will recognize the importance of clarifying the meaning of “economically viable”

Case Prompt

Your client is the Government of Greenland. In 2019, the U.S. President made an unprecedented offer to purchase Greenland from Denmark. Although initially dismissed, internal debates within Greenland’s administration have resurfaced in light of recent global economic pressures, climate change implications, and increasing geopolitical interest in the Arctic. The Government of Greenland has hired your consulting firm to assess the strategic, economic, and socio-political implications of potentially accepting such an offer (or a revised version of it). Greenland will accept the deal if it is economically viable. Your task is to help them determine: Should Greenland seriously consider selling its territory to the United States?

Clarifying / Background Information

How does the client define “economically viable”? Does the client have a specific financial target/goal or metric?

If the purchase offer is greater than the NPV of present and future GDP

Tell me a little bit about Greenland

Greenland is an autonomous territory within the Kingdom of Denmark but still receives an annual block grant from Denmark (~\$600M). It has a population of ~56,000

Any goals/strategic advantages to acquiring Greenland for the US? It holds large reserves of untapped rare earth minerals, oil, and gas. The U.S. already maintains a military presence in Greenland (Thule Air Base). Climate change is making Greenland’s natural resources and shipping routes more accessible.

Any other countries interested in Greenland?

China has shown growing interest in Arctic infrastructure investments.

Greenland for sale?: Case Intro

Sample Framework

1. Economic Impact

- Does it make economic sense i.e. is the NPV of GDP greater than the offer price

2. Political & Sovereignty considerations

- How would selling affect sovereignty and cultural identity?
- What would be the implications on diplomatic relationships (Denmark, EU, NATO, China)?

3. Strategic/Geopolitical value

- How does Greenland fit into global military or Arctic strategies?
- Would closer U.S. integration provide protection or provoke regional tension?

4. Environmental/social consideration

- How might increased foreign investment affect Greenland's environment and native populations?
- Can Greenland pursue sustainable development on its own?

Interviewer Guidance

This is not a conventional case with a conventional framework. Check to see if the candidate is considering the situation holistically. Bonus points for creative ideas in the framework.

Strong candidates will not miss out the economic sense bucket and would follow 80-20 principle, where they focus 80% of time determining if it makes economic sense.

After presenting the framework ideally, the candidate should ask for information that would lead them to calculate GDP and compare to the offer price and accordingly ask for GDP data, at which point, exhibit 1 should be handed out.

If candidates do not come up with this on their own, nudge them in this direction

Greenland for sale?: Exhibit 1 Caser Notes

Quantitative Guidance

A strong candidate would ask for assumptions underlying the NPV calculations – what is the discount rate and growth rate? What % of resource reserve are mined every year and whether to account for the Danish subsidy

If they do not mention these **provide a 10% discount rate and 5% growth rate** to be uniformly applied. Greenland is able to **mine 0.5%** of its resource reserve annually.

Income from resource – $273B \times 0.5\% = 1.37B$

Total income from arctic exports, mining, tourism and Danish subsidy = $350M + 500M + 1370M + 600M = 2820M$

Using perpetuity formula for NPV calculations = $\text{annual cashflow} / (r - g)$

$= 2820 / (10\% - 5\%) = 2820 / 5\% = 56400M = 56.4B$

A strong candidate will move to analyze the “so what ?” and compare the NPV with the US offer to purchase and point out that the deal does not make much economic sense

Qualitative Guidance

- GDP vs. U.S. Offer: Greenland’s GDP is just \$3B. An offer of \$10–15B seems attractive at first glance—equivalent to ~3–5x GDP.
- Danish Subsidy Dependence: The \$600M annual grant is nearly 20% of GDP, revealing a high level of economic dependence on Denmark.
- Tourism and natural resource estimates offer huge long-term potential—rare earths and Arctic resources are highly valuable, particularly for clean tech and global supply chains.

Strong Candidates:

- A good candidate might calculate NPV of future cash flows from resource development and compare that to the one-time U.S. payment.
- Strong candidates will also ask for discount rate and growth rate assumptions and lay out a clear strategy for the NPV calculations that drive the answer to the core question

Greenland for sale?: Exhibit 2 & 3 Caser Notes

Exhibit 2

This exhibit is a stakeholder analysis map, assessing political feasibility and social impact:

- **Greenlandic Citizens are critical**—their buy-in is needed. Cultural preservation and self-governance are high priorities
- Denmark's opposition introduces legal and diplomatic complications. Greenland is autonomous, but Denmark controls defense and foreign affairs
- U.S. Military interest signals the strategic value of Greenland in global geopolitics—especially for Arctic and Russian surveillance
- **China's interest in infrastructure adds a third power to the equation**—opening room for multi-alignment strategies

Inference: Stakeholder alignment is low. Selling would require overcoming major political and legal hurdles, especially from Denmark and citizens.

Exhibit 3

This exhibit highlights Greenland's future strategic and economic potential:

- **Melting ice opens new shipping routes**, and Greenland could become a logistics hub
- As a mid-point between North America and Europe/Asia, it's ideal for refueling, ports, and supply chain services
- Implies sustained, renewable income potential from Arctic trade rather than one-time sale

Inference: Climate change, though environmentally tragic, presents Greenland with a once-in-history geographic opportunity.

A strong candidate will move to consider the problem holistically beyond the numbers to see strategic, political and geopolitical value to Greenland

Greenland for sale?: Brainstorm

Brainstorm

What are some of the risks of rejecting the deal?

1. Geopolitical Retaliation

- U.S. could reduce military or economic cooperation with Greenland and Denmark.
- Risk of Greenland becoming a pawn in a larger U.S.–China–Russia Arctic rivalry.

2. Lost Immediate Financial Windfall

- The \$10–15 billion offer is a guaranteed lump sum.
- If Greenland gambles on developing resources but fails (due to technology, environment, or political issues), they might lose both the offer and future upside.
- Development is slow, risky, and capital-intensive.

3. Increased Chinese and Russian Influence

- If Greenland stays independent, it will likely seek foreign investment from China or other non-Western countries.
- Could trigger security concerns among NATO and U.S. allies, increasing diplomatic isolation or intervention risks.

Brainstorm

4. Environmental Risks and Costs

- Extracting Arctic resources is dangerous, expensive, and damaging.
- If Greenland pursues aggressive mining/shipping expansion without strong governance, it could wreck ecosystems, alienate citizens, and trigger global environmental backlash (hurting tourism and global standing).

5. Internal Political Instability

- Some citizens and political groups may oppose major foreign investment deals.
- Risk of protests, political divisions, and instability if Greenland aggressively develops resources.
- Indigenous Inuit communities may feel marginalized by commercialization.

A strong candidate will show solid structure while brainstorming and use categories like financial implications, strategic implications, political implications, etc.

Greenland for sale?: Recommendation

Recommendation

What is your final recommendation to the Government of Greenland?

Greenland should not accept the U.S. offer because its long-term economic value — driven by resource reserves, tourism, and Arctic trade — far exceeds the immediate lump sum offered. Preserving sovereignty and leveraging multipolar interest will maximize Greenland's strategic position.

Risks/ Next Steps

Risks of Rejection:

However, rejecting the deal carries risks including potential U.S. geopolitical retaliation, loss of guaranteed cash, increased Chinese/Russian influence, and internal political instability

Mitigation Solutions:

Greenland can mitigate these risks by strengthening security alliances with NATO, selectively partnering with multiple countries to avoid dependence, enforcing strict environmental protections, and engaging citizens in development planning to maintain political stability

Next Steps:

We can help Greenland prioritize critical infrastructure investments, negotiate multi-lateral development agreements, design a Sovereign Wealth Fund for resource revenues, and build a diplomatic strategy to manage global Arctic interests.

Greenland for sale?: Exhibit 1

Metric	Value (2024 est.)
Annual Danish Subsidy	\$6 billion
Population	56,000
Tourism Revenue	\$350 million/ year
Resource Reserves (Est.)	\$273 billion
Arctic Exports	\$500 million
U.S. Offer (Unofficial Estimate)	\$10-15 billion



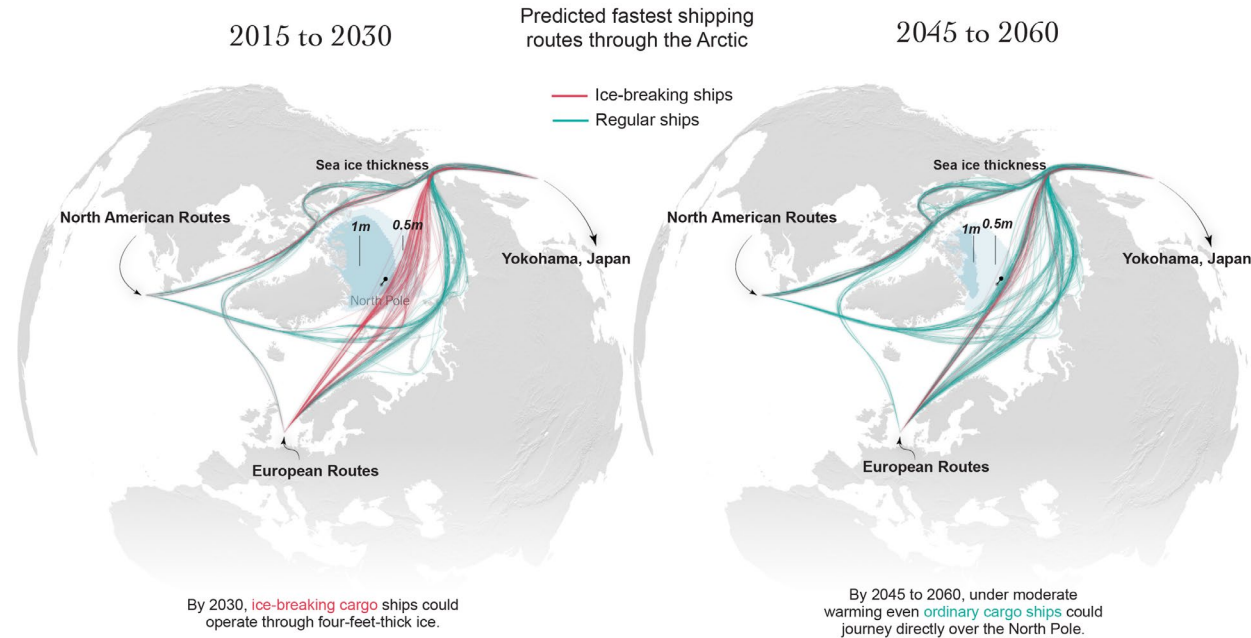
Greenland for sale?: Exhibit 2

Exhibit 2: Key Stakeholder Sentiment

Group	Stance	Notes
Greenlandic Citizens	Mostly Negative	Fear cultural erosion, but open to development
Danish Government	Opposed	Views sale as illegal
U.S. Military	In Favor	Arctic dominance strategic
Chinese Investors	Interested	Infrastructure partnerships in progress

Greenland for sale ?: Exhibit 3

Exhibit 3: Arctic Shipping Routes (Post Climate Change Projections)



Courtesy of The New York Times, May 2017

Footnote: By 2035, the Northern Sea Route may be ice-free 5 months/year.
Greenland could become a key resupply and logistics hub.
Estimated increase in shipping traffic through Arctic by 400% by 2040.
Source: The New York Times, 2017

Case # 15

BlackBox Co

Written by John Coffin (CBS '25) **

Case Type: Opportunity Assessment, Growth Strategy

Quant Difficulty: 9 / 10

Qual Difficulty: 10 / 10

Firm Type: BCG / Bain

Industry: Logistics & Transportation

Business Model: Parcel Delivery, Hub & Spoke Logistics Network

Key Concepts: Project Prioritization (ROI/Feasibility), Company Strategy

BlackBox Co: Case Intro

Case Prompt

Your client is the CEO of BlackBox Co. one of the largest package delivery companies in the United States.

BlackBox Co's stock doubled temporarily during Covid, but has since returned to the same level it was 5 years ago. Competitive pressures from Covid, a major union contract re-negotiation, and pressure from Amazon, have been major headwinds for the business. The CEO is under heavy short-term pressure, but also needs to cast a long-term vision.

The CEO wants your help sharpening her long-term vision for growth. She wants to craft a 5-year transformation agenda – a thesis for a portfolio of projects/ventures to launch – which she will take to Wall Street to ask for funding for the future of BlackBox Co.

What is a cohesive vision for the future of BlackBox Co, and how much funding should she ask for?

Clarifying / Background Information

Does the client have a specific target/objective?

Yes, the CEO wants to show a plan for growing revenue by 10% 5 years from now (on Black Box's current \$75bn in revenue), with a similar level of profitability as today (10-20%)

What are the clients' revenues/costs/profits? **They current do about \$75bn in revenue, and have a net profit margin of 10%**

What is the clients' business model?

The client provides a range of logistics solutions (ex. warehousing, 3PL, freight), however the bulk of their revenue comes from package delivery. This entails operating a large 'hub-and-spoke' network, consisting of sorting facilities, cargo aircraft, tractor trailers (semi-trucks), and delivery trucks/vans. They help deliver both B2B and B2C packages, and work with small/medium businesses (SMB), as well as large enterprises

What is the clients' geography? **The client operates all over the world, but the scope of this case is just their US operation**

BlackBox Co: Case Intro

Sample Framework

1. Investment Ideas / Themes	• New / Adjacent Markets • New Products • Leveraging Technology • Cost / Efficiency • Moonshots
2. ROI / Financials	• Revenue Potential • Profitability • Investment • ROI / Payback
3. Feasibility / Risk	• Company Capability to Execute • How different/adjacent is the idea from our core business? • Current company strengths and weaknesses • Riskiness of Cash Flows • Market risk – how likely is this market to materialize? • Competitive risk – is this defensible, can we build a ‘moat’
4. Vision & Pitch for Investors	• Story/theme of the portfolio. What is the BlackBox Co of the Future? • ROI / Payback (the numbers of the investment) • investment ask (how much funding) • Risks / Mitigation • Plan to Execute – how does this all fit together?

Interviewer Guidance

The framework for this case should be opportunity assessment / revenue growth framework, balancing qualitative and quantitative elements. Candidates should pick up on the push for a ‘theme’ or ‘thesis’ of this ask and will strive to think about not only generating and analyzing good project ideas but also thinking about how they fit together cohesively.

The most efficient way to solve this case is:

- 1) First, define potential project opportunities
- 2) Second, group the opportunities into themed ‘portfolios’ (themes like “Green/Sustainability,” “Digital Supply Chain Products,” “Specialty Logistics/Healthcare,” “AI products,” “Platforms,” and “Moonshots”)
- 3) Third, evaluate potential growth initiatives by revenue, margin, investment to get an ROI
- 4) Fourth, assess feasibility and risks to execution.
- 5) Fifth, score the ROI and Feasibility to choose the ideal portfolio, making sure to hit the 10% revenue growth target
- 6) Finally, set a vision, and communicate the strategy clearly to the Wall Street investors.



BlackBox Co: Brainstorm

Brainstorm Prompt	Guidance	
The CEO wants to transform and grow BlackBox Co over the next 5-10 years, and wants ideas for new ventures. What are some strategic areas or types of initiatives BlackBox Co could explore?	Ideas/New Ventures	
	Growth	1. New Customer Segments - Healthcare, SMBs 2. New Services - Dynamic warehousing, Micro-fulfillment, Platforms/Matching (ex. underused capacity) 3. Product Extensions - Returns automation, visibility tools, perishable shipping 4. New Business Models – SaaS
	Efficiency	1. AI / Advanced Analytics - Route Optimization AI, capacity utilization optimization, 2. Automation - Robotic sorting, Autonomous Vehicles
	Other	1. Emerging Tech / Moonshots - Drones, Hyperloop 2. Sustainability – EV fleet/low emissions, Reverse Logistics solutions (return-to-sender)

Strong Candidates:	Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, and a strong candidate can usually suggest 7-8 ideas
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BlackBox Co: Exhibit 1 Caser Notes

Qualitative Guidance

This exhibit may be confusing at first – it only provides qualitative information about the initiatives that BlackBox Co is considering. **However, this should prompt the candidate to think about two things:**

- 1) **They should request quantitative information** about these initiatives
- 2) **They should be thinking about ways to group these initiatives into themes or portfolios**, as there are logical groupings. Example groupings a candidate could think of are:



Strong Candidates:

A strong candidate will, after sitting with this exhibit for a little bit of time, recognize that there are ‘themes’ here – logical groupings of these initiatives that can become portfolios of projects. They will begin to group these projects together, and may even give an initial hypothesis as to which one they think is the best, based on their current market knowledge.

BlackBox Co: Exhibit 2 Caser Notes

Quantitative Guidance

This is the number crunching part of the case. Candidates need to collapse a lot of information into a logical way to score these portfolios, but the best way is to:

- 1) Calculate ROI/Year by project (annual profit / initial investment)
- 2) Create a score for how 'do-able' each project is (Feasibility Score + Risk Score by project)
- 3) Sum by portfolio and make sure it reaches the >\$7.5bn in revenue objective
- 4) Compare and select a portfolio

Note – candidates are not expected to calculate all of these values, they will do a handful based on the direction they take)

Idea	Capex	Rev	Profit	Profit	ROI / Year	Risk	Cap.	Avg Feas.
1) MedGuard	\$5	\$3	15%	0.45	9%	1	3	2
2) FastStore	\$3.5	\$2.8	10%	0.28	8%	2	3	2.5
3) SmartTrack	\$2	\$1.8	30%	0.54	27%	3	2	2.5
4) GreenFleet	\$4	\$2.5	12.5%	0.30	8%	2	3	2.5
5) WareFlex	\$3	\$2.5	25%	0.63	21%	3	2	2.5
6) DroneX	\$4.5	\$2.5	25%	0.63	14%	1	1	1
7) FreightFlex	\$3	\$3.5	15%	0.53	18%	2	1	1.5
8) ColdChain+	\$3.5	\$3	12.5%	0.36	10%	2	3	2.5
9) Reverse Log	\$2.2	\$2	20%	0.40	18%	3	2	2.5
10) HyperShip	\$10	\$6	30%	1.80	18%	3	1	2

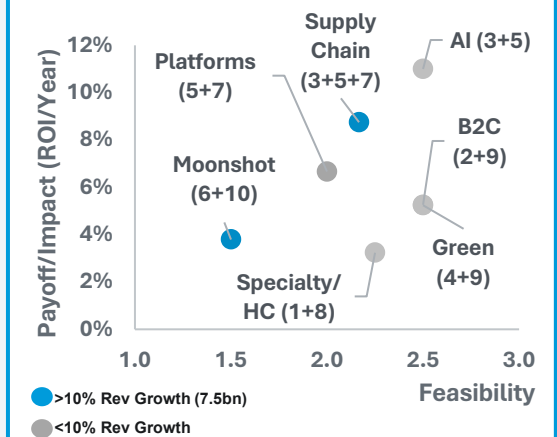
Portfolio	Capex	Rev	Profit	ROI / Year	Avg Feas.
Green (4+9)	\$6	\$4.5	\$0.3	5%	2.5
AI (3+5)	\$5	\$4	\$0.6	11%	2.5
Moonshot (6+10)	\$14.5	\$8.5	\$0.6	4%	1.5
B2C (2+9)	\$6	\$5	\$0.3	5%	2.5
Supply Chain (3+5+7)	\$8	\$8	\$0.7	9%	2.2
Specialty/ HC (1+8)	\$8.5	\$6	\$0.3	3%	2.3
Platforms (5+7)	\$6	\$6	\$0.4	7%	2.0

Strong Candidates:

A strong candidate will collapse the information into a classic **prioritization 2x2 Matrix**, of **Impact vs Ability to Execute**.

This is most efficiently done through a single ROI metric, and a single Risk + Feasibility Score

Impact vs Feasibility



BlackBox Co: Conclusion

Recommendation

I recommend BlackBox Co invest \$8B over 5 years in building Digital Supply Chain Products, including SmartTrack AI, WareFlex, and FreightFlex — positioning the company as the logistics platform powering the next generation of commerce.

Risks

- Tech integration and change management may slow rollout
- Risk of internal resistance in shifting from a traditional ops model
- Competitive pressure from startups and digital-native logistics platforms

Rationale

- This is projected to deliver ~\$8.0B in recurring, high-margin revenue, achieving the 10% growth target with good margins
- This is a high capital efficiency investment, with scalability better than asset-heavy alternatives
- This builds a cohesive supply chain solution for businesses, better connecting them to storage and delivery options, while building a defensible digital moat

Next Steps

- Craft a compelling Wall Street narrative and capital raise strategy, aiming to go to market within 12 months
- Build cross-functional teams for tech integration and org readiness
- Launch pilot programs in key metro markets to validate traction

Strong Candidates:

Strong candidates will do three things here 1) present a compelling vision for the future for BlackBox Co, 2) touch on how their portfolio of recommendations works cohesively together, 3) define the total funding ask and investment potential, and 4) describe how this recommendation reaches the original revenue growth and profit goals.

BlackBox Co: Exhibit 1

Idea Name	Risk Description
1) BB MedGuard (Healthcare & Biopharma Logistics)	Premium, ultra-secure cold-chain logistics service for pharmaceuticals, gene therapies, and medical shipments.
2) BB FastStore (Local Micro-Fulfillment Services)	On-demand micro-fulfillment centers in urban areas for SMBs, offering same-day fulfillment and last-mile delivery.
3) BB SmartTrack AI (AI-Powered Supply Chain Visibility)	AI-powered shipment tracking and predictive analytics platform for businesses to reduce losses and improve efficiency.
4) BB GreenFleet (Sustainable Logistics Solutions)	A fully integrated carbon-neutral shipping service with electric & hydrogen-powered delivery fleets, targeting sustainability-focused businesses.
5) BB WareFlex (On-Demand Warehouse & Inventory Management)	Flexible, AI-powered warehouse & inventory management service, allowing businesses to dynamically rent storage space within BB's logistics network.
6) BB DroneX (Autonomous Drone Delivery)	Autonomous drone delivery network for ultra-fast, short-range deliveries, targeting high-value medical, e-commerce, and B2B shipments.
7) BB FreightFlex (On-Demand LTL & Trucking Network)	A dynamic freight-matching platform connecting shippers with BB-managed and third-party trucking capacity for flexible LTL (less-than-truckload) freight.
8) BB ColdChain+ (End-to-End Perishable Goods Logistics)	A temperature-controlled logistics network optimizing perishable goods shipping, covering fresh food, biotech samples, and sensitive chemicals.
9) BB Reverse Logistics (Sustainable Returns & Recycling)	A fully integrated reverse logistics platform that automates returns, recycling, and recommerce, reducing waste and processing costs for retailers.
10) BB HyperShip (Same-Day Nationwide Delivery via Hyperloop)	A future-ready same-day shipping service using hyperloop technology to move goods between major metropolitan hubs at record speeds.

BlackBox Co: Exhibit 2

Idea Name	5-Year Capex	Long-Term Revenue Run-Rate	Long-Term Profit Margin	Risk Score	Capability to Implement	Risk Description
1) BB MedGuard (Healthcare & Biopharma Logistics)	\$5 bn	\$3 bn/yr	15%	1 HIGH RISK	3 HIGH ABILITY	Regulatory complexity, cold-chain investment, liability risks, and competition from established pharma logistics providers.
2) BB FastStore (Local Micro-Fulfillment Services)	\$3.5 bn	\$2.8 bn/yr	10%	2 MED RISK	3 HIGH ABILITY	High real estate costs, last-mile delivery challenges, and strong competition from Amazon FBA and Shopify Fulfillment.
3) BB SmartTrack AI (AI-Powered Supply Chain Visibility)	\$2 bn	\$1.8 bn/yr	30%	3 LOW RISK	2 MED ABILITY	Tech integration challenges, but minimal infrastructure investment needed; high-margin, scalable SaaS-style revenue model.
4) BB GreenFleet (Sustainable Logistics Solutions)	\$4 bn	\$2.5 bn/yr	12.5%	2 MED RISK	3 HIGH ABILITY	High upfront investment in electric vehicles and infrastructure; regulatory uncertainty around carbon offset programs.
5) BB WareFlex (On-Demand Warehouse & Inventory Management)	\$3 bn	\$2.5 bn/yr	25%	3 LOW RISK	2 MED ABILITY	Requires AI-driven logistics coordination, but no major physical infrastructure investments; highly scalable revenue model.
6) BB DroneX (Autonomous Drone Delivery)	\$4.5 bn	\$2.5 bn/yr	25%	1 HIGH RISK	1 LOW ABILITY	Regulatory approval challenges, air traffic management, and infrastructure investment required for widespread drone deployment.
7) BB FreightFlex (On-Demand LTL & Trucking Network)	\$3 bn	\$3.5 bn/yr	15%	2 MED RISK	1 LOW ABILITY	Competitive market, high cost of fleet management, and the need for AI-driven load matching to maximize efficiency.
8) BB ColdChain+ (End-to-End Perishable Goods Logistics)	\$3.5 bn	\$3 bn/yr	12.5%	2 MED RISK	3 HIGH ABILITY	Cold-chain logistics require significant infrastructure investment; perishable goods are highly sensitive to delays and temp. fluctuations.
9) BB Reverse Logistics (Sustainable Returns & Recycling)	\$2.2 bn	\$2 bn/yr	20%	3 LOW RISK	2 MED ABILITY	Retailers need efficient return solutions, but consumer adoption of recycling & recommerce models is uncertain.
10) BB HyperShip (Same-Day Nationwide Delivery via Hyperloop)	\$10 bn	\$6 bn/yr	30%	3 HIGH RISK	1 LOW ABILITY	Hyperloop technology is still in early development stages, requiring massive infrastructure investment and regulatory approvals.

Case # 16

Dizzy Fruits

Written by Henry Bolo (CBS '22)

Case Type: Market Entry

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Retail / Food & Beverage (Alcohol)

Business Model: Alcohol Manufacturer / Brewer

Key Concepts: Mental Math, Structure, Brainstorming

Dizzy Fruits: Case Intro

Case Prompt

Big Beer Co is a multinational drink and brewing company with \$50b in annual sales. Big Beer Co is the industry leader in terms of market share and boasts a portfolio of hundreds of different beer brands. It has seen consistent growth over time, with recent growth stemming from acquisitions of craft beer breweries and mergers with other multinationals. Wary of ever-changing consumer tastes and the need to deliver value to shareholders, the board is concerned about the go forward viability of the current corporate strategy.

Recently, non alcoholic alternatives, hard kombucha, and alcoholic seltzer have grown in popularity as Millennials and Gen Z come of age, with alcoholic seltzer being the most attractive option. The CEO has brought you in to determine the following: should Big Beer Co enter the alcoholic seltzer market? And how should it enter the market?

Clarifying / Background Information

Does the client have a specific target/objective?

Board is looking for initiatives that increase margins by \$500M by year 5.

Big Beer Co expects investments to have a payback period of ≤ 5 years. There is no discount rate to factor in.

What are the clients' revenues/costs/profits? **They current do about \$75bn in revenue, and have a net profit margin of 10%**

What is the clients' business model?

Big Beer Co manufactures in house and distributes through third parties

What is the clients' geography? **Will only launch in US market**

Other Notes? **Manufacturing capacity is not currently a constraint**

Dizzy Fruits: Case Intro

Sample Framework

1. Alcoholic Seltzer Market

- **Size**
 - Growing/Declining?
 - Trends
- **Competitors**
 - Positioning
 - Relative Market Share (RMS)
- **Consumers**
 - Segments
 - Preferences
 - Purchase Drivers

2. Financial

- **Revenue**
 - Volume
 - Average Selling Price (ASP)
- **Costs**
 - Variable Costs (Sales Commissions, transportation, raw materials, labor)
 - Fixed Costs (PP&E, rent, marketing, R&D, SG&A)

3. Risks

- Brand, regulatory, opportunity costs, consumer education, changing consumer tastes, macroeconomic conditions, cannibalization

Interviewer Guidance

After reviewing framework, candidate should drive toward market sizing.

The five main questions of the case are:

1. Should Big Beer Co enter the alcoholic seltzer market?
2. How big will the alcoholic seltzer market be in five years?
3. What are some ways that Big Beer Co could enter the alcoholic seltzer market?
4. What are some considerations that should be included in Big Beer Co's go to market plan?
5. In addition to moving into the alcoholic seltzer market, the CEO has asked you to enumerate other potential initiatives for Big Beer Co. What else could the company do to increase profitability?



Dizzy Fruits: Exhibit 1 Caser Notes

Quantitative Guidance

How big will the alcoholic seltzer market be in five years?
Show candidate exhibit #1 after reading the question

Competitor	Market Share	2020 Sales
Competitor 1	60%	$(500 \times 4) \times .1 \times 6 = \$1.2b$
Competitor 2	25%	\$500M
Competitor 3	10%	$(500 \times 4) \times .1 = \$200M$
Competitor 4	5%	$(500 \times 4) \times .1 \times 1/2 = \$100M$

Market Size in 5 Years: \$2 billion in 2020 sales x 2 = \$4 billion



Dizzy Fruits: Exhibit 2 Caser Notes

Quantitative Guidance

What are some ways that Big Beer Co could enter the alcoholic seltzer market?
Candidate should mention acquisition, partnership, or internal launch. Once done, show exhibit #2

	Internal Launch	Joint Venture	Acquisition
Annual Contribution Margin	1.5b x 50% = \$750M	1b x 50% = \$500M	1.2b x 50% = \$600M
NPV	(\$750M x 3 years) - \$500M = \$1.75b	(\$500M x 4 years) - \$500M = \$1.5b	(\$600M x 5 years) - \$2b = \$1b

NPV should be calculated based on company’s 5 year payback period. candidate should also mention that each of these three options satisfies the company’s payback and profitability requirements, but that the Organic option is the best option

Qualitative Guidance

What are some considerations that should be included in Big Beer Co’s go to market plan?

There are many ways to answer this question. The candidate should be structured, MECE, and creative. One way to structure an answer:

Who: segments with younger generations (e.g., millennials or gen-z)

What: the form factor of the product (size, alcohol content, caloric content,

How: social media promotion, brand positioning that will appeal to younger generations, celebrity endorsements, prominent placement in channels that younger demographics frequent

Dizzy Fruits: Brainstorm

Brainstorm Prompt

In addition to moving into the alcoholic seltzer market, the CEO has asked you to enumerate other potential initiatives for Big Beer Co. What else could the company do to increase profitability?

Guidance

	Ideas/New Ventures
New Ventures	1. Consider other product categories - wine, spirits, non-alcoholic beverages, or food) 2. Target new segments or geographies - developing economies
Improve Current Operations	1. Refresh advertising - influencer marketing, TikTok 2. Sell lagging parts of the business - sell off poor performing brands or stop distributing in poor performing regions 3. Vertically disintegrate or integrate - spin off manufacturing or move into agricultural production or distribution

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Dizzy Fruits: Exhibit 1

Annual Alcoholic Seltzer Sales (in USD)*

Competitor	Market Share	2020 Sales
Competitor 1	60%	??
Competitor 2	25%	\$500M
Competitor 3	10%	??
Competitor 4	5%	??

Note: Alcoholic Seltzer sales are set to double in 5 years

Dizzy Fruits: Exhibit 2

Market Entry Options

	Internal Launch	Joint Venture	Acquisition
Annual Revenue	\$1.5 billion	\$1 billion	\$1.2 billion
Operating Expenditures	50%	50%	50%
Up-front Costs	\$500 million	\$500 million	\$2 billion
Time-to-Market	24 months	12 months	0 months

Dizzy Fruits: Conclusion

Recommendation

Candidate should recommend that Big Beer Co pursue alcoholic seltzer market and to pursue internal launch route

Risks

- Changing consumer tastes
- New entrants flood the market
- Inability to launch product in other markets
- Cannibalization
- Opportunity costs

Rationale

- Internal launch has highest NPV

Next Steps

- Collaborate on R&D, manufacturing, and go to market plans for the launch of alcoholic seltzer
- (Only if question #4 covered) Do further analysis on other profitability initiatives

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 17

Grocer Prepared Foods

Written by Written by Anthony Villamagna (CBS '21)

Case Type: Profitability

Quant Difficulty: 5 / 10

Qual Difficulty: 4 / 10

Firm Type: BCG / Bain

Industry: Grocery

Business Model: Grocery Store / Made to Order Food

Key Concepts: Unit Cost Analysis, Overall Business Improvement

Grocer Prepared Foods: Case Intro

Case Prompt

Our client, Best Market, an independent grocer in Manhattan with only 1 location, has been facing increased competition from low-cost competitors. Therefore, they have become increasingly dependent on prepared foods to drive growth.

However, the client has reported that they have experienced zero growth in gross profits over the last 3 years. We have been asked to help the client understand what is causing this lack of growth and what they need to do to turn things around

Clarifying / Background Information

Where is the client located in New York?

Harlem (Manhattan)

Does the client have a specific financial target?

No, they just want to identify the problem and figure out ideas to solve the problem

What are the clients' revenues/costs/profits? **We'll get to that later**

What is the clients' business model?

Family owned/operated grocery store that sources items from a number of food suppliers, and sells to shoppers. They also prepare made-to-order food (like sandwiches). Single store, more than 30 years in the community

What are the clients' main products / revenue lines?

Two main lines of revenue – grocery sales, and prepared food. Mid tier (i.e. like Safeway or Stop and Shop, not Whole Foods)

Grocer Prepared Foods: Case Intro

Sample Framework

1. Best Market (Finances)	• Financial Considerations • Revenue • Product Mix • COGS
2. Best Market (Operations)	• Operational Considerations • Supplier Changes • Corporate overhead • Recent Investments
3. Grocery Market (external)	• Size • Growth in each segment? • Consumer Segments • Change in tastes? • Competitors • Number • Size • Threat
4. Other Considerations	• Demographic changes in neighborhood • NYC health restrictions

Interviewer Guidance

Let them explore options on what the problem is. For example, if they want to understand what market changes have occurred, **ask them to describe what market changes could cause this**

Pay close attention to the rationale for the solutions. Common “solutions” that people think of don’t make sense when probed

Caser should recall from the prompt that this is a profit issue. Once the caser asks about revenue / cost information, show them exhibit 1.

Grocer Prepared Foods: Exhibit 1

Category		2018	2019	2020
Grocery	Revenue	480	470	480
	COGS	300	290	300
Prepared Foods	Revenue	200	230	280
	COGS	160	190	240
Overall	Revenue	680	700	760
	COGS	460	480	540
	Gross Margin	220	220	220

Note: All values are in thousands



Grocer Prepared Foods: Exhibit 1 Caser Notes

Quantitative Guidance

Qualitative Guidance

Overall Revenue Growth

- Growth from 680 to 760 in 2 years – $80/680$ is roughly $1/8$ (12%)
- Overall Rev Growth is approximately 5-6% per year (12% / 2 years)

Overall Current Profit Margins

- In 2020 – $220 / 760$ is roughly $2/7$ which equates to 28% margins overall

Overall Profit Margin Change over Time

- Profits in 2018 were the same as 2020 (220k), but on less revenue, so margins have contracted.

Segment Growth Rates

Seg.	'18 Rev	'20 Rev	2Yr Growth	Trend
Grocery				Eyeball – Flat/0%
Prep. Food	200	280	$280 - 200 = 80$ $80 / 200 = 2/5 = 40\%$	$40\% / 2 \text{ Years} \approx 20\%$

Segment Profit Margins

Segment	2018 Profit	2020 Profit	Trend
Grocery	$300/480 \approx 3/5 \approx 60\%$ $1 - 60\% = 40\% \text{ profit}$	Same	Flat
Prepared Foods	$160/200 = 4/5 = 80\%$ $1 - 80\% = 20\% \text{ profit}$	$240/280 \approx 6/7 \approx 86\%$ $1 - 86\% = 14\% \text{ profit}$	Worse

Main Takeaway - profitability declines are driven by prepared foods – margins have dropped from ~20% to ~14%

Next steps should be to think of ideas why this may be occurring, and to decompose this segment and understand what is causing this profit issue

The candidate should see that overall revenues are increasing, but absolute profit is decreasing, meaning that the profit margin is declining over time.

Strong Candidates:

Most candidates will zero in on the prepared foods because that is where the “story” is on this exhibit. However, the grocery department is stagnant, which isn’t growing either. A strong candidate will note that, if there is time, they would like to explore the grocery department but first they would like to first prioritize looking at the prepared foods.

Grocer Prepared Foods: Exhibit 2

Buffalo Chicken Tenders	
Price	\$6 for 10 pieces
Total Material Cost	\$0.25 per piece
Prep Time	15 minutes per batch of 100
Employee Costs	\$20 per hour

Made-To-Order Sandwiches	
Price	\$6 per sandwich
Avg. Sales / Day	40 Sandwiches
Total Material Cost	\$4 per sandwich
Employee Costs	\$20 per hour
Dedicated Hours	8 hours per day

Footnote: xxx



Grocer Prepared Foods: Exhibit 2 Caser Notes

Quantitative Guidance

Qualitative Guidance

Buffalo Chicken Tenders:

- \$6 revenue (per 10 pieces)
- \$2.50 of material cost per 10 pieces ($\$0.25 \times 10$)
- \$5.00 of fixed costs per 100 pieces (15 minutes = 0.25 hours * \$20/hr)
- \$0.50 in fixed costs per 100 pieces (\$5 for 100 pieces / 10)
- **Total profit of \$3 per order** (\$6 revenue - \$2.50 material cost - \$0.5 of fixed costs).

Key takeaway is that Buffalo Chicken Tenders are the profit makers and sandwiches are profit losers

Candidates should be thinking of ways to improve this product / operation as a next step

Made to Order Sandwiches:

Item	Units	\$/Unit	Total \$
Revenue	40 sandwiches	+\$6 / sandwich	\$240 / day
Variable Cost	40 sandwiches	- \$4 / sandwich	\$160 / day
Marginal Profit		+ \$2 / sandwich	\$80 / day
Fixed Cost	8 hours	\$20 / hour (- \$4 / sandwich)	\$160 / day
Profit		- \$2 / sandwich	- \$80 / day

Strong Candidates:

Strong candidates think about **unit costs** and are structured in their calculations. A strong candidate will also think about **breakeven costs** (how many sandwiches / tenders do we need to sell to be profitable), as well as **fixed vs variable costs and marginal profit** here. For example, they must sell 50 tenders out of every batch of 100 to breakeven. They must sell 80 sandwiches to break even (\$160 / marginal profit of \$2/sandwich).



Grocer Prepared Foods: Brainstorm

Brainstorm Prompt	Guidance			
What are some ideas to make these two items more profitable?		Tenders	Sandwiches	Overall
	Rev Ideas	1. Analyze data to better predict demand at any given time	1. Bundle with higher margin items like chips, cookies and drinks	1. Drive revenue through Advertising throughout the store
	Cost Ideas	1. Establish cutoff time where no new tenders are made to reduce labor hours	1. Cut the number of hours - work the station only during lunch (ex. 4 hrs instead of 8) 2. Consider getting rid of station entirely and moving to pre-made sandwiches	1. Source cheaper supplies

Strong Candidates:	Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, and a strong candidate can usually suggest 7-8 ideas
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Grocer Prepared Foods: Conclusion

Recommendation

The profitability problem lies with the prepared foods department. We recommend:

- 1) Cutting down the hours we have the sandwich stand open**
- 2) Driving higher sandwich volume through advertising in store**
- 3) Bundling sandwiches with higher margin chips and drink**

Risks

- 1) The sandwich line may continue to underperform even with these changes – it may need to be scrapped.
- 2) Also using advertising space may reduce sales of other products. Customers may react to changes in sandwich station open times

Rationale

- Our main issue is with shrinking margins in Prepared Foods (due to the decline from 20% to 14% profits)
- We isolated the issue to the sandwiches being unprofitable
- We cannot raise prices, and we don't want to shirk on quality of ingredients. Shortening the window when the sandwich stand is open will reduce our fixed cost burden, and driving more volume will spread that fixed cost over a larger number of sandwiches

Next Steps

We believe we can work with you to pilot a shorter sandwich window on a low volume day, help design an advertising campaign to test throughout the store, measuring the effectiveness of both initiatives

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 18

Insta-Famous

Case Type: New Product

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Tech (Social Media)

Business Model: Social Media Platform / Influencer

Key Concepts: Optimization, Cannibalization, Mental Math

Insta-Famous: Case Intro

Case Prompt

Katherine Isaacs is a fitness focused influencer on several major social media platforms. She posts videos about her workouts, and these videos garner hundreds of thousands of views.

While she is excited about her current reach and the steady income she receives from the social media sites, she is considering launching her own app. You have been brought in by her team to help think through whether she should launch an app or just stay with the social media sites

Clarifying / Background Information

Does the client have a specific target/objective?

She would like to generate \$30M in additional, annual profits without spending more than 20 hours of her time per week on the app

What would be on the app? **She is open to many ideas and is looking to you for guidance**

How does she make money now? **She gets paid by the social media sites for driving traffic and she gets paid from companies for products for which she directly advertises for in her videos and posts**

How much money does she make now? **She makes \$5M in Social Media profits now**

Insta-Famous: Case Intro

Sample Framework

1. Financial

- **Revenue (should discuss multiple possible revenue streams)**
 - Sample stream 1: Katherine directly advertising products
 - (Additional streams encouraged)
 - Affect on existing social media rev.
- **Cost**
 - Fixed cost
 - Initial development
 - Ongoing site maintenance
 - Variable cost (depends on rev stream)

2. Operational

- **Can her team pull this off?**

3. Brand

- **What is the brand impact of this?**

4. Market

- **Size:** # of followers with app enabled phones to Competition: are there existing apps for health/workout customers?
- **Trend:** are people preferring to engage with fitness/health through apps instead of SM?

Interviewer Guidance

After the framework, ask the candidate the first question (Should Katherine Isaacs launch her own app?)

Once they answer the first question they should drive the discussion towards the financials of what they brainstormed.. At that point, hand them the first exhibit

From there, they should ask for the second exhibit. Once they have decided what should go on the app, you can discuss risks with their plan or ask them to sum up

Candidate should think whether the app will make Katherine money and whether she can do it. Candidate should also think about how the app will affect her current business

Insta-Famous: Exhibit 1 and Exhibit 2 Solution

Quantitative Guidance

Solution to Exhibits #1 and #2

Calculations	Katherine's workout program	Advertising other companies product	Live events and in-app ticket portal	Multi-influencer workout program	Creating and advertising private label products
App revenue	\$12M	\$6.25M	\$22.5M	\$21M	\$15M
SM revenue impact	+\$0.5M	\$0M	+\$0.5M	\$0M	-\$1.5M
Profit (adjusting for SM impact and cost)	\$11.5M	\$6M	\$16M	\$18M	\$8M
Profit per hour	\$2.3M	\$12M	\$1.6M	\$1.5M	\$1M
	2 nd best	best	3 rd best	4 th best	worst

Insta-Famous: Exhibit 1 and Exhibit 2 Notes

Exhibit 1 Qualitative Guidance

After the candidate brainstorms product/services idea, they should want to explore the feasibility of what they came up with. Explain that this exhibit is a preliminary estimate for some products/services Katherine is considering

Candidate should calculate the total revenue per product/service and then adjust for the impact on SM revenue

To do this, candidate will need to ask how much Katherine currently makes on the social media sites. Tell candidate she makes \$5 million in revenue and profit (she has no costs for the social media sites)

Exhibit 2 Qualitative Guidance

Candidate will need to combine this cost data with the revenue data to calculate total profit per product/service

Candidate should understand that Katherine doesn't have the time to do all the product/services

Candidate should calculate profit per hour to determine the product/services that Katherine should include:

- “Advertising other companies products” and “Katherine’s workout program” have the highest profits per hour. These should definitely be included in the recommendation
- “Multi influencer” and “live events” have similar profit per hour but Katherine can only do one of them. Candidate should make an argument for one over the other. One is a greater profit and the other is more efficient. Candidate should justify everything
- Emphasize that having the structure to analyze what is the best (\$/hr) is what is important

Once the candidate has determined the products/services to include in the app, you can engage in a high level discussion of risks / next steps or simply ask the candidate to sum up

Insta-Famous: Brainstorm

Brainstorm Prompt

What sorts of products and services could Katherine include on the app?

Guidance

	Ideas/New Ventures
Services	1. Live streamed workouts that multiple people can join in on - More personal information such as where she likes to travel, pets, etc. 2. Gamified rewards for connecting on the app 3. Premium service with access to exclusive videos 4. All of the above for multiple influencers (create a platform for other influencers)
Products	1. Workout regimen (lessons) that you can work through each day 2 Products to buy (weights, mats, athletic gear, food/drink) 3. Announcements about and tickets for in person events

Strong Candidates:

Strong candidates will structure before they provide any ideas (ex. Products vs Services, Content similar to what's on SM vs. new content entirely). Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Insta-Famous: Exhibit 1

Potential app products and services	Katherine's workout program	Advertising other companies product	Live events and in-app ticket portal	Multi-influencer workout program	Creating and advertising private label products
Customers (thousands)	400	250	250	700	250
Annual revenue per customer	\$30	\$25	\$90	\$30	\$60
% current SM profit impact	10%	0%	10%	0%	-30%

Note: The Social Media revenue impact is additive. For example, doing two ideas that each cannibalize 5% of revenue would simply cannibalize 10% of existing SM revenue.

Insta-Famous: Exhibit 2

Potential app products and services	Katherine's workout program	Advertising other companies product	Live events and in-app ticket portal	Multi-influencer workout program	Creating and advertising private label products
Annual cost	\$1M	\$0.25M	\$7M	\$3M	\$5.50M
Hours/week requirement for Katherine	5	0.5	10	12	8

Insta-Famous: Conclusion

Recommendation

Katherine should launch the app, including her own workout regimen, advertising other companies products, and (candidate chooses either “live events” or “multi influencer”). Doing so would bring in an additional \$30M in profit without asking more than 20 hours of her time

Rationale

- These features are the most profitable per hour of Katherine’s time

Risks

- Difficulty launching and maintaining an app
- Live events is heavily operationally intensive
- Live events may not be as polished as her pre crafted Instagram videos
- Optimal product/service selection is highly dependent on revenue, cost, and time estimates

Next Steps

- Partner with an app development and maintenance team
- Identify companies and products to advertise and cultivate her workouts into an app-based regimen
- (Depending on selection) Map out a live event program or identify other influencers to bring on

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 19

Neuro Now

Written by Vishesh Jain (CBS '21)

Case Type: Market Entry

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: BCG / Bain

Industry: Pharmaceuticals

Business Model: Biopharma drug developer

Key Concepts: Market entry, Market sizing, Breakeven analysis

Neuro Now: Case Intro

Case Prompt

Our client, NeuroNow, is a mid market biopharma company having 2 products in the US market. They have developed a new oral medicine to treat multiple sclerosis (MS) which has successfully passed phase 2 of clinical trials.

Before deciding on further investments in phase 3 and commercialization, our client is looking to project revenues for the drug in 2021 and would like to know how soon can they breakeven on their investment from phase 3 trials onwards

Clarifying / Background Information

Detail about MS - It is estimated that 0.1% of Americans will suffer from MS in 2021 (out of a total population of 300mn in 2020). However, according to estimates, only 80% of the cases will be diagnosed and only 90% of the diagnosed population will receive treatment. Patients undergo gradual degradation of spinal cord and brain cells and symptoms include impaired movement, speaking and other senses. No full cure exists but injectable medicines are used for management of symptoms

1st oral medication to manage symptoms was introduced in 2016 and has gained popularity quickly over incumbent injectables due to obvious reasons. 2 more oral drugs have entered the market since

NeuroNow Treatment - Price of NeuroNow therapy would be \$1000/month for 12 months/patient

Neuro Now: Case Intro

Sample Framework

1. Market Size

- **Market Size** = No. of patients * Price
- **Incidence**
- **Diagnosis and treatment rate**
- **Treatment share and competition**
- **Price/dose**
- **Number of annual doses/patient**
- **Growth rate**

2. Profitability

- **Revenue**
 - Price
 - Duration
 - Market Share
- **Cost**
 - Clinical trial & launch costs
 - Salesforce and admin costs
 - Marketing costs
 - Manufacturing, distribution, etc.

3. Other Risks

- **Trial success**
- **Insurance coverage**
- **Other competitors**
- **Regulatory changes affecting price, etc.**

Interviewer Guidance

This case consists of 3 main components:

- 1) Setting up market sizing calculations and identifying relevant haircuts to be considered in the patient population
- 2) Recommending ways to estimate market share
- 3) Identifying risks and benefits of going ahead with further investment on phase 3 trials

Guide the candidate towards sizing up the market for potential number of patients for the new drug. A good candidate will identify the necessary 'haircuts' required to arrive at the target market

Neuro Now: Exhibit 1 Notes

Quantitative Guidance

What is the potential number of MS patients that will be treated with oral drugs in the next 5 years?

Guide the candidate towards estimating number of patients treated for MS in a year: US Population * Incidence rate * Diagnosis rate * Treatment rate; For 2020: 300mn * 1/1000 incidence * 80% diagnosis rate * 90% treatment rate = 216,000 treated patients in 2020

Hand out exhibit 1. A good candidate will note that the oral medicine market is expected to grow at an attractive pace and adoption was driven through launch of competitors and was accelerated by COVID 19 pandemic in 2020

Year	Incidence	Diagnosed	Treated	Oral medication share %	Target patients
2021	300000	240000	216000	75%	162000
2022	300000	240000	216000	80%	172800
2023	300000	240000	216000	85%	183600
2024	300000	240000	216000	85%	183600
2025	300000	240000	216000	90%	194400
Total:	1500000	1200000	1080000		896400

Assuming no change in total population, incidence, diagnosis and treatment rates, we can expect ~900k MS patients to be treated with oral medication. A good candidate will recognize that a market research study to estimate NeuroNow's expected market share within the oral medicine market is the ideal next step

Neuro Now: Exhibit 2 Notes

Quantitative Guidance

What is the expected patient share of NeuroNow within oral MS market? Subsequently, can the client breakeven in 5 years?

Hand out exhibit 2. Candidate should note that based on both qualitative and quantitative assessment we can expect NeuroNow to capture significant market share right after launch in 2021. Candidate should be able to back his/her assumptions up with clear rationale. For example, it is valid to assume that peak market share could be expected a couple of years after launch as returns on marketing investments materialize. Current assumptions are taken for ease of calculation

Year	Patients on oral drugs	NeuroNow share	NeuroNow patients	Price/year (\$)	Total revenue (bn \$)	Total cost (\$ bn)	Profit (bn)	Cumulative profit (bn)
2020	151200	0%	0	12000	0	0.3	-0.3	-0.3
2021	162000	40%	64800	12000	0.8	0.5	0.3	0
2022	172800	40%	69120	12000	0.8	0.4	0.4	0.4
2023	183600	40%	73440	12000	0.9	0.4	0.5	0.9
2024	183600	40%	73440	12000	0.9	0.4	0.5	1.4
2025	194400	40%	77760	12000	0.9	0.4	0.5	1.9
Total	896400		358560		4.3	2.4	1.9	

Hand exhibit 3 for costs analysis. Push the candidate to try and come up with cost heads and schedules on their own. Breakeven expected in just over 1 year of launch. Total profit of \$1.9Bn (44%)



Neuro Now: Brainstorm

Brainstorm Prompt

What are some other risks that our client could face?

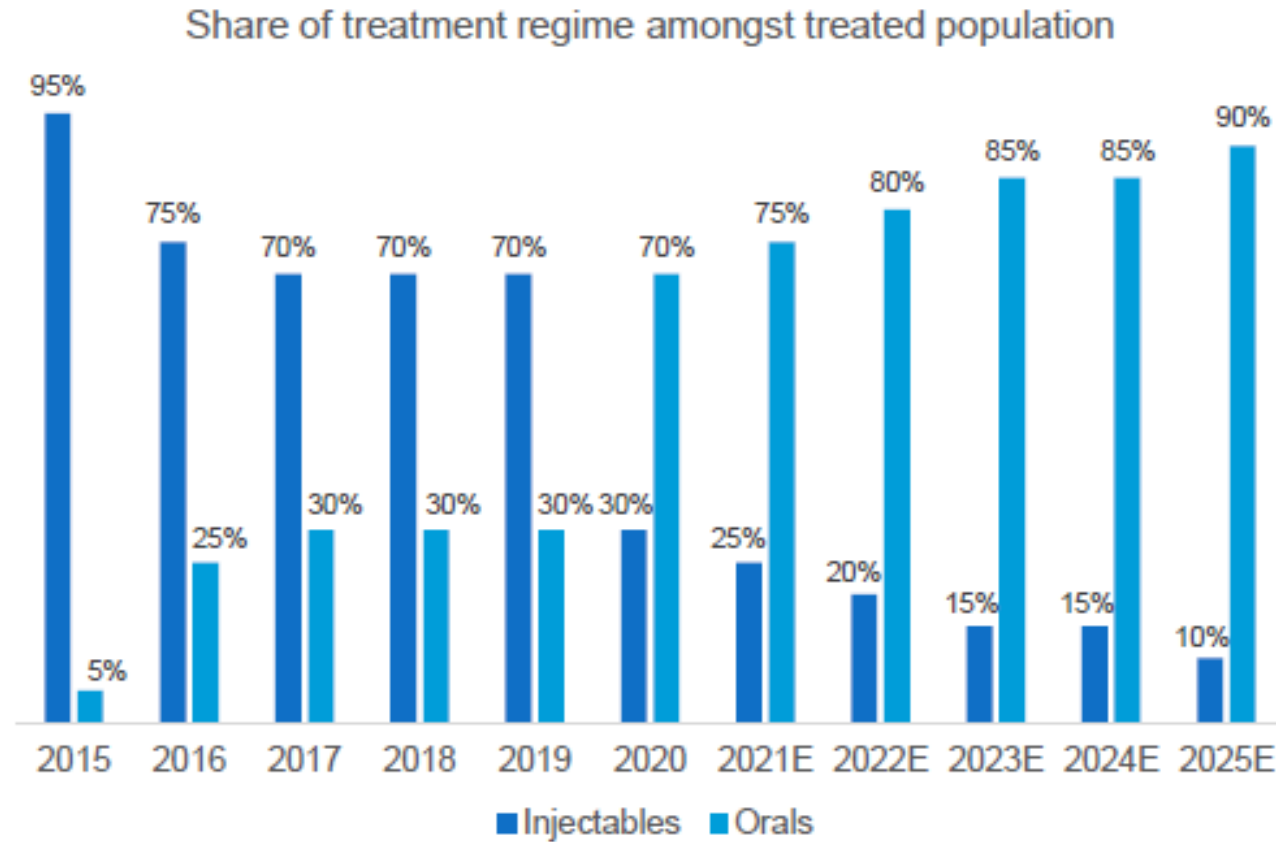
Guidance

	Ideas/New Ventures
Internal	1. Clinical trial failure: Profitability calculations need to be adjusted by the probability of success in the trial 2. Supply: Manufacturing and/or distribution related issues either internally or with partners
External	1. Competitor response: A fast growing oral MS drug market would attract existing injectable competitor to develop new oral products and new players to entire this market; Our position can be swayed if new competition arises which provides one or many of better clinical utility, economic value or ease to various relevant stakeholders 2. Regulatory risks: Industry is very exposed to such changes

Strong Candidates:

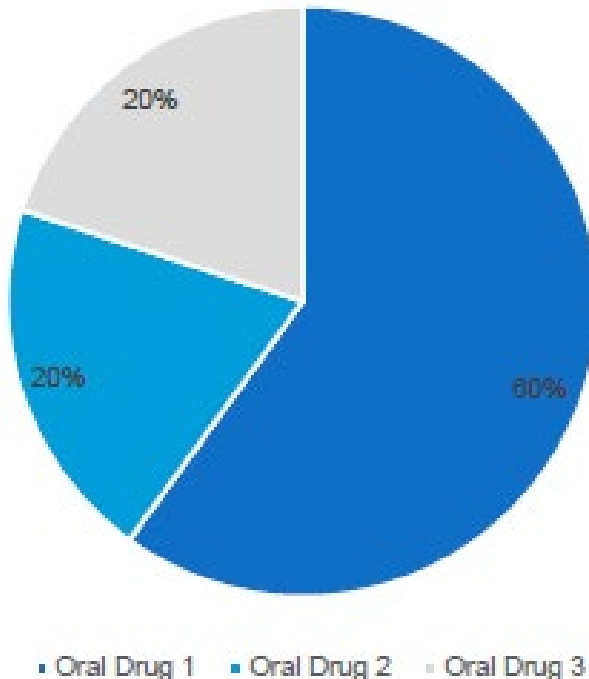
Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Neuro Now: Exhibit 1 (MS Treatment Paradigm)



Neuro Now: Exhibit 2 (Market Research Study)

Oral MS drug patient share 2020



Key stakeholders:

“Oral drugs have really transformed how I manage my patients. They are more compliant towards their schedules and hence sometimes show better results than injectables. I can’t wait for NeuroNow to be launched as its’ early clinical trials show that it has fewer cases of serious side effects than the leading incumbents”

Leading Neurologist, Columbia Medical

“Oral MS drugs have proven to be an economic boom to the healthcare costs for a MS patient as 100s of thousands of monthly hospital visits for injections are being replaced by those patients staying at home and taking their own pills. With NeuroNow , we expect a greater benefit as fewer patients will be buying additional drugs to manage common side effects that come from the currently available oral MS drugs in the market”

USA’s top private insurer

“I am on Oral Drug 1 and it is really helping me with my symptoms however the resultant side effects are getting tougher to manage by the day.”

70 year old MS patient

Neuro Now: Exhibit 3 (Estimated Costs)

Cost head	Schedule	Amount
Phase 3 Clinical trial	2020	\$100mn
Launch costs	2021	\$100mn
Salesforce costs	Every year from 2020	\$70mn/year
Marketing costs	Every year from 2020	\$130mn/year
Manufacturing, distribution etc.	Every year from 2021	\$200mn/year

Neuro Now: Conclusion

Recommendation

Client should proceed with phase 3 trials and further investments on NeuroNow

Risks

- Failure of clinical trial; Emergence of new innovative competitors/products

Rationale

- Client can expect to breakeven in 1 year (vs 5) and can expect a profit of \$1.9Bn (44%) across 5 years from launch. They will be entering a growing market with unmet needs

Next Steps

- Set up clinical trial design with representative population
- Maintain market awareness for oral MS drugs and NeuroNow
- Work on salesforce recruitment and organization structure plans
- Curate marketing campaigns and messaging

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 20

Timeless Watches

Case Type: Market Entry

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: McKinsey (interviewer-led)

Industry: Fashion Retail / Tech

Business Model: Watch Brand/Manufacturer

Key Concepts: Market Sizing, Creativity, Mental Math

Timeless Watches: Case Intro

Case Prompt

Your client is Timeless, one of the world's largest and most successful watchmakers. Based in the U.S., they are renowned for offering fashionable designs and quality craftsmanship at an accessible price. Timeless sells watches under several different proprietary brand names and also has licenses to design watches on behalf of other popular fashion brands. Timeless watches are sold in Timeless stores, in major department stores, online, and through other specialty retailers. Timeless has noticed in the past few years that consumers have grown increasingly interested in "smart watches."

Timeless currently makes only "traditional" watches, but they have been considering adding a smart watch line to their product offerings. Timeless has hired your firm to help them analyze this opportunity

Clarifying / Background Information

Geography - This case focuses on the US market

Definition - For the purposes of this case, a "smart watch" is a watch that can communicate with a user's phone to receive text, call, or email alerts and can also support additional apps, like GPS or advanced fitness tracking (think Apple Watch, not a FitBit basic tracker bands)

Sales - Timeless's current sales have been holding steady over the past few years

Product Mix - Timeless's brands cover many different market segments and price points

Timeless Watches: Case Intro

Sample Framework

1. Market Size & Share

- What is the size of the US smart watch market?
- Is the market fragmented or consolidated, and do we expect this to change over time?
- Who are the main competitors?

2. Customers

- Who is Timeless's current customer? Would they also buy a smart watch? Potential cannibalization?
- Segmentation by use case (ex. fitness, work)

3. Timeless' Capabilities

- Does Timeless mgmt have the technical capabilities to make this jump? What needs to be added?
- How would design & production change?
- How can/should the Timeless brand be leveraged?
- Does Timeless have sufficient capital to invest?

4. How to Enter?

- Joint venture with an existing brand
- Licensing
- Acquisition
- Build in house

Interviewer Guidance

This case should be interviewer led. There is no specific goal for the market entry (gain x% of share, etc.). Encourage the candidate to be creative throughout, but especially in question 3 and 4. The best interviews will pull together considerations from the retail brand portfolio aspect and the tech aspect to build a well rounded perspective on the opportunities and risks of entering into the smart watch market

This case presents a lot for the candidate to consider not only do we need to think about the market opportunity, but we also need to think about whether Timeless is capable of making such a pivot, and if so, how it would effect their current business. Push the candidate to be creative throughout the discussion

The framework to the left includes some basic ideas. Creative additions might include discussion of operating systems, the consumer "watch closet," expansion into watch accessories sales, and opportunity costs.

Timeless Watches: Question #1 (Market Sizing)

Quantitative Guidance

Estimate the size of the US smart watch market

1. US Population: ~300M people
2. Create approximate age groups and assume even distribution of 75M people per group: 0-20, 21-40, 41-60, 61-80+
3. Apply a percentage estimate of the people in each group who would buy a smart watch:
 - 0-20: 10% -> 7.5M people
 - 21-40: 25% -> 18.75M people
 - 41-60: 20% -> 15M people
 - 61-80+: 5% -> 3.75M people
4. Add each group's estimate to get a total of 45M people
5. Estimated Average Smart Watch price: \$250
6. Estimate the number of smart watches owned per person: 1.1 (most people will only buy one, but some people may periodically "trade up")
7. Estimate that people purchase a smart watch every 4 years
8. **Total Market Size: 45M people x \$250 x 1.1 watches per person / 4 (years between purchases) = ~\$3B**

Candidate will likely ask about the share of the market Timeless could capture. **Hand them Exhibit 1.**

Timeless Watches: Exhibit 1 Notes

Quantitative Guidance

Looking at Exhibit 1, what inferences can you draw about the smart watch market in the US and Timeless's options for entering the market?

This question tests the candidate's ability to draw "second level insights" from the information provided in Exhibit 1. They should note that the market is rather consolidated, which means Timeless might have a tough time breaking through. However, being a major player in the traditional watch market does come with some advantages, and we are starting to see some market segments emerge (fitness users, productivity needs, etc.). The candidate should consider the different benefits and risks associated with entering the market through joint ventures, acquisition, or building in house. A potential framework might include the following:

Acquisition	Joint Venture	Build In-House
• Faster revenues • Leverage Timeless sales & marketing assets • Is there an affordable acquisition target available? • Integration risks • Can their tech keep up?	• Collaborate with tech company, get best of both tech & watch • Leverage both brands for customer acquisition • Choice of JV partner is key • Limited control over project	• Full control of process, costs • Expand an existing brand's line • Takes longest to build out; Timeless doesn't have tech capability currently • Demands of new project could cannibalize internal resources

Timeless Watches: Exhibit 2 Notes

Quantitative Guidance

Timeless has identified a potential acquisition target called CanCan , a 3 year old start up that makes a smart watch focused on providing top notch productivity apps and features. Their product has developed a small but enthusiastic customer base. Looking at Exhibit 2, should Timeless proceed with the acquisition?

\$100,000

CanCan's annual gross margin = (\$200 avg. sale price --\$150 variable cost) x 200,000 watches = \$5M

Annual Fixed Costs = \$300k per month x 12 months = \$3.6M

Annual Cost of Giveaways = 200 watches/month x 12 months x \$150 variable cost per watch = \$360k

CanCan annual profit = \$5M revenue --\$3.6M fixed costs --\$360k giveaways cost = **\$1.04M**

If the candidate asks for an acquisition price, tell them that current estimates are between **\$15M --\$20M**

Possible Answers: Can argue “yes” or “no” with thoughtful rationale. Some possible discussion points include:

Acquire: Lots of potential synergies: Timeless can leverage its marketing, distribution, and production expertise to increase sales and reduce fixed costs. Timeless can access capital to invest in expanding CanCan's production capacity. Timeless can cut back on the giveaway, which are currently costing CanCan a lot of money

Don't Acquire: Synergies are uncertain given Timeless doesn't currently produce smart watches (doesn't know how to manufacture them, market them, integrate new department of techies/programmers, etc.). Productivity focused smart watch is a small market and may not be trendy in 1 2 years. There may be other acquisition targets that are more attractive

Timeless Watches: Exhibit 1 (US Smart Watch Market)

Company Name	Market Share, 2019	Avg. Sale Price of Watch	Other Products
Apple	35%	\$400	Consumer electronics, Apple Music
FitBit	20%	\$200	Fitness tracker bands, pedometers
Fossil	10%	\$200	Traditional watches, leather accessories
Garmin	5%	\$350	GPS electronics, fitness monitoring equipment
Samsung	5%	\$300	Consumer electronics & components
Other Companies, Aggregated	25%	\$200	Varies

Timeless Watches: Exhibit 2 (CanCan Acquisition)

CanCan Information	
Avg. Watch Selling Price	\$200
Annual Unit Sales	100,000
Monthly Watch Giveaways*	200
Variable Cost per Unit	\$150
Monthly Fixed Costs	\$300,000

Note: Giveaways are in addition to 100k annual unit sales. These are watches given to influencers, bloggers, tech reviewers, etc . for promotional purposes.

Timeless Watches: Exhibit 3 (Estimated Costs)

Cost head	Schedule	Amount
Phase 3 Clinical trial	2020	\$100mn
Launch costs	2021	\$100mn
Salesforce costs	Every year from 2020	\$70mn/year
Marketing costs	Every year from 2020	\$130mn/year
Manufacturing, distribution etc.	Every year from 2021	\$200mn/year

Timeless Watches: Conclusion

Recommendation

Timeless should pursue the acquisition of CanCan, pending confirmation of an agreeable price

(Candidate can also argue they should not proceed; Rationale, Risks, and Next Steps should support that argument)

Rationale

- Purchasing an up and coming smart watch brand will help Timeless enter the market faster than building in house, and there are several opportunities for synergies that will help CanCan grow its sales much faster than it could on its own

Risks

- Work culture integration risks
- Competitive responses (ex. Apple starts increasing emphasis on productivity features), or Market wide risk of low cost manufactures creating a super cheap “good enough” watch
- Continual investments in tech development
- Cannibalization of internal resources towards smart watches
- Opportunity Costs other potential acquisitions, etc

Next Steps

- Timeless should confirm acquisition price and ensure they have adequate capital to invest
- Timeless should research other potential acquisition targets to make sure that CanCan is the best option
- If CanCan is the best, they should create a plan & timeline for the integration (ex. Will CanCan employees move to Timeless HQ, or stay separate?)

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 21

Sparkle Co

Case Type: Profitability

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Retail

Business Model: Beverage Manufacturer

Key Concepts: Profitability, Market entry (new product), Brainstorming

Sparkle Co: Case Intro

Case Prompt

Sparkle Co. is a mid-sized private beverage company (\$900MM annual sales) that manufactures sparkling water in a range of flavors. After several years of profitable growth, Sparkle Co. has seen profitability deteriorate in the past year. The CEO dreams of taking the company public, and has hired our firm to diagnose the problem and help turn things around

Clarifying / Background Information

Financial Info - We don't have any figures yet about revenues or costs we just know net profit is down slightly vs. last year

Geography/Channels - Sparkle Co. is based in New York City, and sells across the country through retailers such as grocery stores and drugstores and major ecommerce sites like amazon.com. They do not want to expand outside the US

Sparkle Co: Case Intro

Sample Framework

1. Profitability

- **Revenue**
 - Price - wholesale & retail price, promotions/discounts
 - Units sold
- **Cost**
 - Variable unit cost, transportation, manufacturing
 - Fixed manufacturing & production, marketing /sales

2. Market

- **Competition** - multinationals, new entrants
- **Customers**
 - Consumers - health trends, interest/demand, purchase behaviors, potential segments
 - Retailers - shelf space, bargaining power

3. Company

- Products - is a particular product line doing poorly?
- Sales Channels - is a particular channel doing poorly?
- Marketing - change in tactics, channels, etc.
- People - turnover, cultural issues

Interviewer Guidance

This case should be candidate led (BCG/Bain “style”)

The first part of the case is a classic profitability diagnosis and the second part is a market entry (new product launch)

This case tests a lot of general business judgment. Candidate should be able to rationally explain decisions and backup with numbers

The goal of the framework is to diagnose and brainstorm ways to improve profitability
The next portion will be to analyze the opportunities/risks of entering a new product category

Sparkle Co: Exhibit 1 & 2 Notes

Quantitative Guidance

A Sparkle Co. commercial analyst has put together some reports for you (hand over Exhibit 1 & Exhibit 2). What can you conclude about the company's profitability issues? What has happened to the company's market share?

2018	2017	2016	2015	2014
15%	17%	17%	16%	15%

The Candidate should identify the following:

- Year over year the market is growing (~9% between 2017 and 2018), but Sparkle Co. sales are down this year (~3.75%), which means they are not growing as fast as the market (losing share).
- Gross margin has been consistent, so COGs has not changed
- R&D and SG&A are both down this year (i.e. fixed costs are down)
- R&D costs going down may indicate that Sparkle Co. is not investing in as much product innovation

Qualitative Guidance

Candidate should conclude that declining profitability is actually a revenue issue, caused by losing market share in a market that is still growing.

Prompt the candidate to brainstorm some potential reasons:

- Competition new entrants, new products, increased marketing spend, competitive promotions, private label
- Distribution reduced shelf space, did we lose any accounts, are we missing any key distribution points
- Customer changed perception of product, prefer other products
- Product quality/taste issue, not enough marketing

Sparkle Co: Exhibit 3 Notes

Qualitative Guidance

Our team has conducted some consumer surveys to better understand the customer perception of Sparkle Co. beverages (hand over Exhibit 3). What can you conclude from this research? What would you recommend?

From the exhibits, candidates should conclude:

- Sparkle Co. is not meeting customer expectations on healthiness & visual appearance therefore an opportunity to redesign the packaging and improve health perception of the beverage
- Exceed expectations on price, so there may be an opportunity to increase price or introduce a premium beverage

Sparkle Co: Brainstorm

Brainstorm Prompt

Based on your findings so far, what would you recommend Sparkle Co do?

Guidance

Internal improvements

1. Packaging redesign
2. Launch new “healthy” line of beverages at a higher price point

External communication / marketing

1. Marketing campaign about health benefits/low calorie/no sugar
2. Partnerships with “health” influencers, doctors, nutritionists
3. Re vamp social media and website

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Sparkle Co: Exhibit 4 Guidance

Qualitative Guidance

The Sparkle Co. R&D team has been developing a line of premium sparkling waters with “health” ingredients such as CBD, turmeric, collagen, spirulina, etc. This new product would fall into the “functional beverages” category. Based on the customer survey results, the marketing team wants to accelerate the launch of this new product line. According to R&D, it could be ready to launch by 2020. They want you to evaluate the opportunity. (hand over Exhibit 4)

Functional beverages are intended to convey a health benefit. Examples include: vitamin waters, kombucha, etc. After looking at exhibit, candidate should ask about costs. Provide the following:

Upfront fixed costs

- Finish developing product - \$10MM
(candidate should realize that past R&D is sunk)
- Invest in additional production capacity - \$30MM

Annual fixed costs: \$8MM/year

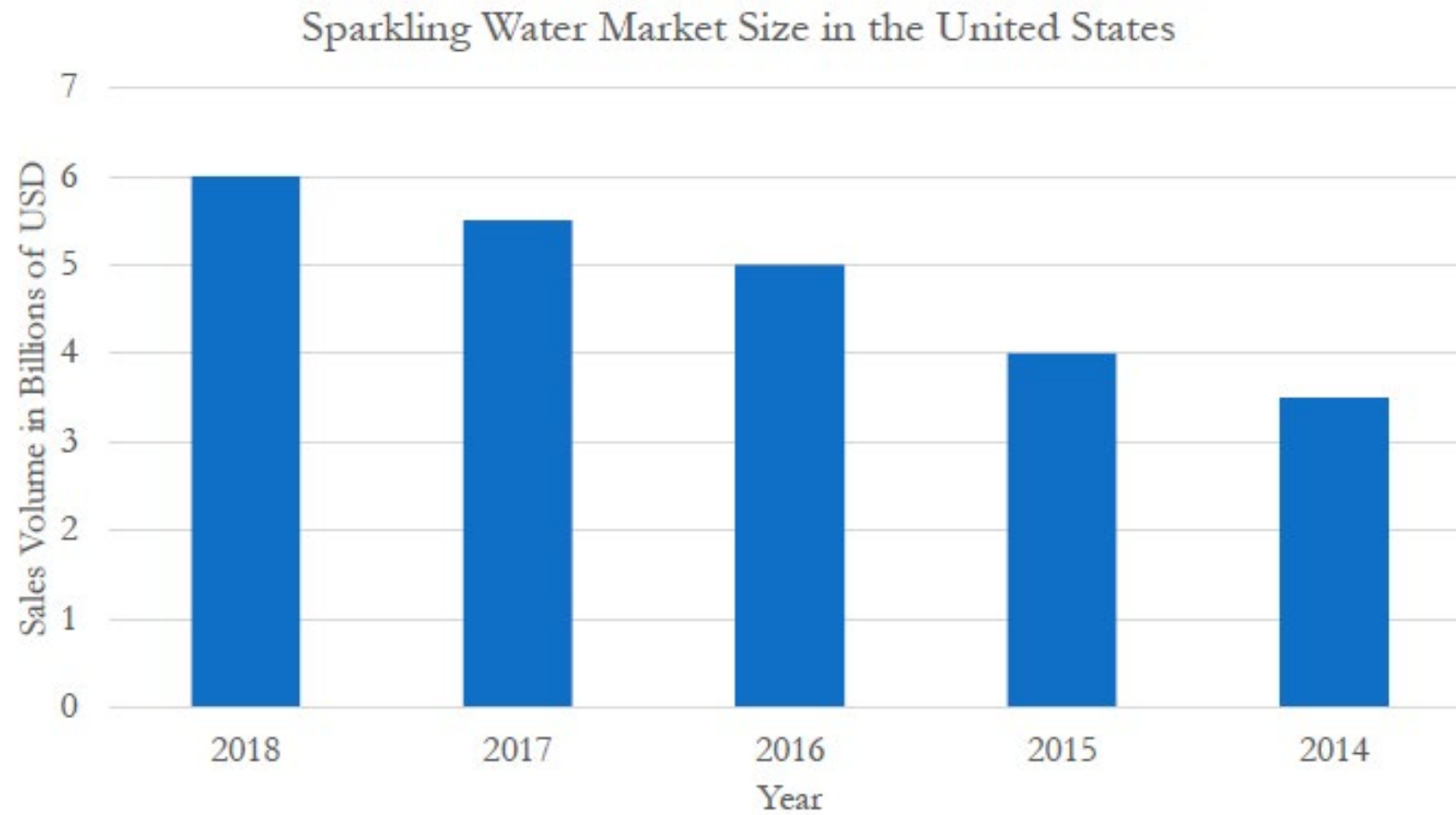
Gross Margin: 30%

Candidate should note that this will breakeven between year 2 and year 3 (that’s pretty fast)

- Should note the higher margin (30% vs. 25% on other product)
- Conversely, candidates may mention that this is a small business (\$69MM in sales is < % of \$900MM core business)

	Year 1	Year 2	Year 3	Total
Revenue	\$ 20,000,000	\$ 90,000,000	\$ 200,000,000	
Share	1.0%	3.0%	5.0%	
Gross Profit	\$ 6,000,000	\$ 27,000,000	\$ 60,000,000	
Gross Margin	30%	30%	30%	
Fixed Costs	\$ 8,000,000	\$ 8,000,000	\$ 8,000,000	
Gross Profit	-\$ 2,000,000	\$ 19,000,000	\$ 52,000,000	\$ 69,000,000
Up Front Fixed Costs				
Capacity	\$ 30,000,000			
Development	\$ 10,000,000			
Total Fixed Costs	\$ 40,000,000			

Sparkle Co: Exhibit 1

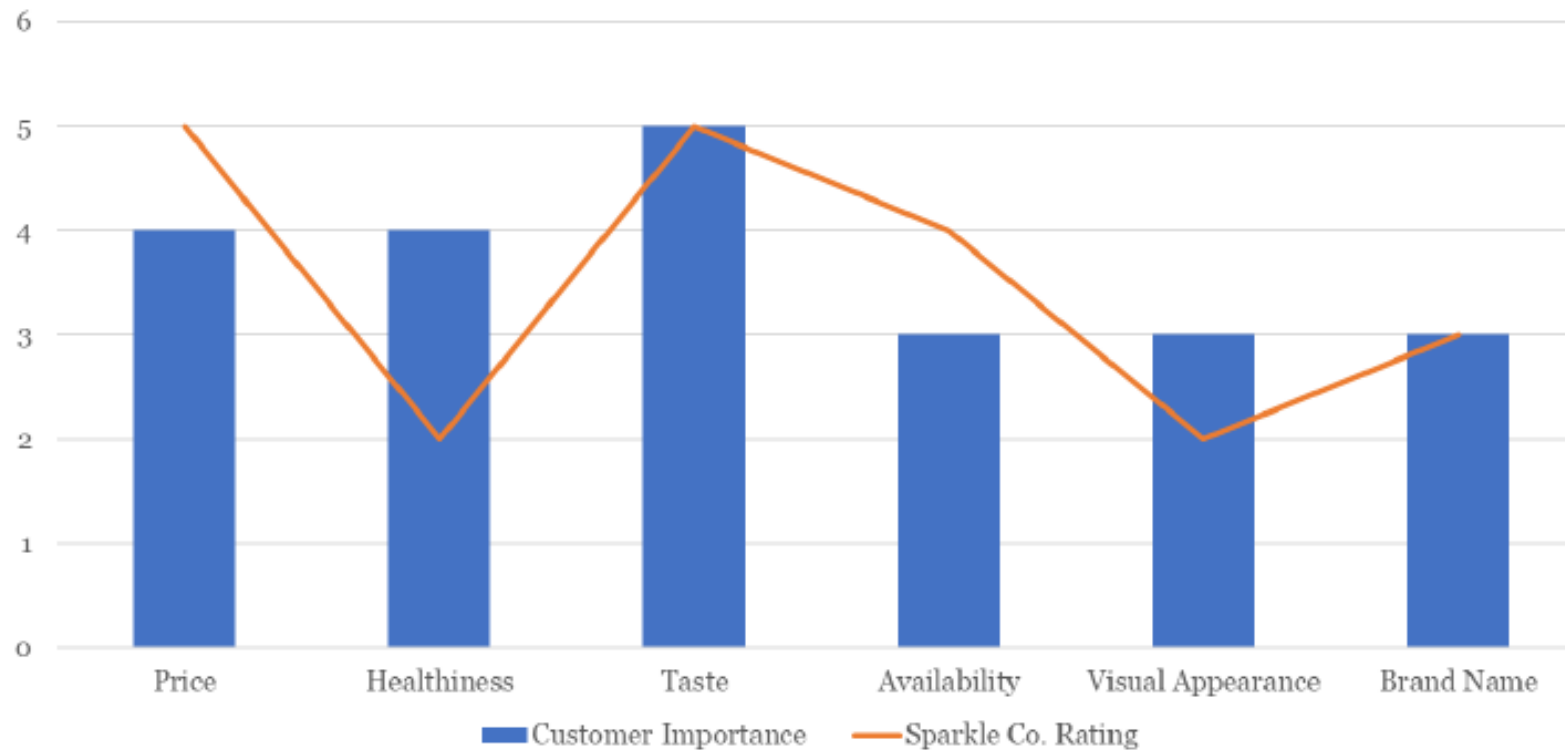


Sparkle Co: Exhibit 2

	2018	2017	2016	2015	2014
Total Revenue	\$900	\$935	\$850	\$640	\$525
Gross Margin	25%	25%	25%	25%	25%
Expenses					
R&D	\$18	\$19	\$26	\$26	\$21
SG&A	\$135	\$140	\$128	\$96	\$79
Net Profit	\$72	\$75	\$60	\$38	\$32

Sparkle Co: Exhibit 3

Sparkle Co. Customer Survey Results



1. On a scale of 1-5 with 5 being most important, which factors are most important to you when purchasing sparkling water?
2. On a scale of 1-5 with 5 being perfect performance, how well does Sparkle Co. do on each measure?

Sparkle Co: Conclusion

Recommendation

Reasonable candidate could go either way on whether to launch the new product line

Risks

- **Yes, launch:** if projections are wrong could be unsuccessful, risky to enter new category, could funnel, money away from core business line, when you add new products you add new competitors, health ingredients might have regulatory concerns
- **No, do not launch:** missing opportunity to enter high growth market, competitor could beat you, ultimately not addressing customer wants

Rationale

- **Yes, launch:** addresses customer wants, high growth market, higher margin, breakeven only 2+ years away, highly profitable, will drive growth
- **No, do not launch:** breakeven is still 2+ years away, does not meet short term need of the business, does not address declines in main product line, relatively small compared to main business

Next Steps

- Re evaluate projections to understand if realistic & feasible
- Evaluate if there is an opportunity to take any actions to improve the main business line in parallel with launching a new line

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 22

Swedish Death Metal

Written by Ross Freilich (CBS '14)

Case Type: Market Entry

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: McKinsey (interviewer-led)

Industry: Entertainment

Business Model: Music Record Label

Key Concepts: Market Sizing, Market Segmentation, Algebra

Swedish Death Metal: Case Intro

Case Prompt

Your client is a record producer looking to bring a new music act to the United States. While traveling through Scandinavia he came across a Swedish Death Metal band he thinks would be a perfect fit for his label. There are currently no Swedish Death Metal bands on US labels and all of their music must be imported from Europe.

Your job is to advise the client whether this is a good idea and give him some launch process suggestions

Clarifying / Background Information

Market Details - If interviewee asks for size of Swedish Death Metal market advise that there are no reliable metrics in the US as this is a relatively new market. The larger Death Metal market will serve as a proxy

Swedish Death Metal: Case Intro

Sample Framework

1. How to introduce SDM band to US market

- Album sales
- Touring as either opening act or headlining act
- Late night television appearances
- Music Blogs

2. Market Size

- Total Albums Sold in US
- Size of Death metal market
- Share of the market the SDM band can capture

3. Customer

- Willing to make transition from Death Metal to SDM?

4. Financials

- Will record label be able to charge Standard pricing for a new album?

5. Risks

- Band breaks up
- Drugs/alcohol abuse

Interviewer Guidance

If candidate asks what the difference between an import versus domestic is, inform him that imports eat into the margin of the album for the record company and there is no way to price higher

This case will deal extensively with albums sold if candidate requires clarification indicate that this metric includes digital sales

Guide candidate away from alternative revenue opportunities as this case is primarily about album sales

Swedish Death Metal: Question 1

Quantitative Guidance

Last year 150 million albums were sold in the United States. 13% of them were Death Metal. How many Death Metal Albums were sold?

$$150\text{m} * 13\% = 19.5\text{m}$$

Candidates can round this to 20m

Swedish Death Metal: Question 2

Quantitative Guidance

The Death Metal market is segmented into three groups: hardcore, average and casual fans. They comprise 20%, 30% and 50% of the population, respectively. Each group buys 4, 2 and 1.2 albums per person per year. Solve for the size of each group and the amount of albums purchased by each group

Candidates often confuse the size of the population with the 20 million albums sold per year. If the candidate multiplies the 20 million albums by the 20%, 30%, and 50% guide them towards the proper path

To solve the case, Let x be the size of the population:

$$4 * (20\% * x) + 2 * (30\% * x) + 1.2 * (50\% * x) = 20m$$

$X = 10$ million people, therefore there are 2 million hardcore fans, 3 million average fans, and 5 million casual fans who buy 8 million, 6 million, and 6 million albums respectively per year

Swedish Death Metal: Question 3

Quantitative Guidance

We'd like to know the breakeven volume of albums for three marketing programs. Each album is priced at \$12. The three marketing options are: Internet --\$300k, Internet & Radio --\$1m and Internet Radio & TV - \$2m

The candidate should ask if there are any additional variable or fixed costs. Variable costs are:

- CD Manufacturing --\$2/CD
- CD Distribution --\$3/CD
- Royalties --\$3/CD

There are no other fixed costs

$$\text{Contribution Margin} = \$12 - (\$2 + \$3 + \$3) = \$4$$

Breakeven volume for Internet only:

$$(\$300\text{k}/\$4) = 75\text{k units}$$

Breakeven volume for Internet & Radio

$$(\$1\text{m}/\$4) = 250\text{k units}$$

Breakeven volume for Internet & Radio & Television

$$(\$2\text{m}/\$4) = 500\text{k units}$$

Swedish Death Metal: Question 4

Quantitative Guidance

Which marketing option would you choose?

Candidate should ask if any of the marketing plans target any of the specific segments as there are 3 fan bases and 3 marketing plans.

Provide info when asked:

Hardcore = Internet, Average = Radio, Casual = TV

Referring back to Question 2, we see that there are 10mm potential customers in the market. To break even with the internet plan you require 3.75% market share, 5% with internet and radio and 5% for internet, radio and television, based on the populations of each fan segment. (Note: Candidate should not be expected to calculate market share, but should be given credit if he takes initiative)

Candidate should recognize that capturing significant for a sub-genre entirely new to the US is very unlikely, especially considering that either of the more expensive fans will be targeting average and casual fans

Therefore, Internet is the correcting marketing option

Swedish Death Metal: Conclusion

Recommendation

Client should bring the SDM Act to the US using the internet only plan

Risks

- Band could be a complete flop, break up or have issues like drug addiction
- Musical taste is very subjective

Rationale

- This is the first Swedish Death Metal Act to be based in the US. Death Metal is a relatively niche market and attracting hardcore fans are the best path towards gaining market share and expanding into other groups of fans

Next Steps

- Explore options for pilot launches i.e. singles before signing longer term contract
- Explore other offerings like touring as opener for established act
- Appearances on late night television

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 23

Pre-K Education

Case Type: Asset Optimization

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: BCG / Bain

Industry: Education

Business Model: Government Organization

Key Concepts: Supply and Demand, Creativity, Multiple Prompts

Pre-K Education: Case Intro

Case Prompt

Your client is the State Department of Education and it is looking to improve the education outcomes of the general population. The department believes that investment in Pre Kindergarten education (ages 3 4) is key and wants to increase the capacity of its state accredited Pre K programs.

The client is thinking about running a campaign to raise taxes to fund this initiative and have come to us with three questions:

1. How many additional spots for children need to be funded for the Pre K programs?
2. How much will the campaign cost?
3. How should they approach the tax increase campaign?

Clarifying / Background Information

Metrics - Education outcome means college admittance and completion rates.

Funding - Private Pre K programs are highly fragmented and range widely in quality. Therefore, the State Department of Education only wants to rely on state funded programs in which they can guarantee the quality of the program (education level of the teacher, full day program with adequate teaching materials/supplies etc).

Pre-K Education: Case Intro

Sample Framework

1. Financial Considerations

- Total addressable market vs. current capacity
- Cost breakdown of adding new schools
- Taxpayer base and how to increase taxes

2. Strategic Considerations

- Other states who have launched Pre K education programs (what was their approach)
- Private Pre K programs and how they might help serve to help State's goal
- Other pressing issues facing the city and/or the school district who else is competing for the same resources?

3. Operational Considerations

- Long term impact of funding initiative (to help get taxpayers on board)
- What's being taxed (real estate, sales, soda) and who is most directly affected by it

Interviewer Guidance

Candidate should recognize or clarify that there's no revenue associated with Pre K program.

It's a tradeoff between improving education outcomes and cost to the state. Ask candidate to brainstorm: What are some benefits to improving education?

Short term goals: social and emotional development, colors, letters, etc.

Long term goals: high school graduation rates, standardized test scores, reading/writing at grade level, etc.

Case requires both creativity in dealing with an unorthodox business model and a high level of quantitative analysis. Notice "sample dialogue" to fully simulate case and give all questions and information

Pre-K Education: Additional Info / Areas for Analysis

Market

Population experiencing steady growth. Assume equal distribution of children in each age amongst all kids 3-18 years old

Not in competition with private programs as the public market is only for children from low income families (who could not afford private

State

The State Department of Education has already launched a similar initiative and provided some funding. Now they want to expand the program

The graduates of last year's program did not show great results when they were tested on their social and aptitude for learning skills. (How long they can sit still, how they interact with other kids.) The State Department of Education hope that perhaps the poor result is due to flaws in the test

Revenue

No revenues since the program will be free. Want to limit capacity to only children from low income families

Costs

Cost per 1 spot is \$10,000 a year to the state

Pre-K Education: Exhibit 2 Notes

Quantitative Guidance

Give Exhibit 1. How many additional spots need to be funded to reach the State Department of Education's goal of providing Pre K education to all children of low income families?

Region	Population (K-12 th grade)	Population (Pre-K)	% Low Income	Total Spots for Children Needed	Current Spots Available	Current Spots Needed
1	13,000	1,000	50%	500	462	38
2	26,000	2,000	60%	1,200	3,439	(2,239)
3	13,000	1,000	75%	750	397	353
4	39,000	3,000	40%	1,200	3,279	(2,079)
5	26,000	2,000	60%	1,200	2,025	(825)
						(4,752)

Turns out in total the State Department of Education would need to fund less than 400 additional spots or reallocate spots between regions. Candidate should recognize that some regions (4, and 5) are overfunded
Follow up question Why do you think some of the regions are over funded?

Pre-K Education: Conclusion

Recommendation

I would not recommend launching a campaign to raise taxes or to expand the program

Risks

- Our state continues to fall behind in education standards, making it hard to attract/retain residents

Rationale

- Some regions are currently overfunded. I would want to reallocate those resources first before opening new schools
- The current results are not conclusive for the effectiveness of the program, we want to focus on replicable results before justifying a tax increase

Next Steps

- Start with improving the effectiveness of the Pre K program by either changing curriculum or trying out different ways to measure the performance

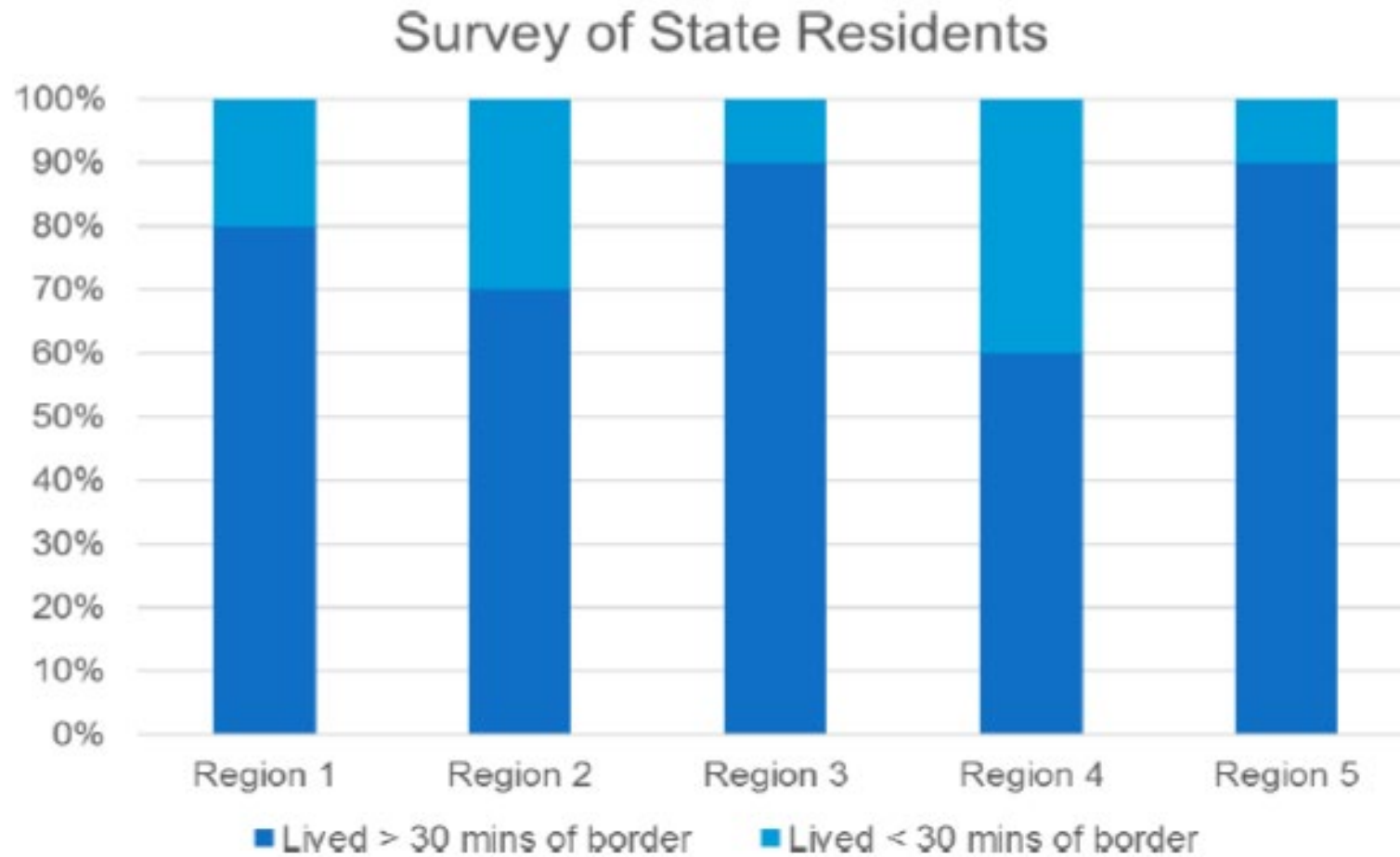
Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Pre-K Education: Exhibit 1

Region	Population (K-12 th grade)	% Low Income	Current spots Available
1	13,193	50%	462
2	25,870	60%	3,429
3	13,049	75%	397
4	39,203	40%	3,279
5	26,103	60%	2,025

Pre-K Education: Exhibit 2



Case # 24

EduCo.

Written by Rachit Agarwal (CBS '21) and Wineeta Paul (CBS '21)

Case Type: Growth Strategy

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Education Technology

Business Model: Education & Training Provider

Key Concepts: Mental math, Acquisition analysis, Insights from Exhibits

EduCo: Case Intro

Case Prompt

Your client is EduCo one of the oldest and the largest corporate training and learning service provider in the US Over the last two years, EduCo has been facing increasing competition from new and upcoming digital learning providers and MOOC start ups

The CEO believes that EduCo is operating in a very dynamic industry and needs to diversify and adapt to the changes for continued survival The CEO has asked your firm to come up with a diversification strategy to ensure the firm maintains its market share in this evolving industry How would you approach this?

Clarifying / Background Information

Products - Currently provides in person learning services to working professionals (post K 12 in two areas 1 software programming and applications 2 soft skills such as communication, teamwork and negotiation)

Customers - Pure play B 2 B firm with presence across the US; US market continues to remain the focus

Changing Industry Trends - 1 demand for certification in certain niche areas 2 requirement for online and hybrid learning and training formats

What are MOOCs? - Massive open online courses

EduCo: Case Intro

Sample Framework

1. Understanding the Market

- **Customers** - Demographics, Demand, WTP
- **Business Model** - B2B, B2C, B2B2C
- **Content delivered** - Topics, Mode (interactive, hybrid)
- **Size and players** Segment size and growth, of players)

2. EduCo Options

- **Organic** (Geographies/investment requirement, capabilities)
- **Inorganic** (available options and their assessment on qualitative and financial metrics, post merger integration efforts, new branding)

3. Risks

- **Market**
- **Regulatory**
- **Integration**
- **etc.**

Interviewer Guidance

Problem statement should lead candidate to create a turnaround strategy/growth framework

Case will require candidate to analyze exhibits and perform mathematical calculations

The exhibits are connected to one another interviewer should let the candidate lead

Candidate should dive right into creating a framework

After the candidate creates the framework, the interviewer should nudge the candidate to think of new areas/themes for company to diversify into in terms of content offering, before providing Exhibit 1

EduCo: Brainstorm

Brainstorm Prompt

Which segments/area(s) do you think the company should diversify into in order to expand its offerings?

Guidance

Provide Exhibit 1 after the candidate has brainstormed 4-5 ideas

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

EduCo: Exhibit 1 Notes

Quantitative Guidance

The candidate should be able to identify the three variables shown in the exhibit and interpret their significance. Each of these indicators impact the learning budget of the corporations

- Estimated market size: Industry size determines the revenues of the firms, hence, impacting their employment costs
 - Excellent candidate should be able to highlight the impact of estimated size is unclear without having further information on industry averages on employment costs
- Annual historical % increase in job postings: Job postings impact budget for new hire trainings for the industry
 - Excellent candidate should be able to identify this metric only has a one time impact on employment costs, and is missing the component of on the job training, including corporations' efforts to upskill and reskill their workforce
- Projected % market growth: Future growth determines how quickly the learning needs will increase

Qualitative Guidance

Candidate should be able to highlight that EduCo should focus on only one of the five segments, given the complexity in launching new training catalog and customer acquisition. Rationale for segment selection:

- Candidate should be able to identify fintech as an obvious options to focus on
- Candidate should be able to rule out genetics due to its smallest industry size & robotics due to lowest job postings
- Candidate should indicate cyber security and blockchain as two potential areas to consider for the second viable option for EduCo; and ask for more information on learning budget to further narrow path forward to one segment

EduCo: Exhibit 2 Notes

Quantitative Guidance

Does the information given in the table further help you finalize the segment to be targeted? Provide Exhibit 2 to the candidate

The candidate should realize that the potential market size in this case is the learning budget of companies in particular industries. The candidate should multiply the three columns to calculate the market size and conclude that the segment to go ahead is Fintech

Segment	Market Size (Learning budget)
Fintech	\$30.0 B
Genetics	\$4.4 B
Robotics	\$13.0 B
Big Data and Analytics	\$18.9 B
Cyber Security	\$16.0 B

EduCo: Brainstorm 2

Brainstorm Prompt

What are the potential ways for the client to tap into the target segment of fintech?

Guidance

The candidate should provide pros and cons of entering this space, through both organic and inorganic options and enquire about any time or budgetary constraints and about any data related to existing players

Excellent candidates should be able to provide additional reasoning using their personal experiences as well

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

EduCo: Conclusion

Recommendation

EduCo should diversify its corporate training and learning services offering in Fintech space

It should acquire a smaller startup Option A or C to execute this expansion/diversification

Risks

- Regulatory - Fintech is heavily regulated sector, and employee trainings may need to be compliant with SEC and Fed rules
- Post merger integration risks Acquisition of Option A/C presents inherent integration risks (e.g.: business operations, SG&A, and firm culture)
- Brand Dilution EduCo is an established offline learning provider, and this acquisition might cause brand dilution

Rationale

- Fintech space (based on Exhibit 1 & 2) provides the largest market for learning services (\$30 billion)
- Within Fintech space, EduCo should go ahead with inorganic growth options (acquisition) instead of building out course offerings because of speed of diversification. Option A/C is a good option due to its short pay back and great future potential

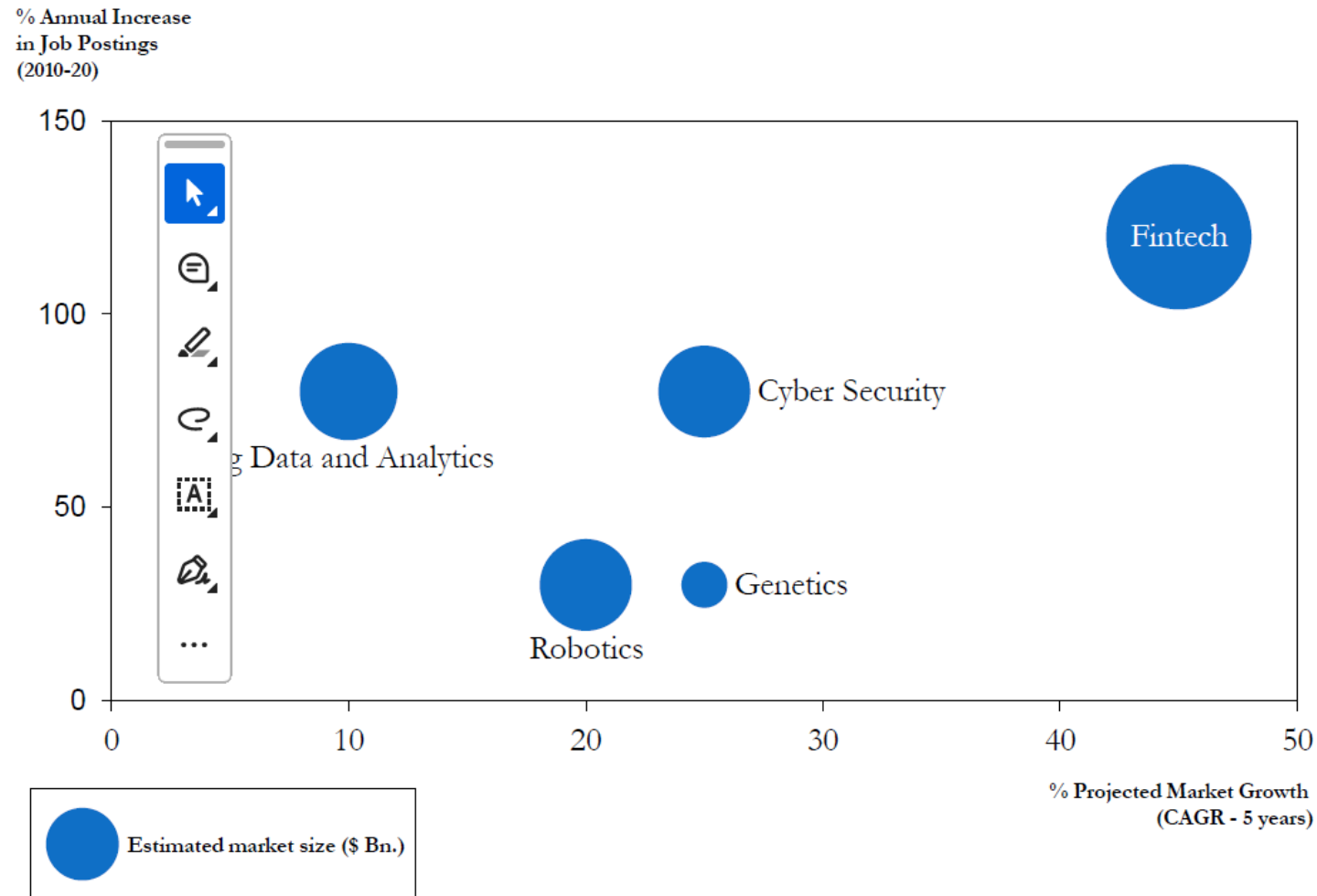
Next Steps

- Initiate acquisition process for Option A/C due diligence, identify synergies, make an offer, and plan for post merger integration
- Expanding current course catalog to other platforms creating online/ hybrid course offerings
- Create a customer acquisition plan for new course offerings with a focus on maintaining brand capital

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

EduCo: Exhibit 1 (Potential New Segments)



EduCo: Exhibit 2 (Potential New Segment Details)

Segment	Industry Size (\$ B)	Employee costs (as a % of revenue)	Learning spend (as a % of employee costs)
Fintech	1000	30%	10%
Genetics	100	20%	22%
Robotics	400	25%	13%
Big Data and Analytics	450	30%	14%
Cyber Security	400	20%	20%

EduCo: Exhibit 3 (Potential Acquisition Targets)

EdTech Start-ups in FinTech Space	Option A	Option B	Option C
# of courses offered	40	40	45
# of customers	13,000	10,000	20,000
Average yearly profit / course / customer	\$ 150	\$ 100	\$ 90
Mode of delivery	Online + Hybrid	Offline	Online
Acquisition Cost	\$ 200M	\$ 120M	\$ 200M

Case # 25

Explorer Bank

Case Type: Profitability

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Financial Services / Credit Cards

Business Model: Credit Card Issuer

Key Concepts: Brainstorming, Product Launch, Breakeven, Profitability

Explorer Bank: Case Intro

Case Prompt

Your client is the Explorer Bank, a major issuer of credit cards. The company issues credit cards either under its only brand (e.g., The Explorer Platinum) or with partners (e.g., Southeast Airlines Advantage). A new airline, Alpha Airlines, recently approached Explorer Bank with a partnership credit card proposal. How should Explorer Bank evaluate this proposal?

Clarifying / Background Information

Business Model - For this type of arrangement, Explorer Bank as the issuer will issue the credit card and provide all support; Alpha Airlines as the partner generally provides only branding and promotions

Explorer bank has previous experience issuing credit cards with airline partners and currently partners with 1 other regional airline

Other Notes - All other minor revenue sources / costs not listed in the sample framework can be ignored for this case

Explorer Bank: Case Intro

Sample Framework

1. Determine Market Size

- **Existing Alpha Airlines customers**
 - Annual unique customers
 - Credit Card conversion rate
- **Card driven customer acquisitions**
 - Demographics
 - Incentive structure

2. Estimate Profitability

- **Revenue**
 - Merchant fees (e.g., interchange)
 - Customer fees (e.g., annual, late)
 - Interest
- **Cost**
 - Processing costs (e.g., Visa)
 - Partner revenue share
 - Bonus for new customers
 - Benefits (e.g., miles redemption)
 - Operational / service costs
 - Credit losses

3. Assess Risks

- **Impact on existing partners**
- **Unexpected credit losses**

Interviewer Guidance

In addition to standard consulting cases, because this case provides an overview of credit card economics, it is very relevant to interviews for other financial services companies (e.g., Visa/Mastercard/Amex/Chase)

Provide guidance on framework to ensure candidate arrives at all major revenues and fees related to credit cards

Do not show exhibit 1 until question 3 has been discussed

Explorer Bank: Brainstorm

Brainstorm Prompt

At a high level, do you think this type of partnership can be mutually beneficial?
What are the benefits to Explorer Bank?
What are the benefits to Alpha Airlines?

Guidance

Benefits for Explorer Bank

1. Access to new customers
2. Branding and promotion from Alpha Airlines
3. Revenues from both purchases related to Alpha Airlines and beyond

Benefits for Alpha Airlines

1. Stronger loyalty (customers with branded credit card with benefits more likely to select airline)
2. Revenue share of credit card generated revenues from Explorer Bank

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Explorer Bank: Brainstorm 2

Brainstorm Prompt

What do you think are the major sources of revenue for Explorer Bank? What would the major costs in this arrangement to Explorer bank?

Guidance

Revenue

1. Merchant fees (e.g., interchange)
2. Customer fees (e.g., late)
3. Interest

Cost

1. Processing costs (e.g., Visa)
2. Partner revenue share
3. Bonus for new customers
4. Benefits (e.g., miles redemption)
5. Operational / service costs
6. Credit losses

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Explorer Bank: Exhibit 1 Notes

Quantitative Guidance

Based on the estimated revenues and costs (Exhibit 1), how much does a customer have to spend per month on the credit card in order for Explorer Bank to break even on a customer?

Total revenue per \$100 spend = $\$1.75 + \$0.50 + \$0.25 = \2.50

Total costs per \$100 spend = $\$0.50 + \$0.35 + \$0.10 + \$0.05 = \$1.00$

Profit before operating / servicing costs to Explorer Bank per \$100 spend = $\$1.50$

Operating / servicing costs (i.e., fixed cost) = \$15 per customer

Break even = $\$15 / \$1.50 = 10$ units of \$100 spend = \$1000

Answer: A customer must spend \$1000 on his / card credit card per month for Explorer Bank to break even

Strong Candidates:

Top candidates with further interpret this number --\$1000 spend on an airlines credit card is largely feasible as long as a customer uses this credit card for other travel purchases as well



Explorer Bank: Brainstorm 3

Brainstorm Prompt	Guidance	
What ideas do you have to help ensure that customers of Explorer Bank consistently spend above the monthly breakeven amount for Explorer Bank?		
	Explorer Bank Initiatives	1. Introduce additional rewards - Better reward redemption (e.g., more ways to use points / miles earned). Incremental rewards (e.g., additional points for spend beyond a threshold) 2. Provide non travel related benefits - Incentivize customers to use card for everyday purchases (e.g., offer protections/insurance) Create convenience features (e.g., mobile / tap payments)
	Alpha Airlines Initiatives	1. Enhance card holder benefits on Alpha Airlines - Bonus for using credit card (e.g., free checked bags, upgrades). Discounts for other related purchases (e.g., drinks / meals on flights) 2. Engage in direct promotion at airports / in flight (e.g., fliers to remind customers of benefits)

Strong Candidates:	Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, and a strong candidate can usually suggest 7-8 ideas
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Explorer Bank: Conclusion

Recommendation

Explorer Bank should enter into a partnership with Alpha Airlines to launch a new credit card

Risks

- Financial losses if average spend per customer is too low
- Credit losses if non payment is higher than projected
- Cannibalization if a majority of customers who acquire new Alpha Airlines partner card had previously used other Explorer Bank credit cards

Rationale

- Significant benefits to both Explorer Bank and Alpha Airlines from additional customer access to increment profit
- Explorer Bank can be profitable as long as customers spend on average more than \$1000 per month, a figure likely feasible

Next Steps

- Understand demographics and segmentation for Alpha Airlines customers and those likely to apply for the new credit card
- Finalize contract with Alpha Airlines and set individual responsibilities for partnership (e.g., card promotion by airline)

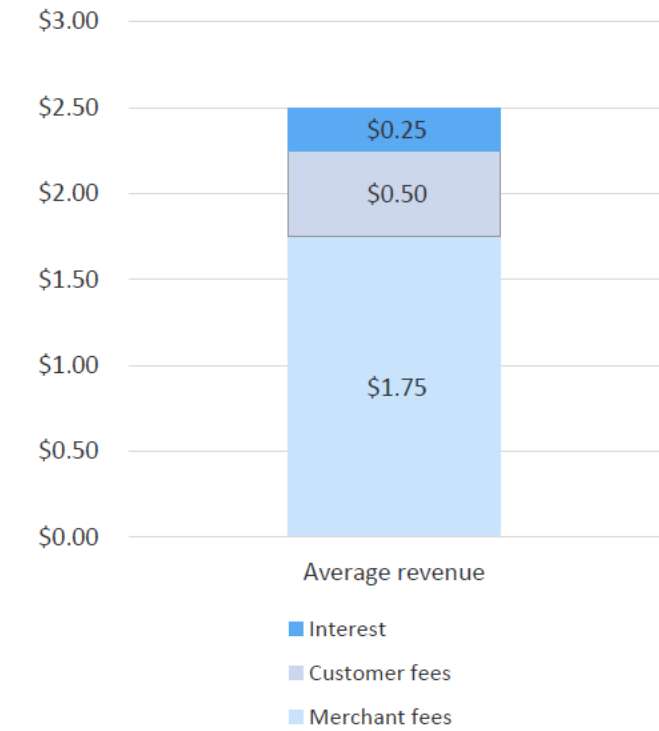
Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

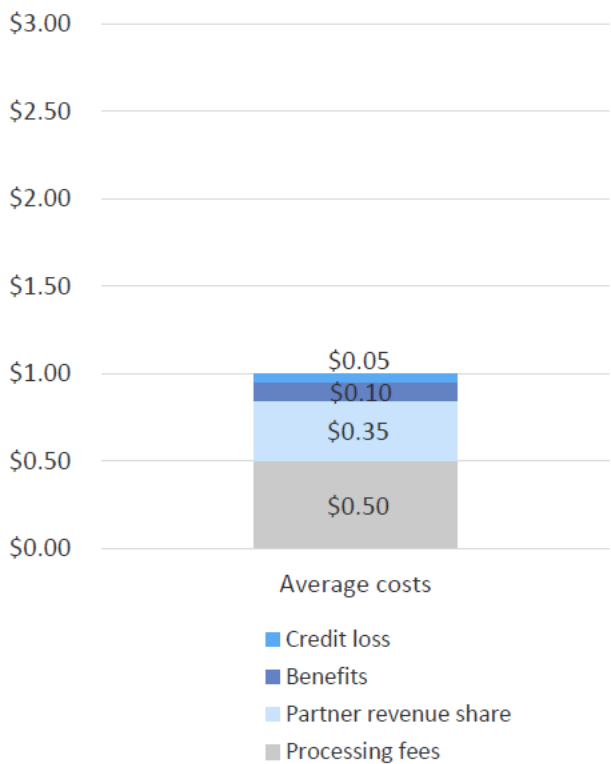


Explorer Bank: Exhibit 1 (Revenue and Costs)

Average revenue to Explorer Bank per \$100 credit card spend



Average cost to Explorer Bank per \$100 credit card spend¹



1. Costs to Explorer Bank also include \$15 per month per customer for operations / servicing

Case # 26

Funeral Homes

Written by Vidisha Agarwal (CBS '21)

Case Type: Profitability

Quant Difficulty: 8 / 10

Qual Difficulty: 8 / 10

Firm Type: McKinsey (interviewer-led)

Industry: PE - Funeral Homes

Business Model: Private Equity / Funeral Home Portfolio Operator

Key Concepts: Profitability, Logical thinking in obscure industry,
Mental Math

Funeral Homes: Case Intro

Case Prompt

Our client is a private equity firm looking to acquire Funeral Co, a company operating 100 funeral homes in the US. The client targets to grow Funeral Co's EBITDA by 15% annually over five years. Should the client acquire Funeral Co?

Clarifying / Background Information

Business Model - There are 2 types of funeral ceremonies performed by a funeral home: (1) burial and (2) cremation. Industry trend is shifting towards more cremation. Funeral homes have a high fixed cost structure.

Industry - Funeral homes industry is highly fragmented with over 20,000 funeral homes scattered across US. 75-80% of the homes are owned and operated by individuals or families though ~20 25% of the homes are operated by private corporations

Target details - Only funeral home in the areas they operate in The target is currently offering only burial services; serving only Christians in small towns

Goal/Objective - Our client (PE firm) wants us to concentrate on increasing EBITDA only, i.e. to double EBITDA in 5 years (15% IRR over 5 years = 2x)

Funeral Homes: Case Intro

Sample Framework

1. Financial (EBITDA)

- **Revenue**
 - Price per burial
 - Burials per year
 - # of locations
- **Cost**
 - Fixed Costs – SG&A, Rent
 - Variable Costs – Fuel, Chemicals (formaldehyde)

2. Funeral Home Market

- **Competitors (in close proximity)**
 - Fragmented/ consolidated
 - Service differentiation
- **Customers**
 - Changes in preferences
 - Segmentation by WTP
- **Growth**
 - Are they located in an aging community?

3. Opportunities to expand product offerings

- **Burials vs cremation**
- **Value added services**

Interviewer Guidance

This case should be delivered in the McKinsey style if a candidate doesn't have prior knowledge about funeral homes.

Spend more time on Question 2 if you're looking to test more math skills or on Question 3 if you're looking to test more brainstorming skills

Additional information will be given during the framework / clarification phase and during the questions

Funeral Homes: Exhibit 1 Notes

Quantitative Guidance

The target is currently offering only burial services with \$6000 revenue earned per burial at 20% EBITDA margin. How much EBITDA can burial services segment generate in the 5th year and how much extra EBITDA does Funeral Co need to generate outside burial services by the end of PE firm's holding period of 5 years?

The candidate should:

- First, calculate current revenue, costs and EBITDA for the target
- Then, think of what these numbers will look like in the 5th year given growth in business
- Finally, calculate the difference between target EBITDA and projected organic EBITDA in the 5th year

Following information is to be shared when the candidate asks:

- Current scenario: Total 100 locations and each location conducts 150 burial services per year
- In 5 years: Number of locations will remain same. Volume will grow by 3% and Price by 2% per year. EBITDA margin will remain at 20% for the target

Solution: \$90M in revenue and \$18M in EBITDA generated currently. This implies that, if the PE firm wants to double EBITDA, the target needs to generate \$36M in EBITDA by 5th year (15% YoY growth over 5 years roughly equals doubling of EBITDA in 5 years). Burial services segment can generate up to \$23M in EBITDA organically by 5th year, thus, FuneralCo needs to generate incremental EBITDA of \$13M by 5th year

	Current state	
	Company level	Per burial
Revenue	\$ 90,000,000	\$ 6,000
Gross Profit	\$ 63,000,000	\$ 4,200
EBITDA	\$ 18,000,000	\$ 1,200
Margin	20%	

	5 years fwd	
	Company level	
	\$ 115,000,000	
	\$ 23,000,000	
Target EBITDA	\$ 36,000,000	
Extra EBITDA	\$ 13,000,000	

Funeral Homes: Exhibit 2 Notes

Quantitative Guidance

The target is wondering if they should introduce cremation services in the existing funeral homes, but revenue per cremation is 33% lower than burial services. Should they pursue it?

Does the customer trend support or oppose the move? - Give Exhibit 1. Supports it. More customers want cremation services. Currently, customers are going to neighboring towns to get cremation with services or they were doing basic cremations services at home if they didn't want to go outside their town

Does the target have the capabilities to introduce cremations? - Yes, they can. Need to add only one employee per location. No change to existing funeral home interior or design

Is cremation profitable? - Yes.

Provide following data when asked: \$4000 price per cremation.

70% Gross profit margin => \$2800 Gross Profit per cremation

50 cremations per year on average per location => \$20M total revenue

No extra SG&A as you can utilize same resources

Can cremation alone bridge the entire \$13M gap? - Yes

	Company level	Per cremation
Revenue	\$ 20,000,000	\$ 4,000
Gross Profit	\$ 14,000,000	\$ 2,800
SG&A	\$ -	\$ -
EBITDA	\$ 14,000,000	\$ 2,800

Funeral Homes: Brainstorm

Brainstorm Prompt

What else can Funeral Co do to bridge the EBITDA gap?

Guidance

	Ideas/New Ventures
Offer Direct cremation	1. Lower revenue ; Can leverage existing employees; Very little cost or investment (can be derived. Offer Direct cremation: Lower revenue; Can leverage existing employees; Very little cost or investment (can be derived from exhibit 1); can reach steady state from year 3 onwards; Can add \$3 4M in EBITDA in steady state
Hire labor on contractual basis:	1. Currently, 130 days of idle time. Even with cremation, they will have 80 days idle. Can save \$4 5M per year in costs, but quality of service may go down
Increase Services	1. Increase value added services - such as transportation of the bodies, pre need sales (contract funeral arrangements before death) working with lawyers or life insurance firms, offer services to non Christians

Strong Candidates:

What options are not possible (but good if the candidate can come up with these) – 1) Acquire more funeral homes: strict zoning laws prohibiting sale in most areas; other players unwilling to sell. 2) Increase funeral home locations: takes many years to build and ramp up. Outside the horizon of PE fund. 3) Increase pricing for just burial/ cremations: Pricing laws prohibit abnormal increases in prices

Funeral Homes: Conclusion

Recommendation

The target needs to add \$13M in EBITDA to meet the PE fund's goal

The target can bridge that by introducing cremation services. Can add to EBITDA by introducing direct cremation/ lowering staff costs / increasing value added services

Rationale

- The target can add cremation services in existing funeral homes with relatively low investment within the 5 years horizon of the PE fund

Risks

- Target may not be able to reskill all employees to provide cremation services, and may need to hire more employees
- Customers (Christians) may not prefer cremations and burials being co located
- Management bandwidth will be divided if they offer different services

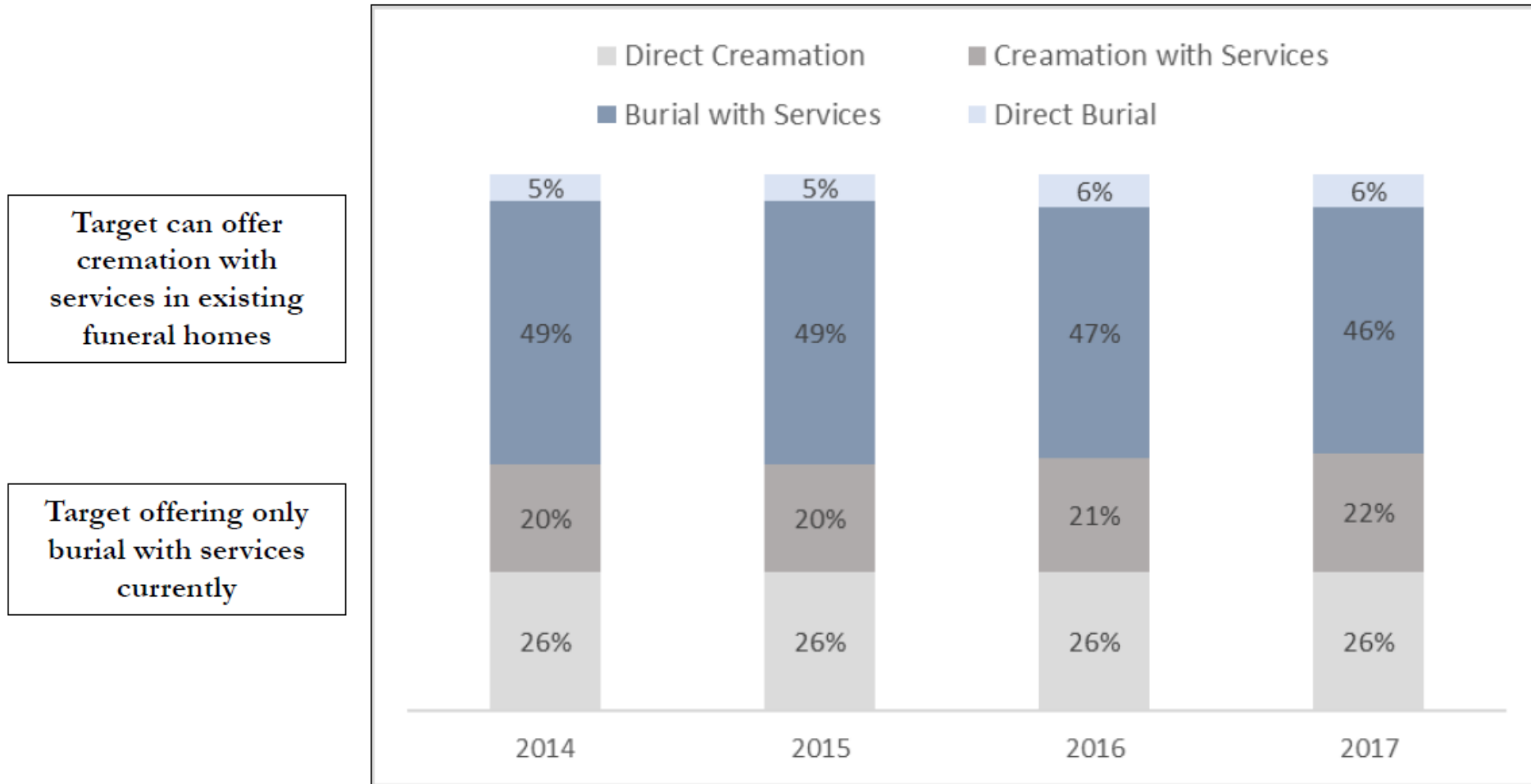
Next Steps

- Survey of families who would usually conduct burials if they are okay with cremations taking place in same funeral home
- Due diligence for target
- Discuss valuation

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Funeral Homes: Exhibit 1 (Consumer Survey)



Case # 27

MTA Subway

Case Type: Profitability

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Transportation

Business Model: Subway Operator

Key Concepts: Brainstorming / Creativity, Market sizing, Pricing

MTA Subway: Case Intro

Case Prompt

Your client is the New York City Transit system, also known as the MTA. Specifically, you are working for the subway division. This division is part of a government authority that operates all the subways in New York City.

Recently, the division approached you because they have been operating at a net loss. How can you help this client?

Clarifying / Background Information

Revenue - Price for a single ride ticket is \$2.75. Ticket options include single rides, weekly pass, monthly pass, and reduced (for students / elderly)

The MTA gets current funding from ticket sales as well as some government funding government funding can be ignored for this case

Operations - There are 22 train lines on the MTA (e.g., 1 7, A G, J, L, M, N, Q, R, W, Z)

MTA Subway: Case Intro

Sample Framework

1. Market Size

- **Capacity based**
 - Volume available (e.g., number of lines, number of cars, volume of each car)
- **On Demand-base**
 - Demand for subway service (e.g., Population of NYC, % who take subways)

2. Profitability

- **Revenue**
 - Ticket price (Single ride vs Weekly / monthly passes)
 - Volume
- **Cost**
 - Variable – Electricity, New construction
 - Fixed - Labor (e.g., Unions), Infrastructure / depreciation

Interviewer Guidance

Case will focus on both traditional profitability and public policy considerations

Case will be focused on revenues, as expenses for MTA are largely fixed by contract (e.g., unions)

Candidate can approach market sizing either based on the size of the train (capacity based) or based on the population of NYC (demand based)

MTA Subway: Question 1

Quantitative Guidance

How would you estimate the total number of subway rides that are taken on an average week-day in New York City?

22 subway lines

Each train has on average 10 cars

Each car on average fits 100 people --> 1000 people per train

Trains arrive on average every 3 minutes during rush hour --> 20 trains per hour

6 hours of rush hour (7-9 AM and 5-8 PM)

Trains arrive on average every 6 minutes all other times --> 10 trains per hour

18 hours of non-rush hour

Total rush hour ridership --> $20 \text{ trains per hour} \times 6 \text{ hours} \times 1000 \text{ people per train} \times 22 \text{ lines} = 2,640,000$

Total non-rush hour ridership --> $10 \text{ trains per hour} \times 18 \text{ hours} \times 1000 \text{ people per train} \times 22 \text{ lines} = 3,960,000$

Total daily ridership --> $2,640,000 + 3,960,000 = 6,600,000$ (~6 million officially reported by

MTA Subway: Brainstorm

Brainstorm Prompt

Because of the nature of their expenses (e.g., pensions, union contracts, required maintenance), they have asked you to help them turn around their profitability by focusing on opportunities to grow revenues what are some ways for the MTA to grow their revenues?

Guidance

Short Term

1. **Increase overall ticket prices**
2. **Create more granular pricing** - Distance based pricing, Demand based pricing (e.g., rush hour)
3. **Ticket volume** - Reduce unlimited passes, Conduct advertising campaign

Long Term

1. **Expand coverage / services** - Add more service to in demand lines, Build new lines into up and coming neighborhoods
2. **Lobby for policy changes** - Greater taxes on alternative transportation (e.g., driving / taxi), Additional government funding for subways

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

MTA Subway: Brainstorm 2

Brainstorm Prompt

Given that the MTA is a public agency with a public mission, what are some concerns if the MTA adopts a distanced based pricing scheme?

Guidance

Impact to riders

1. Lower income riders generally live / commute farther
2. Currently under a fixed price scheme high income riders (who generally only ride the subway a few stops) effectively subsidize low income riders (who generally live farther away)
3. Impact of price change to distance based would disproportionately impact low income riders

Impact to city

1. Real estate prices may increase for areas closer to business centers (e.g., Midtown / downtown Manhattan)
2. Short distance ridership may increase (e.g., those who live 1 stop away will now ride the subway because it will be cheaper for shorter rides)
3. Traffic congestion may increase (e.g., those who live farther away can turn to driving or car pooling)

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

MTA Subway: Conclusion

Recommendation

Introduce new pricing schemes, including distance or demand based pricing

Risks

- Introduction of a demand based pricing could potentially deviate from the public mission aspect of the MTA as it would disproportionately impact lower income riders
- Implementation of price differentiation schemes would require significant infrastructure upgrades (e.g., to track system entry / exit)

Rationale

- Differentiated pricing would likely provide additional revenue for the MTA
- The new pricing scheme would better match demand (either by distance or by time) to available supply (i.e., train capacity)

Next Steps

- Conduct analysis to understand impact of any pricing change on different areas and populations of the city
- Determine appropriate pricing for the new scheme
- Work with local officials and community representatives to solicit input and feedback

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Case # 28

Car Wash Chain

Case Type: Opportunity Assessment

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Private Equity

Business Model: PE / Car Wash Portfolio Operator

Key Concepts: Growth strategy, Market sizing, Creativity

Car Wash Chain: Case Intro

Case Prompt

The client is a private equity firm looking to acquire a chain of car washes in the United States. The car wash chain provides basic coin operated, self wash services for \$5, has 200 locations in 14 markets and had revenues of \$40M last year. The firm is targeting 30% revenue growth in 1 year to justify the acquisition

How would you think about whether or not this is attainable?

Clarifying / Background Information

Increasing sales of existing products and services in existing markets has already been explored and isn't a viable option

Car Wash Chain: Case Intro

Sample Framework

1. Existing Locations

- **New products/services**
 - Customer Demand
- **Increase Price**
 - Price Sensitivity
- **Change Carwash Hours**
- **Marketing**
 - Advertising
 - Partnerships
 - Social Media

2. New Locations

- **Existing markets**
- **New markets**
 - Competition and response

3. Risks

- **Cannibalization/Saturation**
- **Over extended management**
- **Cost implications** (*recognize we are primarily concerned w/ revenue here)

Interviewer Guidance

Let candidate begin with wide analysis of potential growth areas, then guide towards new products and new markets

Classic PE case focusing on analyzing target's growth to justify acquisition. Most of the analysis will be based on assumptions (market sizing), with some additional information given in an exhibit

Car Wash Chain: Question 1 - Market Sizing

Quantitative Guidance

What do you think is the size of the carwash market as a whole in the United States?

Estimates:

Number of cars owned

100M households w/ average 1.5 cars = 150 million vehicles

Plus another 10% business or industrial vehicles = 165 million vehicles

Estimate # of Washes per year

Any number between 10 and 20 times per year is reasonable (We'll use 20)

Estimate average cost per wash ~ \$5

Total US market: \$16.5B

So long as the candidate uses reasonable assumptions, any market size is fine

Car Wash Chain: Exhibit 1 Notes

Qualitative Guidance

What is the expected patient share of NeuroNow within oral MS market? Subsequently, can the client breakeven in 5 years?

Insights from slide:

They have highest market share in about 10 of the 14 markets (all major cities) that they competed in and within those markets, many have no significant competition from other national chains. These could be targets for continued expansion either via driving competitors out of the market or acquiring smaller local chains.

Potential follow up: What are the pros and cons of acquisition vs. building fresh?

Another insight from the slide is that the chain is entirely concentrated in the Southeast and Pacific Northwest, ignoring major markets in the Midwest, Mid Atlantic, Northeast, and Southwest.

Potential follow-up: What factors would you consider in selecting potential areas for expansion?

Car Wash Chain: Brainstorm

Brainstorm Prompt

What new products or services could the car wash company offer to grow their revenues?

Guidance

Most feasible/ Precedent

1. If they were not a full service car wash, add additional services (wax, polish, undercarriage wash, detailing, vacuuming) to the existing car wash line. Eg., install coin operated vacuums in a self serve area after the car wash
2. If they don't have it already, add a retail sales area to the car wash where customers can purchase air fresheners, seat covers, convenience items, etc

Medium Feasibility/ precedent

1. Explore adding a gas station or basic vehicle maintenance service (Oil changes, Tire replacements, etc.) to some of their larger carwash locations
2. Pick up and drop off services

Least Feasibility/ precedent

1. Install coin operated hoses for a gated pet washing area (compete with a service that Petco offers)
2. Explore adding a franchise fast food restaurant like Dunkin Donuts or Subway

Strong Candidates:

Strong candidates will structure before they provide any ideas. Also, regular feedback from consulting firms is that candidates offer only three ideas which is a bit on the lower end. Push the candidate to provide at least 4 ideas, **and a strong candidate can usually suggest 7-8 ideas**

Car Wash Chain: Vacuum Opportunity

Qualitative Guidance

After considering some of your ideas, the team has come up with the following information: first, people vacuum their cars half as often as they wash them when the price to vacuum is \$0.50. Second, low frequency customers are willing to pay \$3 for wax services, while high frequency customers are willing to pay only \$1 for wax services

Information to give if asked:

- Low frequency: 10x/year; represent 25% of revenues
- High frequency: 30x/year; represent 75% of revenues

Solutions:

Adding vacuums will result in additional revenue = \$2M (or 5%=10% price*50% frequency)

- (8M washes * 50% frequency * \$

Adding wax services for \$3 will result in additional revenue = \$6M

40M annual revenue * 25% = \$10M from low freq. customers. At \$5/wash, that's 2M washes. 2M washes

- \$3 wax = \$6M

Adding wax services for \$1 will result in additional revenue = \$8M (or 20%, b/c everyone will use it)

ANSWER: Adding vacuums for \$0.50 and waxing for \$1 will only achieve 25% revenue growth in 1 year

Car Wash Chain: Conclusion

Recommendation

Based on our analysis thus far, we've identified opportunities to achieve 25% revenue growth. This will be achieved by adding vacuum and waxing services to existing locations. We feel confident that, with further analysis, we can identify at least one more opportunity to close the final 5% gap that would justify the purchase of this carwash chain

Rationale

- Target is market leader in several significant markets, yet is completely missing in several major markets which could be significant growth opportunities
- Target could also continue growing in markets it currently operates in, by buying out local competitors or driving them out of the market

Risks

- Entering markets in which strong competitors exist could be tough
- Driving competitors out of existing markets could cause a price war
- Cost analysis of added services

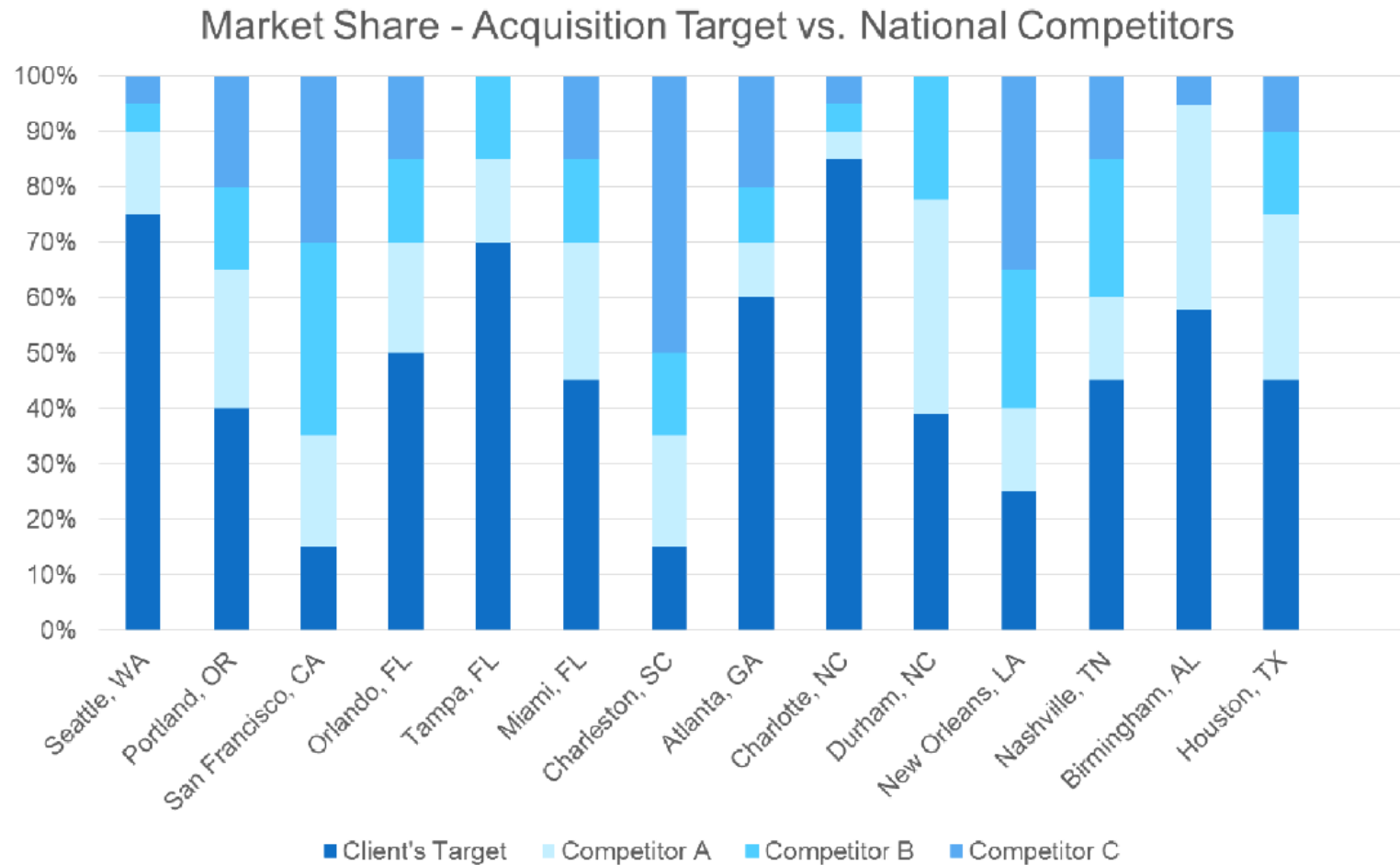
Next Steps

- Research potential new markets to enter
- Dive deeper into existing markets to understand growth potential
- Discuss acquisition price

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Car Wash Chain: Exhibit 1



Case # 29

Alkaline Ash

Case Type: Growth

Quant Difficulty: 5 / 10

Qual Difficulty: 5 / 10

Firm Type: BCG / Bain

Industry: Chemicals

Business Model: Chemical Product Manufacturer

Key Concepts: Market Analysis, Mental Math, Extracting Insights from Exhibits

Alkaline Ash: Case Intro

Case Prompt

ChemCo, a U. based manufacturer of chemical products, has come to your firm asking for advice on whether to make an investment.

It would like to increase its production capacity for alkaline ash from one million to two million metric tons by 2020, with a total investment cost of \$20M

Clarifying / Background Information

Alkaline ash is a chemical product that is commonly used in construction and electronics manufacturing

Alkaline Ash: Case Intro

Sample Framework

1. Market Demand

- **Current and expected demand for alkaline ash in:**
 - The construction industry?
 - The electronics industry?
 - Other industries?

2. Market Supply

- **Current and expected supply for alkaline ash in:**
 - The construction industry?
 - The electronics industry?
 - Other industries?
- **Is there expected to be a competitive response if ChemCo expands its capacity?**

3. Incremental Revenues

- **What is ChemCo's current market share, and how has this trended over time?**
- **How much additional market share is ChemCo expected to capture if it expands capacity?**
- **What is the price now, and how will that change as capacity increases?**

4. Incremental Costs

- CapEx of adding capacity; only the \$20M investment?
- Additional fixed costs, such as managers
- Ongoing variable costs, and how much varies at different production levels
- Opportunity costs; are there more attractive investments available?

Interviewer Guidance

This is an candidate-led case. Please hand each exhibit to the candidate as that information is requested, and then wait for the person to share insight or ask questions

This case is based on current and future projections of the supply and demand of alkaline ash

This is an candidate led case, based on analysis of exhibits. Instead of asking upfront questions, interviewer gives candidates exhibits based on candidate's questions. candidate should lead discussion of exhibits to reach conclusion

Alkaline Ash: Exhibit 1 Notes

Quantitative Guidance

The candidate should examine the relationship between demand and capacity in the different markets. Interviewer can lead candidate towards discussion of demand and capacity if she/he does not do so her/him self. If the candidate asks, the units for this exhibit are in metric tons

Conclusions from Exhibit 1:

1. In reviewing this exhibit, candidate should note that in the U.S., Europe, and China, capacity outstrips demand and will continue to do so in 2020
2. By contrast, LatAm, Mideast/Africa, and Rest of Asia all have higher demand than capacity
3. The candidate should realize the rest of Asia is particularly attractive since its demand is expected to grow by 2 metric tons, and its capacity is far from meeting that demand. (If the candidate focuses on LatAm, redirect her by stating that ChemCo has had bad experiences in the region before and would prefer not to engage there)
4. Therefore, Chinese firms, with their large capacity and close location in Asia, will be the key competitor in reaching the lucrative Asian market
5. A good candidate may propose a hypothesis about the cost for Chinese producers, e.g., expecting it to be lower (although that is not the case)

Alkaline Ash: Exhibit 2 Notes

Quantitative Guidance

1. The candidate should note that costs for U.S. firms are significantly lower than for Chinese firms, with raw materials/energy being the driving factors. The candidate should propose an explanation, e.g., that the raw materials are from the U.S. and thus are cheaper for U.S. producers than for Chinese producers
2. The candidate should then calculate the production cost for 2020 by applying the percentage changes. The correct numbers are shown below:

	US	China
Administration	46	55
Raw materials/Energy	28.5	126.5
Freight	66	42
Labor	36	27.5
Total	176.5	251

3. The candidate should then determine how much additional profit the firm will generate from this move
4. What is the selling price? The Chinese firms will sell as low as they can go, which means ignoring the fixed costs (and selling at \$251 -- \$55 = \$196/metric ton
5. Accordingly, the client can sell at a profit of \$19.5/metric ton at this price (\$196 -- \$ 176.5). The candidate knows the cost of expansion, and if asked you can clarify that it is phased as \$5M per year for four years (totaling \$20M). These costs will be incurred starting in 2020, the earliest that ChemCo would be able to increase its capacity
6. The candidate should then calculate that the profit in the first year that capacity is expanded will be \$14.5M with greater profits down the line. Accordingly, this is a good investment

Alkaline Ash: Conclusion

Recommendation

ChemCo should make the investment

Risks

- If Chinese producers can gain access to cheaper raw materials, through new discoveries or alternate production methods, they will be more competitive
- An economic downturn that affects demand for electronics or construction services would be detrimental

Rationale

- The investment will be profitable in the first year that capacity is expanded, and the firm can expect additional profits down the line

Next Steps

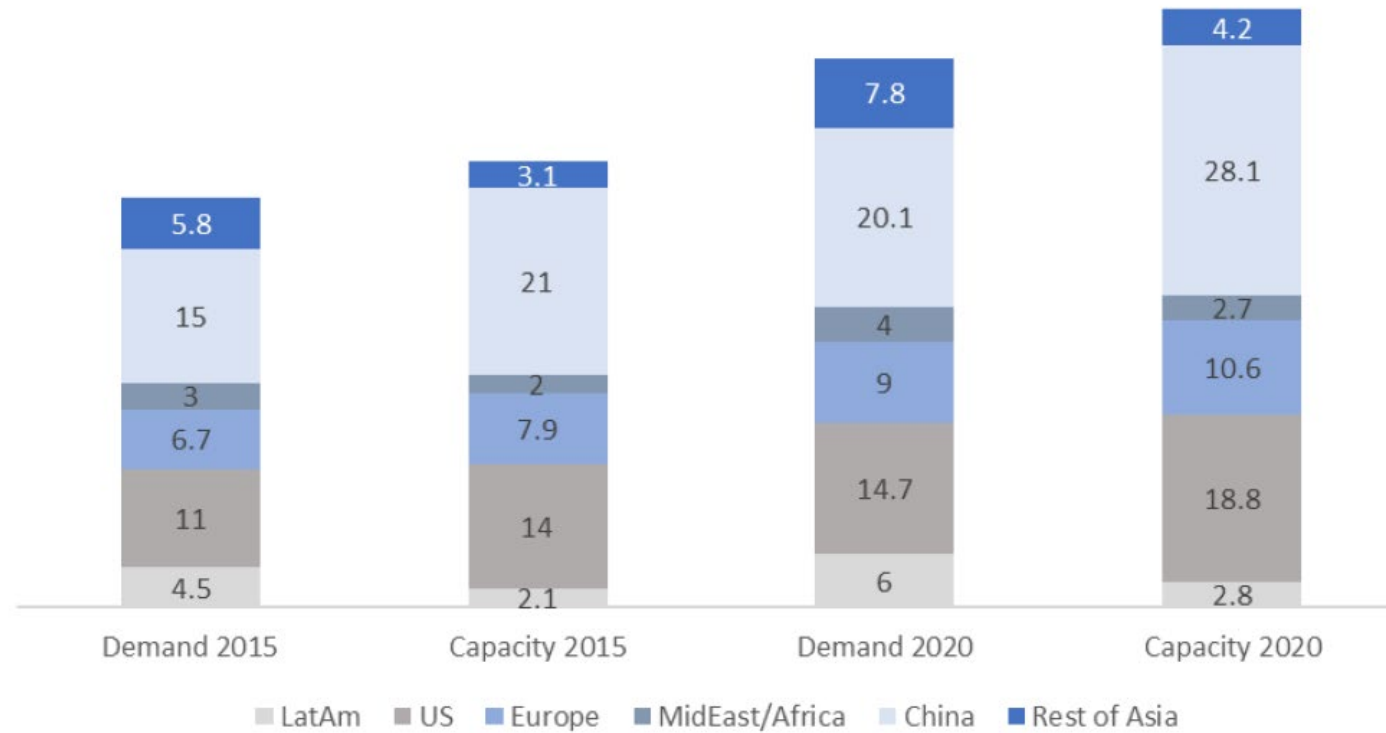
- Conduct further research on where demand in the Rest of Asia market will be, and establish relationships with potential future buyers
- Start construction process for expanding ChemCo's production facility

Strong Candidates:

Strong candidates start with the recommendation as this demonstrates a top-down approach. For rationale and risks, one piece of support is usually a weak answer, so the candidate should aim for 2-3 pieces of rationale 2-3 risks in their recommendation. The overall time for the entire recommendation is 1-1.5 min.

Alkaline Ash: Exhibit 1

Market Projections (In Million of Tons)



Alkaline Ash: Exhibit 2

Cost (\$) per delivered Ton in Asian Market,
2015

